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**NISM-Series-X-A: Investment Adviser (Level 1)
Certification Examination**



NISM INVESTMENT ADVISER XA – V. IMPORTANT CASE STUDIES

[Summary of Nism book ie. the Short Notes are after the Case Studies]

IMP – THE STUDENT IS EXPECTED TO HAVE GOOD KNOWLEDGE OF MS EXCEL / OPEN OFFICE FOR DOING THE CASE STUDIES CALCULATIONS

Q1. Having just landed his first job with a monthly income of Rs. 30,000, Aditya is eager to make smart money choices early in life. Wanting to avoid common financial missteps and adopt a structured approach to financial planning, he chooses to consult a financial planner. Aditya is keen on making early investments and utilizing his income effectively. With this goal in mind, he has reached out to a financial planner to get started.

Q 1.1 Which of the following represents the initial step in financial planning?

- a. Assessing current financial standing
- b. Defining goals across different time horizons
- c. Building a formal client-planner relationship
- d. Evaluating previous financial actions and patterns

Answer : Building a formal client-planner relationship

Explanation : The financial planning process begins with building a solid relationship between the client and the financial planner. This step involves:

- Clarifying the scope of services
- Defining roles and responsibilities
- Disclosing fees, conflicts of interest, and compliance details
- Building trust and mutual understanding

Once this relationship is established, the planner can proceed to analyze the client's financial position, set goals, and monitor past financial actions for a well-structured plan.

Q 1.2. Aditya is eager to set clear goals for his financial planning journey. His primary goal is simply "to get rich." How should this goal be evaluated?

- a. It is not an effective goal because it lacks specificity and can be interpreted differently by different individuals**
- b. It is a good financial goal since all money-related decisions contribute to wealth accumulation**
- c. It is not a well-defined goal, as the desire to be rich is universal**
- d. It is a reasonable starting point for the financial planning process**

Answer : It is not an effective goal because it lacks specificity and can be interpreted differently by different individuals

Explanation : While wanting to "get rich" is a common desire, it lacks specificity and measurable targets, making it difficult to plan effectively. A well-defined financial goal should include:

- A clear time frame (short-term, medium-term, or long-term).**
- A measurable financial target (e.g., saving Rs 1 crore by age 50).**
- A strategy for achieving it (e.g., investing in mutual funds, stocks, or real estate).**

Q 1.3. Aditya has become interested in the FIRE (Financial Independence, Retire Early) movement and now wishes to retire at age 40 with a corpus of ₹10 crore. Given that he currently earns Rs 30,000 per month, how should this goal be assessed?

- a. It's a good goal, since ₹10 crore could be enough for his retirement lifestyle
- b. The goal is relevant, as the concept of early retirement aligns with sound financial planning
- c. The goal is unrealistic, as his current income is insufficient to build such a corpus within the timeframe
- d. The goal is unrealistic because retiring at 40 is impractical for most individuals.

Answer : The goal is unrealistic, as his current income is insufficient to build such a corpus within the timeframe

Explanation : While the FIRE (Financial Independence, Retire Early) movement is an aspirational concept, financial planning must align with income, savings capacity, and realistic return expectations.

His current salary of Rs 30,000 per month makes accumulating Rs 10 crore by age 40 highly unrealistic unless he has significant additional income sources, extreme savings rates, or high-return investments.

Q 1.4. As part of his financial planning, Aditya is assessing three key goals: an international vacation to Paris, acquiring a new skill like learning French and achieving a promotion at work. Which of these should be considered in financial planning?

- a. Investing in French language learning as part of personal growth
- b. His promotion goal, as career advancement impacts financial stability
- c. His travel plan to Paris, as it requires financial preparation
- d. All of the above

Answer : His travel plan to Paris, as it requires financial preparation

Explanation : Financial planning primarily focuses on monetary goals, such as managing income, savings, investments, and expenses. Among his listed goals:

- Taking a trip to Paris requires budget planning, saving strategies and financial allocation—making it relevant to the financial planning process.
- Securing a promotion at work is a career goal, not a direct financial objective, though an increased salary could impact financial planning later.
- Learning a new language like French is a personal development goal, which may require financial investment, but it is not typically a core aspect of financial planning.

Q 1.5. Aditya assumes that by engaging a financial planner, he can set and achieve multiple goals across varying time frames and financial commitments. How accurate is this assumption?

- a. The assumption is accurate, as belief and confidence alone can lead to the achievement of all goals
- b. The assumption is accurate, since the financial planner can ensure all objectives are met regardless. That's his job.
- c. Not necessarily, as he may need to prioritize and choose between conflicting goals.
- d. Not necessarily, as Aditya lacks experience with goal-setting may impact execution

Answer : Not necessarily, as he may need to prioritize and choose between conflicting goals

Explanation : While setting multiple financial goals is a good start, achieving all of them depends on priorities, income, expenses, risk capacity, and available resources.

In Aditya's case:

- He has limited income (Rs.30,000/month)
- May face budget constraints
- Needs to make trade-offs between goals (e.g., saving for a trip vs. building an emergency fund)

A financial planner can help prioritize and optimize resources, but cannot guarantee that all goals will be achievable simultaneously, especially if they compete for limited funds.

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Q 2 – Ms.Kalpana, age 32, is a cautious investor. She has received an inheritance and wants to build her retirement savings while also funding short-term financial goals. She is interested in equity investments but prefers a low-risk strategy that ensures steady returns without excessive volatility.

Since she is not comfortable investing directly in stocks, she is inclined toward mutual funds. However, she is unsure about market timing and does not want to take unnecessary risks. Having relied on fixed deposits, she is now exploring debt funds but remains uneasy about potential declines in value. Looking for clarity, she has sought professional advice on how to structure her investments effectively.

Q 2.1 What is the best way for Kalpana to invest her inheritance while avoiding the risk of market timing?

- a. Keep funds in a liquid fund and systematically transfer investments into equity funds using an Systematic Transfer Plan (STP)**
- b. Invest directly in equity funds and periodically transfer profits into a liquid fund using a Systematic Investment Plan (SIP).**
- c. Start by parking funds in a liquid fund and gradually invest in equity funds through a Systematic Investment Plan (SIP).**
- d. Invest in equity funds and periodically shift profits into a liquid fund using a Systematic Transfer Plan (STP).**

Answer : Keep funds in a liquid fund and systematically transfer investments into equity funds using a Systematic Transfer Plan (STP)

Explanation : For Kalpana, considering her preference for mutual funds, discomfort with direct stock market investments, and concern about timing the market, the best approach among the options listed would be:

Keep funds in a liquid fund and systematically transfer investments into equity funds using a Systematic Transfer Plan (STP)

Why?

- **Avoiding market timing risk:** Since she is unsure if it is the right time to invest, STP helps her gradually move funds into equity instead of investing a lump sum, reducing the impact of short-term market fluctuations.
- **Liquidity management:** Keeping the inheritance in a liquid fund initially allows her flexibility for short-term needs while ensuring the money is earning returns.
- **Risk management:** Since she is new to equity investing, a phased approach via STP ensures she does not face excessive volatility from investing everything at once.
- **Better returns potential:** While Systematic Investment Plans (SIPs) are great for regular investing from income, an STP works well for transferring larger lumps of existing money over time—helping her benefit from rupee cost averaging.

This strategy aligns with her desire for stable returns while minimizing investment anxiety. Additionally, given her interest in debt funds, she should explore low-risk debt funds like liquid funds and ultra-short duration funds to ensure stability in that part of her portfolio.

Q 2.2 Considering Kalpana's investment preferences, which equity product would be the most suitable for her?

- a. A large and midcap fund providing stable large-cap exposure with additional return potential from midcaps
- b. An index fund, investing in the large-cap segment for stable returns
- c. A small-cap fund, targeting companies with high growth prospects
- d. A multicap fund that spreads investments across all segments of the market for broad diversification

Answer : An index fund, investing in the large-cap segment for stable returns

Explanation : Given Kalpana's preference for moderate risk, reasonable returns, and comfort with mutual funds, the best choice among the options listed would be:

An index fund, investing in the large-cap segment for stable returns

Why?

- Low risk compared to other equity options: Large-cap stocks belong to established, financially stable companies, making them less volatile than mid-cap and small-cap stocks.
- Steady returns: Since she wants reasonable returns with lower risk, large-cap index funds track major indices (like Nifty 50 or Sensex) and generally provide stable growth over time.
- No active fund management risks: Index funds follow a passive investment strategy, avoiding fund manager biases, and usually have lower expense ratios, which helps optimize returns.
- Good fit for long-term wealth creation: Since she wants to start investing for retirement, index funds offer a solid foundation with consistent compounding over decades.

Q 2.3 Kalpana wants to allocate money for a family vacation scheduled in a year. Based on her risk tolerance, which financial product would be the most appropriate?

- a. An Ultra Short Duration Fund providing stable returns with minimal interest rate sensitivity**
- b. A Gilt fund that invests in long-term government securities**
- c. A Short Duration Fund, balancing risk and return for a one-year investment period.**
- d. A corporate bond fund that invests in high-rated company debt**

Answer : An Ultra Short Duration Fund providing stable returns with minimal interest rate sensitivity

Explanation : An ultra short duration fund is best suited to Kalpana's needs because:

- It has a low-risk profile, making it ideal for short-term goals like a vacation.**
- It invests in very short-term debt instruments, ensuring better liquidity and capital preservation.**

Since she is uncomfortable with potential depreciation in debt funds, ultra short duration funds offer lower volatility compared to longer-duration funds.

Q 2.4 Which of the following strategies would help Kalpana manage risk in her equity portfolio at a level she finds acceptable?

- a. Set a profit-trigger mechanism to redeem units when returns surpass her desired threshold
- b. Define a stop-loss level to limit downside risk in her equity holdings
- c. Set up a switch mechanism to move funds from equity to a lower-risk debt fund during market downturns
- d. Pick any of these options that feels right for her needs and comfort level

Answer : Pick any of these options that feels right for her needs and comfort level

Explanation : Since Kalpana has a moderate risk tolerance, different risk-management strategies could work for her depending on her preferences:

- Trigger-based profit booking → Helps lock in gains, automatically redeeming units when returns cross a predefined percentage, securing profits.
- Defining stop-loss level → Helps limit downside risk by ensuring she exits equity positions when losses exceed a set threshold.
- Setting up a switch to debt funds → Provides market protection, shifting funds from equity to debt when markets decline, offering stability.

Each approach has its advantages, and the choice depends on Kalpana's comfort level with market movements, liquidity needs, and investment discipline.

Q 2.5 Kalpana is planning for a financial goal that is three years away. Considering her risk appetite and investment horizon, which of the following products would be most suitable?

- a. Conservative Hybrid Fund, offering a mix of equity and debt for controlled risk
- b. Gilt Fund, focusing on government-backed securities with potential interest rate fluctuations.
- c. Credit Risk Fund, aiming for higher returns but carrying credit risk.
- d. Index Fund, offering equity exposure with market-linked returns.

Answer : Conservative Hybrid Fund, offering a mix of equity and debt for controlled risk

Explanation : Since Kalpana's is risk-conscious and has a medium-term investment horizon (3 years), a conservative hybrid fund aligns well with her objectives because:

- It offers a balanced mix of debt and equity, ensuring moderate returns with limited downside risk.
- The debt component provides stability, which is important for her given her concerns about depreciation in debt funds.
- The equity portion allows some growth, helping her meet her financial goal while keeping risk manageable.

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Q 3. As your valued NRI client, Mr. Suryavanshi has expressed satisfaction with the investment services provided and has built a strong relationship with you over time. Being a respected figure in his local business community, Mr. Suryavanshi often engages in conversations with fellow NRIs who are considering investments in India — either for emotional reasons tied to their roots or in anticipation of a possible return to the country. Arising from these discussions, Mr. Suryavanshi has conveyed several queries on their behalf, seeking clarity on key aspects of investment opportunities in India.

Q 3.1 - For NRIs opening a new account, documents like passport and address proof are required. How should these documents be submitted?

- a. English only, self-attested is enough
- b. If in English, no attestation is needed
- c. In English, attested by the Indian consulate or overseas branches of Indian scheduled commercial banks
- d. In any language, but must be attested by Indian consulate or overseas Indian bank branches

Answer : In English, attested by the Indian consulate or overseas branches of Indian scheduled commercial banks

Explanation : When an NRI opens an account in India, key documents such as a passport, address proof, and other KYC-related documents must be provided. These documents must be in English and should be attested by either the Indian consulate office or the overseas branches of Scheduled Commercial Banks registered in India. This ensures authenticity and compliance with regulations, making the account-opening process smoother for NRIs.

Q 3.2 Which of the following permissions are necessary for an NRI seeking to open a demat account?

- a. RBI's permission is essential for demat account registration
- b. No approval required from RBI or any regulatory body to open a demat account
- c. Permission required from the bank holding the investment account
- d. Authorization from the Indian Embassy in the country of primary residence

Answer : No approval required from RBI or any regulatory body to open a demat account

Explanation : NRIs (Non-Resident Indians) can freely open a demat account in India without requiring any special permissions from the Reserve Bank of India (RBI), Indian Embassy, or any other authority.

The process involves submitting standard KYC documents (like passport, overseas address proof, PAN card, etc.) to a SEBI-registered Depository Participant (DP).

Q 3.3 What are the requirements for an NRI to open a trading account in India?

- 1) During the opening of trading account the KYC documents have to be filed with SEBI
 - 2) The NRI can open the account through a broker registered with a stock exchange in India
 - 3) NRIs are allowed to maintain two separate trading accounts—one linked to the NRE account (Non Residential External) and the other to the NRO account (Non Residency Ordinary)
-
- a. Both 1 and 2
 - b. Both 2 and 3
 - c. Both 1 and 3

Answer : Both 2 and 3

Explanation : When an NRI wants to open a trading account in India, they must:

- Open the account through a broker registered with a stock exchange in India - NRIs must choose a broker authorized by SEBI to facilitate their investments.
- Have two separate trading accounts attached to their NRE and NRO accounts. This allows them to distinguish between repatriable (funds that can be sent abroad) and non-repatriable investments.

However, KYC documents are submitted to the broker and relevant authorities, but not directly to SEBI. SEBI establishes the regulations, while the broker handles the KYC compliance process.

Q 3.4 Mr. Suryavanshi mentions that some of his NRI peers are interested in niche small-cap companies in sectors they know well. He wants to understand the regulatory investment limits for NRIs in such cases. What is the correct limit?

- a. NRIs cannot invest more than 5% of a company's paid-up capital on both repatriation and non-repatriation basis**
- b. NRIs cannot invest more than 5% of a company's paid-up capital on non-repatriation basis**
- c. NRIs cannot invest more than 5% of a company's paid-up capital on repatriation basis**
- d. NRIs cannot invest more than 5% of a company's paid-up capital on both repatriation and non-repatriation basis, with a combined ceiling of 10% by all NRIs collectively**

Answer : NRIs cannot invest more than 5% of a company's paid-up capital on both repatriation and non-repatriation basis, with a combined ceiling of 10% by all NRIs collectively

Explanation : Under Indian regulations, NRIs investing in small or micro-market capitalization companies must comply with foreign investment limits as set by the Reserve Bank of India (RBI) and SEBI. Individual NRIs cannot exceed 5% of the paid-up capital of a particular company, whether investing under repatriation or non-repatriation routes. Collectively, all NRI investments in a single company must not exceed 10% of its paid-up capital.

Q 3.5 Mr. Suryavanshi has come across information regarding the Foreign Account Tax Compliance Act (FATCA) and its self-declaration requirements. He seeks clarification on who is required to file this declaration. What is the correct rule?

- a. Mandatory for all Indian and NRI investors from April 1, 2013
- b. Mandatory for all Indian investors from January 2016
- c. Mandatory for all NRI investors from January 2016
- d. Mandatory for all Indian and NRI investors (Existing and new) from January 2016

Answer : Mandatory for all Indian and NRI investors (Existing and new) from January 2016

Explanation : In India, under the FATCA regulations, both resident and non-resident investors (NRIs) must provide a self-declaration while investing in financial instruments such as mutual funds. This requirement came into effect from January 2016, ensuring compliance with global tax regulations and transparency in financial transactions.

The FATCA self-declaration helps financial institutions identify and report accounts held by U.S. persons, preventing tax evasion. Indian investors and NRIs must furnish their tax residency details and other relevant disclosures as part of this compliance process.

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Q 4. As a Registered Investment Advisor, you are consulting with the Chief Financial Officer (CFO) of your corporate client, Apollo Infra Ltd. The company frequently has excess liquidity, but the investment horizon remains uncertain when funds are allocated for deployment in safe avenues. Typically, these surpluses last anywhere from a few days to a few weeks before being redirected to designated projects.

In your meeting with the CFO, the company currently has a surplus of Rs 35 crore with an undefined investment duration—potentially ranging from a few days to several weeks.

Q 4.1 Apollo Infra Ltd.'s CFO approaches you with a short-term deployment requirement — surplus funds available just for a day or two. Which of these is the safest and most efficient short-term investment option?

- a. Buy short-term government treasury bills for stable returns**
- b. Invest in CCIL TREPS (Tri-Party Repo), secured by G-Sec collateral and market-driven returns**
- c. Maintain the funds in a current account with a reputed bank as this is very safe**
- d. Place the funds in a one-day term deposit with a reputed bank**

Answer : Invest in CCIL TREPS (Tri-Party Repo), secured by G-Sec collateral and market-driven returns

Explanation : For short-term investments of one or two days, CCIL TREPS provides the best combination of safety, liquidity, and yield. TREPS transactions are backed by Government Securities (G-Secs) as collateral, ensuring security while allowing market-driven returns.

CCIL TREPS refers to the Triparty Repo Dealing System (TREPS), a platform provided by the Clearing Corporation of India Ltd (CCIL) for facilitating borrowing and lending of funds against government securities.

Here's why CCIL TREPS is optimal compared to other options:

- **Current account with a bank – Offers full safety but no returns, making it an inefficient parking option for temporary surplus.**
- **One-day term deposit with a bank – While safe, these deposits may not be flexible enough for uncertain liquidity needs and generally offer fixed, lower yields.**
- **Treasury bills – Government-backed and secure, but they typically have maturity periods of 91, 182, or 364 days, making them unsuitable for ultra-short-term investment horizons like 1–2 days.**
- **CCIL TREPS – Provides secured borrowing and lending backed by G-Sec collateral, with market-driven yields, ensuring both liquidity and reasonable returns while allowing easy withdrawal when needed.**

Q 4.2 The CFO of Apollo Infra Ltd. is evaluating mutual fund options for parking surplus funds for just 1–2 days. Although mutual funds involve some operating costs, the CFO prefers them for operational convenience. Which category of mutual fund would be the most appropriate for such a short investment horizon?

- a. Overnight funds, offering quick liquidity without exit charges.
- b. Liquid funds, designed specifically for cash parking and short-term liquidity management.
- c. Banking and PSU Debt Funds – backed by strong issuers, so they are safe
- d. Ultra Short Duration Funds – as they typically offer higher returns than overnight or liquid funds

Answer : Overnight funds, offering quick liquidity without exit charges.

Explanation : For a very short investment horizon of just 1-2 days, overnight funds are the most suitable option because:

- They invest in very short-term assets, typically with a one-day maturity, ensuring high liquidity.
- They have no exit load, allowing seamless redemption without additional costs.
- They offer market-driven yields while maintaining low risk, making them ideal for temporary surplus management.

While liquid funds are also a safe option, they typically hold securities with slightly longer maturities (up to 91 days), making overnight funds more efficient when the investment duration is uncertain.

Q 4.3 The CFO informs you that Rs 5 crore from the current surplus of Rs 35 crore may be available for 2 to 4 weeks. He seeks your input on the best investment avenue balancing return, liquidity, and safety. What would you suggest?

- a. Continue using CCIL TREPS
- b. Invest in a 1-month residual maturity Certificate of Deposit from a leading bank, as it offers better yield than T-Bills, is safe, and is tradable
- c. Buy a 1-month residual maturity Treasury Bill, as it is government-backed, liquid, and carries no mark-to-market risk when held to maturity
- d. Invest in 1-month residual maturity Commercial Paper – higher yield vs. Certificate of Deposits and T-Bills, and no Mark-To-Market risk if held to maturity

Answer : Invest in a 1-month residual maturity Certificate of Deposit from a leading bank, as it offers better yield than T-Bills, is safe, and is tradable

Explanation : For a 2 to 4 week horizon and an amount of ₹10 crore, the CFO of ABC Ltd. is rightly focusing on the three key parameters: Safety-Liquidity>Returns.

The best investment option for this will be - Invest in 1-month residual maturity Certificate of Deposit (CD) of a leading bank. It offers a strong balance of high safety, good liquidity, and better returns than T-Bills, while avoiding the additional credit risk of CPs.

Comparison of CD with others -

Good Balance: It offers a good balance of safety (from a reputable bank), reasonable liquidity in the secondary market, and a yield that is generally better than T-Bills.

Direct Investment: It's a direct investment for the intended horizon, avoiding the rollover complexities of TREPS.

Acceptable Risk: While not as risk-free as a T-Bill, CDs from leading banks carry a relatively low level of credit risk.

Q 4.4 The CFO of Apollo Infra Ltd. has recently come across the Inter-bank call money market (overnight) and the Notice money market (2 to 14 days). He wants to know if the company can participate in these markets. What recommendations would you provide?

- a. Corporates are not allowed to participate; these markets are exclusive to banks and select financial institutions
- b. These markets are more volatile and may not align with the conservative treasury policies of a corporate like ABC Ltd
- c. If rates in the interbank market are more favorable than CCIL TREPS (Tri-Party Repo), participation may be beneficial.
- d. RBI authorization is mandatory for corporate entities to participate in the interbank call money market.

Answer : Corporates are not allowed to participate; these markets are exclusive to banks and select financial institutions

Explanation : The inter-bank call money market and interbank notice money market are strictly reserved for banks, primary dealers, and select financial institutions approved by the Reserve Bank of India (RBI). Corporates like Apollo Infra cannot participate in these markets directly.

Q 4.5 Apollo Infra Ltd.'s management insists on a safe and secure investment approach due to previous credit default experiences. For short-term deployment of funds (a few days or weeks), which investment avenue aligns best with their risk-averse policy?

- a. Government securities (G-Sec) funds provided by mutual funds
- b. Overnight mutual funds, which deploy assets into 1-day CCIL TREPS instruments.
- c. Money market mutual funds, designed for short-term investments.
- d. Liquid funds, offering portfolios with strong credit quality.

Answer : Overnight mutual funds, which deploy assets into 1-day CCIL TREPS instruments.

Explanation : Given the management's strong emphasis on safety—particularly in light of past credit default concerns—and an uncertain short-term investment horizon (a few days to few weeks), your advice must prioritize capital preservation, followed by liquidity, and only then returns- the best option for deploying funds over a very short horizon (few days to weeks) is Overnight Funds.

Here's why:

- **Highest safety:** These funds exclusively invest in 1-day instruments such as CCIL TREPS, which are fully collateralized by government securities (G-Secs), eliminating credit default risks.
- **High liquidity:** Since the assets mature every single day, the fund remains highly liquid, making it ideal when the exact investment horizon is uncertain.
- **No exit load:** Unlike some other mutual fund categories, overnight funds allow quick redemption without penalties, ensuring flexibility.

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Q 5. Reshma, age 37 years, is facing financial strain despite a high income of ₹2.17 lakhs per month. Her monthly expenses total ₹2.06 lakhs, of which ₹1.35 lakhs are loan repayments. This leaves her with virtually no surplus. She owns assets worth ₹1.15 crores, including ₹27,000 in cash and ₹16 lakhs in equity shares.

Her liabilities include two home loans (₹42 lakhs at 8%, 8 years to go and ₹28 lakhs at 6%, 12 years to go), a car loan (₹6 lakhs), credit card debt (₹9 lakhs), a personal loan (₹11 lakhs at 12%, 2 years to go), and a loan against shares (₹12 lakhs at 8.5%, 6 years to go).

Q 5.1 Which of the following financial indicators most clearly highlights Reshma's urgent need for improved debt management?

- a. Solvency Ratio of 6.09
- b. Solvency Ratio of 1.8
- c. Solvency Ratio of 3.37
- d. Solvency Ratio of -7

Answer : Solvency Ratio of 6.09

Explanation : The solvency ratio is a financial stability measure that evaluates whether an individual's total assets sufficiently cover their liabilities. It is calculated as:

Solvency Ratio = (Net Worth / Total Assets) × 100

Net worth = Total Assets - Total Liabilities

First calculate Total Liabilities

Reshma's outstanding liabilities include:

- Home Loan 1: ₹42,00,000
- Home Loan 2: ₹28,00,000
- Car Loan: ₹6,00,000
- Credit Card Bill: ₹9,00,000
- Personal Loan: ₹11,00,000
- Loan Against Shares: ₹12,00,000

Total Liabilities = ₹42L + ₹28L + ₹6L + ₹9L + ₹11L + ₹12L = ₹1.08 crores

Reshma's assets include:

Total Assets: ₹1.15 crores (This includes Cash Balance: ₹27,000 and Equity Shares: ₹16,00,000)

Calculate Net Worth :

Net worth = Total Assets - Total Liabilities

Net Worth = ₹1.15 crores - ₹1.08 crores = ₹7,00,000

Calculate Solvency Ratio :

Solvency Ratio = (Net Worth / Total Assets) × 100

Solvency Ratio = (7,00,000 / 1,15,00,000) × 100

= (7 / 115) × 100

= 6.09%

Interpretation:

- A solvency ratio below 20% indicates high financial risk and over-reliance on debt.
- Reshma's 6.09% ratio signals urgent need to:
 1. Reduce debt (especially high-interest credit card/personal loans).
 2. Increase savings

Q 5.2 Reshma has received an inheritance of ₹18 lakhs and plans to use it to pre-pay a part of her first home loan. How will this affect the remaining tenure of the loan?

- a. The Tenor will come down to 61 months
- b. The Tenor will come down to 47 months
- c. The Tenor will come down to 38 months
- d. While the tenor of the loan cannot be shortened beyond its initial terms, pre-paying a portion will reduce the monthly installment amount

Answer : The Tenor will come down to 47 months

Explanation :

Original Outstanding Loan: ₹42,00,000

Interest Rate: 8% per annum → .08/12 per month

Original Tenure: 8 years = 96 months

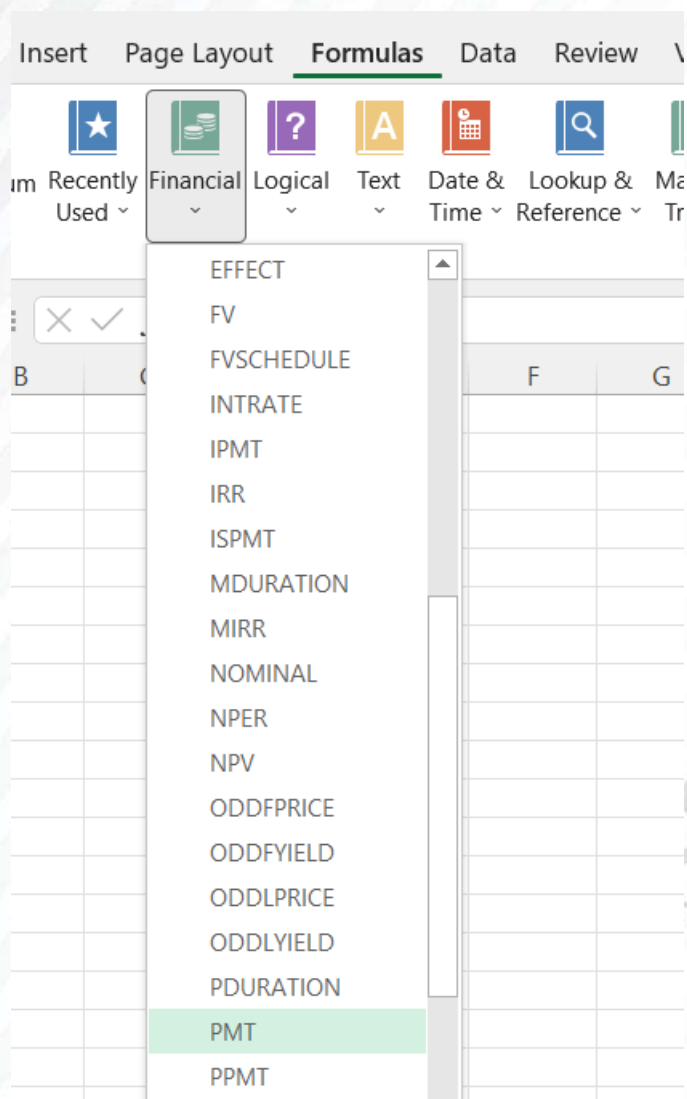
Prepayment: ₹18,00,000 (now)

New Outstanding: ₹24,00,000

Let's calculate Monthly EMI for the original loan

We will use PMT function in Excel. The PMT function in Excel is used to calculate the Equated Monthly Installment (EMI)

In Excel : Click on 'Formulas' – 'Financial' – 'PMT' and we see this :



Input the following data –

Rate is 8% yearly. Monthly will be 0.08/12

The period 'Nper' is 8 years ie. $8 \times 12 = 96$ months

The Present Value (PV) is - 4200000 (Entered negatively)

=PMT(.08/12,96,-4200000)

	D	E	F	G	H	I	J	K	L	M	N	O	P	Q

Function Arguments

PMT

Rate	.08/12	=	0.006666667
Nper	96	=	96
Pv	-4200000	=	-4200000
Fv		=	number
Type		=	number

Calculates the payment for a loan based on constant payments and a constant interest rate.

Pv is the present value: the total amount that a series of future payments is worth now.

Formula result = 59374.05287

[Help on this function](#)

OK Cancel

Result: ₹59374

Step 2: Use Prepayment to Reduce Outstanding Balance

Since ₹18L is prepaid, the new principal = ₹24L

Now calculate new loan tenure using this EMI.

In Excel, we use the NPER function. The NPER function in Excel calculates the number of periods (nper) required to pay off a loan

In Excel : Click on 'Formulas' – 'Financial' – 'NPER'

- 0.09/12 → Monthly interest rate
- -59374 → EMI remains unchanged (negative because it's an outflow)
- 2400000 → Remaining principal after prepayment

Result: 47.25 months (≈ 47 months)

Reshma, age 37 years, is facing financial strain despite a high income of ₹2.17 lakhs per month. Her monthly expenses total ₹2.06 lakhs, of which ₹1.35 lakhs are loan repayments. This leaves her with virtually no surplus. She owns assets worth ₹1.15 crores, including ₹27,000 in cash and ₹16 lakhs in equity shares.

Her liabilities include two home loans (₹42 lakhs at 8%, 8 years to go and ₹28 lakhs at 6%, 12 years to go), a car loan (₹6 lakhs), credit card debt (₹9 lakhs), a personal loan (₹11 lakhs at 12%, 2 years to go), and a loan against shares (₹12 lakhs at 8.5%, 6 years to go).

Q 5.3 She has decided to restructure her loan by lowering the EMI to enhance cash flow. What will be her revised EMI, and how much additional cash will she free up?

- a. New EMI: ₹33,928, Cash released: ₹25,446
- b. New EMI: ₹28,440, Cash released: ₹28,740
- c. New EMI: ₹31,995, Cash released: ₹27,805
- d. The EMI cannot be changed midterm; only the loan tenure can be adjusted.

Answer : New EMI: ₹33,928, Cash released: ₹25,446

Explanation :

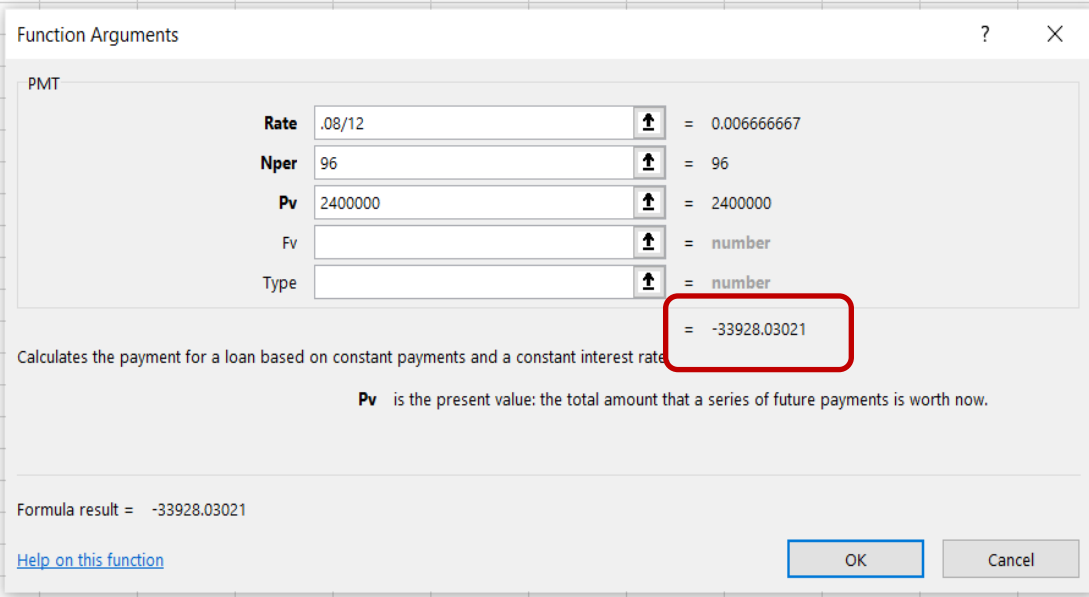
Scenario Recap (again):

- Original Loan: ₹42,00,000
- Interest Rate: 8% annually = $8/12 = 0.66\%$ monthly
- Original Tenure: 96 months (8 years)
- Prepayment: ₹18,00,000 (lump sum now)
- New Principal: ₹24,00,000
- Tenure remains: 96 months
- Original EMI: ₹59374

Calculate new EMI on ₹24,00,000 over 96 months

Use the PMT function in Excel :

=PMT(.08/12,96,2400000)



The image shows an Excel spreadsheet with the formula =PMT(.08/12,96,2400000) entered in cell H2. A 'Function Arguments' dialog box is open, displaying the PMT function parameters: Rate (.08/12), Nper (96), Pv (2400000), Fv (blank), and Type (blank). The calculated result is -33928.03021, which is highlighted with a red rectangle. The dialog box also includes a description of the PMT function and a 'Formula result' field showing -33928.03021.

Argument	Value	Result
Rate	.08/12	= 0.006666667
Nper	96	= 96
Pv	2400000	= 2400000
Fv		= number
Type		= number

Calculates the payment for a loan based on constant payments and a constant interest rate.

Pv is the present value: the total amount that a series of future payments is worth now.

Formula result = -33928.03021

[Help on this function](#)

OK Cancel

New EMI = Rs 33928

Let's calculate the cash released :

Original EMI: ₹59374

New EMI: ₹33928

Cash released = 59374 – 33928 = Rs. 25446

Q 5.4 Comparing the personal loan and the loan against shares, which one will result in a higher total interest cost over the loan term for Reshma?

- a. Personal loan, as it carries a higher interest rate.
- b. Loan against shares, since the EMI is lower
- c. Personal loan, due to its shorter repayment tenure
- d. Loan against shares, because the tenor is longer

Answer : Loan against shares, because the tenor is longer

Explanation :

Personal Loan

- Amount: ₹11,00,000
- Interest Rate: 12% p.a.
- Tenure: 2 years (24 months)

Let's first calculate total Interest payable in this :

We'll use PMT function in Excel to calculate EMI, then multiply by tenure to get total payment, and subtract the principal to get total interest.

Personal Loan (EMI using PMT):

=PMT(.12/12,24,-1100000)

Function Arguments

PMT

Rate	.12/12	=	0.01
Nper	24	=	24
Pv	-1100000	=	-1100000
Fv		=	number
Type		=	number

= 51780.81945

Calculates the payment for a loan based on constant payments and a constant interest rate.

Pv is the present value: the total amount that a series of future payments is worth now.

Formula result = 51780.81945

[Help on this function](#)

OK

Cancel

The EMI is Rs 51781

The total amount which will be paid = Rs 51781 x 24 months = Rs 1242744

The loan amount is Rs 11,00,000

Therefore, the total interest payable = 1242744 - 1100000 = Rs 142744

Loan Against Shares

- Amount: ₹12,00,000
- Interest Rate: 8.5% p.a.
- Tenure: 6 years (72 months)

Let's calculate total Interest payable in this :

EMI using PMT :

=PMT(.085/12,72,-1200000)

E	F	G	H	I	J	K	L	M	N	O	P

Function Arguments

PMT

Rate	.085/12	=	0.007083333
Nper	72	=	72
Pv	-1200000	=	-1200000
Fv		=	number
Type		=	number

Calculates the payment for a loan based on constant payments and a constant interest rate.

Pv is the present value: the total amount that a series of future payments is worth now.

Formula result = 21334.06154

[Help on this function](#)

OK Cancel

The EMI is Rs 21334

The total amount which will be paid = Rs 21334 x 72 months = Rs 1536048

The loan amount is Rs 1200000

Therefore, the total interest payable = 1536048 – 1200000 = Rs 336048

Thus the interest payable on Loan against shares (Rs 336048) is much higher than interest payable for Personal loan (Rs 142744)

Although the loan against shares has a lower interest rate (8.5%) as compared to 12% of personal loan, the longer tenure of 6 years results in a much higher total interest cost compared to the personal loan.

Q 5.5 While evaluating her loan against shares, Reshma considered both annual and monthly rest options, assuming there was no financial impact. She chose annual rest. Was this the best decision?

- a. Total loan costs will be the same regardless of her choice.
- b. Annual rest was the better choice—she managed to save ₹8,540 compared to monthly rest.
- c. Monthly rest would have been more economical—annual rest will cost her an extra ₹45,120.
- d. The ideal option depends on whether she can commit to annual or monthly installment payments.

Answer : Monthly rest would have been more economical—annual rest will cost her an extra ₹45,120.

Explanation :

Let's break down the calculations to compare the total interest cost for the loan with annual rest vs. monthly rest.

Given Loan against shares details:

- Loan amount: Rs 12,00,000
- Interest rate: 8.5% per annum
- Loan tenure: 6 years or 72 months
- Rest options: Annual vs. Monthly

Step 1: Calculating interest for the loan with annual rest

With annual rest, the interest is calculated once per year on the outstanding principal, meaning the principal declines only at the end of each year.

Using PMT function in Excel:

Interest Rate = 8.5% or 0.085

Instalments = 6

Loan amount = Rs 1200000

=PMT(8.5%,6,-1200000)

The image shows the 'Function Arguments' dialog box for the PMT function in Excel. The dialog box is titled 'Function Arguments' and has a question mark icon and a close button (X) in the top right corner. The function name 'PMT' is displayed in the top left. The arguments are listed as follows:

Argument	Value	Description
Rate	8.5%	= 0.085
Nper	6	= 6
Pv	-1200000	= -1200000
Fv		= number
Type		= number

Below the arguments, there is a description: 'Calculates the payment for a loan based on constant payments and a constant interest rate.' Below this, a note states: 'Pv is the present value: the total amount that a series of future payments is worth now.'

The 'Formula result' is displayed as 263528.5008. A red box highlights the result value.

At the bottom, there is a link 'Help on this function' and two buttons: 'OK' and 'Cancel'.

The yearly EMI comes to Rs 263528

The total amount payable will be Rs 263528 x 6 years = Rs 1581168

The total interest payable = Rs 1581168 – Rs 1200000 = Rs 3,81,168

Step 2: Calculating interest for the loan with monthly rest

With monthly rest, interest is recalculated each month based on the reduced principal after every EMI payment, lowering the overall interest cost.

Using PMT function in Excel:

Interest Rate = 8.5% /12 or 0.085/12

Instalments = 72 months

Loan amount = Rs 1200000

The EMI comes to Rs 21334

Now, the total amount paid over 6 years:

Rs 21334 x 72 months = Rs 15,36,048

Total interest payable = 1536048 – 1200000 = Rs 3,36,048

Step 3: Comparing the interest costs

The total interest payable with Annual rest = Rs 3,81,168

The total interest payable with Monthly rest = 3,36,048

Extra interest paid with annual rest= $381168 - 336048 = \text{Rs } 45120$

Thus, Reshma will pay Rs 45120 extra with the annual rest loan compared to monthly rest!

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Q 6. At 57 years old, Mr. Kulkarni is on the brink of retirement and wants expert advice on managing his mutual fund investments. With no EMIs or liabilities, a secure home, and financially stable children, he can focus on ensuring smooth cash flows from his portfolio. His financial support also includes a pension and provident fund.

Having invested in equity funds for the past 15-20 years, his returns stand at a remarkable 18% CAGR, consistently outperforming benchmarks. 75% of his mutual fund portfolio is allocated to equities, while the remaining portion consists of liquid and debt funds. Additionally, he owns a few equity stocks acquired through a friend's suggestion. Given his impending retirement, he now seeks strategic insights on how to proceed.

Q 6.1 Mr. Kulkarni is evaluating whether shifting from actively managed equity funds to passive funds is a smart choice, considering lower expense ratios. What is the best approach?

- e. As retirement nears, focusing on stability rather than chasing high returns suggests passive funds could be beneficial
- f. Passive funds can be complex as their performance depends heavily on the index chosen, making them less preferable
- g. His active funds have shown strong performance, making it wise to hold onto them while gradually reallocating to debt for risk management
- h. Passive funds have minimal costs, but their performance is limited to benchmark returns, making them less attractive

Answer : His active funds have shown strong performance, making it wise to hold onto them while gradually reallocating to debt for risk management

Explanation : Since Mr. Kulkarni is nearing retirement, his priority should shift from capital appreciation to wealth preservation and stable cash flows. Here's why maintaining active funds while gradually shifting to debt is advisable:

- His active funds have delivered strong returns over two decades, significantly outperforming benchmarks. Selling them entirely to move into passive funds may limit potential upside unnecessarily.
- Passive funds offer lower costs but only track index returns, meaning he loses the advantage of well-performing active funds.
- Reducing equity exposure and shifting to debt ensures lower volatility and more predictable income, which is ideal for retirement stability.

A gradual rebalancing strategy—moving a portion of his equity holdings into debt funds or Systematic Withdrawal Plans (SWPs)—can help him secure steady cash flows while still benefiting from market participation.

Q 6.2 As Mr. Kulkarni approaches retirement, you have recommended reducing his 75% equity exposure to lower portfolio volatility. However, he remains confident in his equity mutual funds due to their strong historical performance. He seeks your guidance on how to proceed with fund reallocation.

- a. To immediately reduce volatility risk, he should shift 35 to 40% of his portfolio from equity to debt instruments without delay
- b. He may consider observing the performance of his equity funds for another 1–2 years before making significant changes
- c. He should initiate a gradual reallocation from equity to debt mutual funds to better align with his evolving risk-return profile in retirement
- d. Maintain his current equity investment, given its historical track record of strong returns

Answer : He should initiate a gradual reallocation from equity to debt mutual funds to better align with his evolving risk-return profile in retirement

Explanation : Mr. Kulkarni is entering retirement, which changes the purpose of his portfolio from growth-focused to income and capital preservation-focused. His current equity exposure of 75% is aggressive for this stage of life, even though his past returns have been excellent.

A gradual reallocation strategy is advisable:

- Step-by-step reduction in equity exposure, ensuring he doesn't abruptly exit strong-performing funds while securing more stability.
- Increasing allocation to debt funds for predictable cash flows and reduced market risk.

Q 6.3 Mr. Kulkarni's portfolio currently lacks exposure to Gold. From a portfolio diversification standpoint, introducing an allocation to gold could enhance risk-adjusted returns and provide a hedge against market volatility and inflation. What would be the most cost-effective recommendation?

- a. Invest 10% of the portfolio in gold via Exchange Traded Funds (ETFs)
- b. Invest 50% of the portfolio in gold via Exchange Traded Funds (ETFs)
- c. Invest 10% of the portfolio to gold through Gold Fund of Funds (FoFs)
- d. Invest 50% of the portfolio to gold through Gold Fund of Funds (FoFs)

Answer : Invest 10% of the portfolio in gold via Exchange Traded Funds (ETFs)

Explanation : From a portfolio diversification perspective, adding gold provides a hedge against market volatility and inflation. Gold ETFs (Exchange-Traded Funds) are the best option because:

- They have lower expense ratios compared to Gold Fund of Funds (FoFs), making them a cost-efficient choice.
- They offer higher liquidity, allowing easy entry and exit.
- Gold historically has an inverse correlation to equities, helping stabilize the portfolio during downturns.

A 10% allocation ensures adequate diversification without overexposure to gold, which might reduce overall returns if held in excess.

(A 50% allocation to gold (whether via ETFs or FoFs) is excessive, especially for a retiree. Gold does not generate income, and over-allocating reduces the portfolio's ability to provide cash flow.)

Q 6.4 As Mr. Kulkarni plans for retirement, he is seeking guidance on the most effective way to access his mutual fund portfolio to meet monthly cash flow needs. Which of the following is considered the optimal approach?

- a. Withdraw funds only when necessary, without a predefined structure.
- b. Submit monthly redemptions based on estimated financial needs.
- c. Assess market trends and capitalize on profit-booking opportunities periodically.
- d. Implement a Systematic Withdrawal Plan (SWP) as per the monthly expense estimates

Answer : Implement a Systematic Withdrawal Plan (SWP) as per the monthly expense estimates

Explanation : A Systematic Withdrawal Plan (SWP) is the most efficient method for Mr. Kulkarni to access his mutual fund portfolio during retirement because:

- It provides stable, predictable cash flows, helping him meet his monthly expenses without relying on market fluctuations.
- It allows partial withdrawals while keeping the rest of his investments growing, optimizing tax efficiency and capital appreciation.
- Unlike lump sum redemptions, SWP avoids market timing risks and prevents hasty withdrawals that could erode his portfolio value.

Q 6.5 Which debt fund category would be suitable for Mr. Kulkarni in his retired phase of life and executing withdrawals?

- a. Liquid Funds, known for their low volatility and short duration
- b. Corporate Bond funds & Banking PSU funds – Strong portfolio quality with moderate volatility risk
- c. Overnight Funds, since they carry no mark-to-market risk
- d. Credit Risk Funds, as they offer relatively higher portfolio yields

Answer : Corporate Bond funds & Banking PSU funds – Strong portfolio quality with moderate volatility risk

Explanation : In the retirement phase, a debt fund allocation must strike a balance between:

- Safety (credit quality)
- Stability (low-to-moderate volatility)
- Reasonable income generation (yield)

Corporate Bond Funds and Banking & PSU Funds fit this profile well because:

- They invest 80% or more in high-rated instruments (AAA and equivalent).
- They offer better returns than liquid or overnight funds over medium to long-term horizons.
- They carry moderate interest rate risk and are less volatile than long-duration or gilt funds.

=====

Q7. A portfolio has 4 stocks and the expected returns from these stocks are 12%, 16%, 8% and 10%. The weights of these stocks in the portfolio are 10%, 35%, 15% and 40% respectively. What is the expected return of this portfolio?

- a. 10.8%
- b. 12%
- c. 14%
- d. 13.55%

Answer : 12%

Explanation: Lets assume Rs 100 is invested. Therefore, amount invested in 4 stocks as per the weights is Rs 10, Rs 35, Rs 15 and Rs 40.

Returns from the portfolio = $10 \times 12\% + 35 \times 16\% + 15 \times 8\% + 40 \times 10\%$
 $= 1.2 + 5.6 + 1.2 + 4 = 12\%$

=====

Q 8. Mr. Bhavesh, a resident of India and aged 35, wants to start his own business. He is the sole earning member of the family and is therefore worried about the financial security of his family. He is also interested in building up his networth before he starts his own business but his plans do not fructify as he not financially ready yet.

He also has some short-term financial goals like going on a foreign holiday, buying a car etc. for which he has been allocating funds as and when the expense has to be met.

He is investing his savings in equity as he has seen that equities have given good results in the past. But sometimes he is forced to sell his equity investments at a loss to fund his goals. Due to this he is compelled to borrow at a high cost and this is further increasing the pressure on his income.

Mr. Bhavesh's wife also wants to get employed so as to add to the family income. For getting a good job, she has to do a skill enhancement course. Mr. Bhavesh is expecting a bonus this year and plans to spend it on the skill enhancement course for his wife.

Answer the below questions as an investment advisor giving suggestions which are best suitable for Mr. Bhavesh.

Q 8.1 - Mr. Bhavesh is planning to use the bonus money to fund his wife's skill enhancement course. Considering his current financial situation, is this the best use of the bonus money?

- a. Bhavesh should use the money for creating a good backup emergency fund which can be used for funding any shortfalls**
- b. Bhavesh should use the bonus amount to fund the goal which require the largest need of funds so that no goal is left out**
- c. Bhavesh can take a low cost educational loan to fund his wife's course. The bonus money can be used to first pay-off the high cost debt that is eating into his income**
- d. Bhavesh can use the bonus to earn some quick money by investing in high return instruments so that he can pay-off his debts and also pay for his wife's education**

Answer - Bhavesh can take a low cost educational loan to fund his wife's course. The bonus money can be used to first pay-off the high cost debt that is eating into his income.

Explanation : Bhavesh is borrowing at a high cost and he is finding the debt servicing a drain on his income. It's very important to reduce high cost debt. Sometimes, excessive borrowings may lead a household into a debt trap. So the best way to use the bonus money is to retire the high cost debt. Educational loans are available at a much lower rate of interest and easy repayment options.

Q 8.2 - Identify the error due to which Mr. Bhavesh is unable to start his own business.

- a. His goal is not realistic
- b. His goal is short term
- c. The goal is not time bound
- d. All of the above

Answer – All of the above

Explanation: The financial planning process starts with the goal setting process. Goals refer to what has to be achieved. These goals have to be time bound and realistic. Sufficient time has to be provided for the investments to grow to achieve the goals.

In the above case, we find the goals are not time bound, the amount has not been specified, they do not seem to be realistic due to limited income and also, they are short term.

Q 8.3 - Give some suggestions to Bhavesh which can help him achieve financial security.

- a. Bhavesh should take life, health and other useful insurances**
- b. Bhavesh should increase his income as soon as possible and also save to meet his goals**
- c. Bhavesh should invest in equity only for the long term**
- d. All of the above**

Answer – All of the above

Explanation: Is very important to have life/health insurance as they do not cost a lot but save the individual from huge financial losses in case of unexpected events.

Increasing income too is important for Mr. Bhavesh. The best way is to help his spouse become job capable by enrolling in the required courses

Long term goals like increasing his net worth can be achieved by investing some money in equities regularly.

Q 8.4 - Identify the reasons which are affecting Bhavesh's plan to increase his networth.

- a. The loss in value of his investments
- b. There are many short term goals which require funding
- c. There is high level of debt
- d. All of the above

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Answer – All of the above

Explanation: Net worth is Assets less Liabilities.

The assets of Mr. Bhavesh are not showing any growth as he has to sell them at a loss and also his liabilities and debts are growing. Therefore, there is no growth in Mr. Bhavesh's net worth.

Q 8.5 - Why do you think is Bhavesh unable to use his investments efficiently to meet his goals?

- a. Bhavesh has made investments which are more suitable for capital appreciation rather than regular income which is currently required
- b. Bhavesh is unable to make big investments which are required to get good returns
- c. Bhavesh is unable to correctly time the investments and is unable to make the most of market movements
- d. The goals of Bhavesh are short term but to get good returns one need to have long-term holding period

Answer - Bhavesh has made investments which are more suitable for capital appreciation rather than regular income which is currently required

Explanation: Bhavesh is investing in equities. Equities tend to give good returns but only in the long run. Most of Bhavesh's needs are short term. So the correct way of investing will be to invest some amount in debt and some in equities.

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Q 9 - Mr. Surendra is working at a senior level in the administration department of a large company. Although he is not having a finance background, he still does his own investments in the direct plans of various mutual funds. His portfolio is of Rs 1 crore in equity and debt mutual funds.

You are an investment adviser and Mr. Surendra has approached you as he wants professional advice to manage his investments.

Q 9.1 Mr. Surendra is already investing in Mutual Fund through Direct Plans. He want to know that as an investment adviser, what value additions you will do?

- a. You can identify equity funds that are likely to perform better in future
- b. You will keep him updated on the various developments in the field of investments to increase his knowledge
- c. You can guide him and explain to him on the complex mutual funds and how to profit from them
- d. You can advise him on the correct choice of funds depending on his investment objectives and risk-return profile

Answer – d - You can advise him on the correct choice of funds depending on his investment objectives and risk-return profile

Explanation - An investment adviser, before recommending any mutual fund to invest in, shall seek from its clients, information about their financial situation, investment experience, investment objectives and investor's ability and willingness to assume risk.

Based on these, the investment adviser will suggest the funds which will be a correct fit for the investor. This value addition is given by the investment adviser while investing in regular plans and the same will not be available to the investor when he/she invests through Direct Plans.

Q 9.2 Mr. Surendra has a habit of investing in mutual fund as and when he has spare funds. He has heard about SIPs – Systematic Investment Plans. He wishes to know from you the reason why he should start a SIP?

- a. SIP's get a special tax incentive which lump sum investments do not get
- b. In a SIP, you are allocated more units when the markets are falling. This leads to cost-averaging
- c. SIP leads to a disciplinarian approach to investing as otherwise the money tends to get spent

- A. Both 'a' and 'b' are correct
- B. Both 'b' and 'c' are correct
- C. Both 'a' and 'c' are correct

Answer – B - Both 'b' and 'c' are correct

Explanation - In a Systematic Investment Plan, investors commit to invest a fixed sum of money at regular intervals over a period of time in a mutual fund scheme. It enables investors to build a corpus over time even with small sums invested. Since the same amount is being invested in each instalment, investors buy more units when the price is low and less units when the price is high. Overtime, the average cost of acquisition per unit comes down. This is called rupee cost averaging and is the primary advantage that SIPs provides investors.

SIP also leads to discipline in savings and investments as the amount is automatically deducted from the bank account and invested in mutual fund.

The tax treatment is the same for both SIP and Lump-sum investments in mutual funds.

Q 9.3 Mr. Surendra wants to invest more amount in equity funds as these funds have given him good returns in recent times. However, he is also afraid of the current high market levels. He wants your guidance and asks you, if there are any mutual funds which adjust the equity and debt levels of their portfolio as per stock market valuations?

- a. You should suggest Multi Asset Funds as they allocate the money between various assets like Equity, Gold, Debt etc.
- b. You should suggest Aggressive Hybrid Funds as allocate the money between Equity and Debt
- c. You should suggest Balanced Advantage funds / Dynamic Asset Allocation funds as these allocate the amount as per the Asset Management Company's (AMC) view on market levels
- d. You should inform Mr. Surendra that there is no such mutual fund

Answer – c - You should suggest Balanced Advantage funds / Dynamic Asset Allocation funds as these allocate the amount as per the Asset Management Company's (AMC) view on market levels

Explanation - Balance Advantage Funds / Dynamic Asset Allocation Funds invest in a mix of stocks and debt instruments. However, they keep changing this allocation based on the market conditions to provide you optimal returns with minimal risk. The asset allocation (i.e. mix of equity and fixed income in the portfolio) of balanced advantage funds changes dynamically according to market conditions.

Mr. Surendra is working at a senior level in the administration department of a large company. Although he is not having a finance background, he still does his own investments in the direct plans of various mutual funds. His portfolio is of Rs 1 crore in equity and debt mutual funds.

You are an investment adviser and Mr. Surendra has approached you as he wants professional advice to manage his investments.

Q 9.4 Mr. Surendra also reads financial newspapers and he has read the Arbitrage Funds are giving currently giving good returns and that short term extra funds can be parked in Arbitrage Funds instead of Liquid Funds. He has asked you on the right advice regarding this.

- a. Arbitrage funds are difficult to understand so one should not invest in them
- b. Arbitrage funds are not suitable for parking short term funds as they require an investment horizon of at least six months to a year.
- c. Liquid funds are equally good as arbitrage funds and their performance will eventually catch up with the arbitrage funds
- d. One can take advantage of Arbitrage funds as long as they are performing well and park the extra funds in them

Answer – d - One can take advantage of Arbitrage funds as long as they are performing well and park the extra funds in them

Explanation - Arbitrage funds aim at taking advantage of the price differential between the cash and the derivatives markets.

Arbitrage funds may generate relatively better returns than liquid funds, but liquid funds tend to be relatively stable and consistent when generating returns for investors.

The returns from liquid and arbitrage funds may be similar over the long term. So the investor can take advantage of Arbitrage Funds as long as they are doing well and park temporary surplus money.

Q 9.5 Mr. Surendra is thinking of investing in a fund which has defined allocation to equity and debt. What would your recommendation be?

- a. If Mr. Surendra prefers higher allocation to equity then he should invest in Conservative Hybrid Funds
- b. If Mr. Surendra prefers higher allocation to equity then he should invest in Aggressive Hybrid Funds otherwise he should invest in Conservative Hybrid Funds
- c. Mr. Surendra can invest in either Aggressive or Conservative Hybrid fund depending on which fund has given a better return over the last one year
- d. Mr. Surendra can invest in either Aggressive or Conservative Hybrid fund depending on which fund has given a better return over the last five years

Answer – b- If Mr. Surendra prefers higher allocation to equity then he should invest in Aggressive Hybrid Funds otherwise he should invest in Conservative Hybrid Funds

Explanation - Aggressive Hybrid Funds are predominantly equity-oriented funds investing between 65% and 80% in the equity market, and invest between 20% up to 35% in debt.

Conservative hybrid funds invest minimum of 75% to 90% in a debt portfolio and 10% to 25% of total assets in equity and equity-related instruments.

Therefore, depending on the asset allocation preference of Mr. Surendra, he can chose the fund.

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Q 10. Ms. Mahima, age 28, works for a medium size company for a monthly salary of Rs. 30,000. She lives with her parents and so does not have to worry about regular household expenses. Her money is usually spent in shopping, eating out, entertainment etc. She has a long list of requirements and due to this money always seem to run out at the end of the month. However, she manages to save around Rs. 4000 per month.

Mahima has not done any investments yet and is now seriously thinking of starting some investments and has decided to undertake comprehensive financial planning.

Q 10.1 Mahima is seriously thinking of investing some money for her future needs. So she decides to put a amount of Rs 2000 in the savings bank account and slowly increase this amount so that a substantial amount is saved over a period of time. Is this a right way to invest for her future needs?

- a. No, merely putting money in a savings bank account is not sufficient. She must invest the money for future goals
- b. Yes, this is sufficient as higher savings are good way to accumulate a corpus for ger future needs
- c. Yes, savings is always more important than investing
- d. Yes, as savings in this way is very safe

Answer – a - No, merely putting money in a savings bank account is not sufficient. She must invest the money for future goals

Explanation - The terms saving and investing are *sometimes used interchangeably*, but they are very different and extremely important to understand.

Saving can mean putting your money into products such as a bank account. Investing means using some of your money with the aim of helping to make it grow by buying assets that might increase in value, such as stocks, property, mutual fund etc.

Therefore, just putting money in savings bank account will not be sufficient. It needs to be invested so that it grows over the long term.

Q 10.2 Mahima got to know that financial planning also involves creation of an emergency fund. She has Rs.3000 in her savings bank account. What are your views on this?

- a. As Mahima is young, she does not require any emergency fund**
- b. Mahima can create an emergency fund after she has completed her long list of requirements**
- c. Mahima should keep aside several months of expenses as an emergency fund and this money should be easily accessible**
- d. Rs.3000 in the savings bank account will be sufficient as an emergency fund**

Answer – c - Mahima should keep aside several months of expenses as an emergency fund and this money should be easily accessible

Explanation - An emergency fund needs to be the first goal towards which a household or individual should save as a protection against the possibility of loss or reduction of income. The fund should be adequate to meet the expenses for six months, in the event the regular income is not available.

Q 10.3 Mahima has seen that her father and other relatives put their money in Bank Fixed Depots as it was very safe. What should she do if she has to do proper financial planning?

- a. As bank fixed deposits are safe, she should also put her money in such deposits and also in safe endowment policies
- b. She should consider both Gold and fixed deposits to put her money
- c. She should only consider bank fixed deposits and put all her savings into them
- d. She should first see what her goals are and how much risk can she take. Then accordingly allocate money to different investment options

Answer – d - She should first see what her goals are and how much risk can she take. Then accordingly allocate money to different investment options

Explanation - Fixed deposits are preferred by investors who like the safety that a bank provides. But the returns are conservative and if adjusted for inflation, may sometime be negative.

As Mahima is young and can take some risks in investments and has a long time horizon, she can do proper asset allocation and allocate money to different investment avenues like Equity, Gold, Debt etc.

Ms. Mahima, age 28, works for a medium size company for a monthly salary of Rs. 30,000. She lives with her parents and so does not have to worry about regular household expenses. Her money is usually spent in shopping, eating out, entertainment etc. She has a long list of requirements and due to this money always seem to run out at the end of the month. However, she manages to save around Rs. 4000 per month.

Mahima has not done any investments yet and is now seriously thinking of starting some investments and has decided to undertake comprehensive financial planning.

Q 10.4 A friend has informed Mahima about the usefulness of a health insurance policy. Mahima is wondering whether she actually needs such a policy. Which of the following statement is true in this respect?

- a. Mahima is in good health and has not fallen sick for a long time. Therefore, she does not need a health insurance policy
- b. Mahima should take a health insurance policy as soon as possible as medical emergency can strike any time
- c. Mahima feels that she will take a health insurance policy one she falls sick
- d. Mahima is young and health and currently does not need health insurance. Buying a health policy will be a waste of money

Answer– b – Mahima should take a health insurance policy as soon as possible as medical emergency can strike any time

Explanation - Medical emergency can strike any time – it can be in the form of an accident or any serious illness. Therefore, taking health insurance is of primary importance for any individual.

Q 10.5 Mahima's father, a retired government employee, informs Mahima how he has taken many endowment policies for his insurance requirements. Should Mahima also opt for endowment policies for her life insurance needs or no?

- a. As Mahima has already decided planned to buy health insurance, there is no need for life insurance
- b. Mahima should not buy life insurance as her father has already bought many endowment policies and these have a savings element in them
- c. Mahima should also buy many endowment policies as she has good portfolio of insurance policies and these will meet her insurance needs
- d. Mahima should first calculate the amount of insurance required and then buy a pure term policy to meet her life insurance needs

Answer– d - Mahima should first calculate the amount of insurance required and then buy a pure term policy to meet her life insurance needs

Explanation - Term insurance is a pure risk protection product with no benefit on maturity. If the insured event occurs, in this case loss of life insured, then the sum assured is paid to the beneficiaries.

Endowment policies have a saving element where the premium amount paid is returned back with nominal interest when the policy matures.

Mahima should choose term insurance for her insurance needs and for savings/investment, she can use Equity/Debt mutual funds etc. This will be a cost-effective way to insure and invest.

=====

Q 11 – Mr. Reddy stays with his wife and two children Riya and Rohit. He is of 50 years and his wife is of 47 years of age. Riya is 20 years old and Rohit is 15 years old. Mr. and Mrs. Reddy have their Permanent Account Numbers (PAN) where as Riya and Rohit have still not applied for their PAN.

They are planning to invest in several mutual fund schemes for their future needs and goals. However, they are concerned with the procedures which have to be followed while investing in mutual funds.

Q 11.1 Mrs. Reddy is tech savvy and decided to buy her first mutual fund online from a popular financial website. However the transaction did not go through. What can be possible reason for Mrs. Reddy's transaction being declined?

- a. Mrs. Reddy has not completed the KYC procedure**
- b. Mutual funds cannot be bought online for the first time.**
- c. The transaction was not PAN exempt transaction**
- d. Mrs. Reddy's PAN was not used in any financial transaction for the past six months**

Answer– a - Mrs. Reddy has not completed the KYC procedure

Explanation - It is mandatory for all investors who wish to invest in mutual funds to complete KYC formalities (Know Your Customer) with a KYC Registration Agency or through e-KYC services.

As this was Mrs. Reddy's first mutual fund transaction, she must first complete her KYC and then do the online investment.

Q 11.2 Mr. Reddy wants to complete his KYC formalities. Which official will NOT be able to complete the in-person verification of Mr. Reddy which is a part of the KYC procedure.

- a. A KYD complaint distributor
- b. An Income Tax Officer
- c. Official of the Asset Management Company
- d. An authorized official of the intermediary

Answer– b - An Income Tax Officer

Explanation - In person verification : For the first time investor, this is a mandatory step which is required to be followed. The KYC procedures require the intermediary with whom the client conducts the Know Your Customer formalities to do, an 'In Person Verification (IPV)' of the client.

The officials of the asset management company, an authorized official of the intermediary and the distributors who are compliant, with the KYD norms are eligible to conduct the in-person verification.

Q 11.3 Rohit is interested in going abroad for higher education after about 5 years. So, Mr. Reddy plans to invest in a Blue Chip Equity Fund in the name of Rohit so that these funds can be used for his higher education.

- a. Mr. Reddy can invest in Rohit's name but he will have to use his PAN as his guardian**
- b. Mr. Reddy can invest jointly with Rohit with Rohit's name as the first holder without a PAN**
- c. Mr. Reddy can invest only in his own name as he has a PAN but not in Rohit's name as he is a minor**
- d. Mr. Reddy can easily invest in Rohit's name even though Rohit does not have a PAN**

Answer- a - Mr. Reddy can invest in Rohit's name but he will have to use his PAN as his guardian

Explanation - As Rohit is 15 years of age, he is a minor. Minors are investors who are less than 18 years of age on the date of investment.

Minors cannot enter into contracts on their own. Therefore, the financial transactions of minors are conducted by adults on their behalf. Those transacting on behalf of the minor child are called guardians. Parents are the natural guardians of their minor children and will have to submit their PAN details while investing on behalf of a minor

Mr. Reddy stays with his wife and two children Riya and Rohit. He is of 50 years and his wife is of 47 years of age. Riya is 20 years old and Rohit is 15 years old. Mr. and Mrs. Reddy have their Permanent Account Numbers (PAN) where as Riya and Rohit have still not applied for their PAN.

They are planning to invest in several mutual fund schemes for their future needs and goals. However, they are concerned with the procedures which have to be followed while investing in mutual funds.

Q 11.4 Riya is now planning to start investing in mutual funds. She has selected a Multicap fund and a Diversified Equity fund of the same fund house to invest in. She plans to invest Rs 35,000 each in both these funds.

- a. As Riya is a major and is investing for the first time she will be allowed to invest even without a PAN
- b. Riya will be able to invest without a PAN as the amount to be invested is less than Rs 50,000 in a single fund
- c. Riya will be unable to invest without a PAN as she is making more than one investment
- d. Riya will be unable to invest as she does not have a PAN and the total amount to be invested is more than Rs. 50,000

Answer– d - Riya will be unable to invest as she does not have a PAN and the total amount to be invested is more than Rs. 50,000

Explanation - All mutual fund investments require PAN except certain mutual fund transactions which are exempt from the requirement for submitting PAN. These are micro investments, i.e. investments up to Rs.50,000 in aggregate under all schemes of a fund house.

However, as Riya is investing more than Rs. 50,000 (35,000 each in two funds) in the same fund house, she will have to submit her PAN details or she will not be allowed to invest.

Q 11.5 Riya wants to open a Savings Bank account. As she does not have a PAN, she will be required to submit _____ to open the account.

- a. Form 79A
- b. Form 60
- c. Form 15H
- d. Form 12

Answer– b – Form 60

Explanation - The term 'Form 60' means an official document that is submitted by individuals who do not have a PAN card to conduct financial transactions or create bank accounts as specified in Rule 114B of the Income-tax Rules.

Form 60 is a document to be filed by a person to carry out transaction specified in Rule 114B when they do not have a PAN either because: they have not applied for PAN or. they have applied for PAN but allotment is pending.

=====

Q 12 - Grow Rich Ltd. is a Non-Banking Financial Company (NBFC). It has an investment advisory firm under the name Grow Rich Advisory Private Ltd. and has a majority stake in it. The promoter of Grow Rich Ltd. is an MBA and has five years of experience in mutual fund distribution. The managing director of Grow Rich Advisory Private Ltd. is also an MBA with more than ten years of experience in an Asset Management Company (AMC) in a senior role.

Mr. Gopinath is client of Grow Rich Ltd. and uses its mutual fund distribution facility to buy mutual fund units. He has now signed up with Grow Rich Advisory Pvt. Ltd. for their advisory services. Mr. Gopinath is 55 years old and plans to retire in a few years. He wants invest is accumulated corpus in next few years so that he has a good source of retirement income.

Answer the below questions based on the provisions of the SEBI (Investment Advisors) Regulation 2013.

Q 12.1 Identify the correct statement with respect to Mr. Gopinath being a client of both Grow Rich Ltd. and Grow Rich Advisory Pvt. Ltd.

- a. Grow Rich Advisory Pvt. Ltd. will not be able to take Mr. Gopinath as a client as he is already a client of a group company**
- b. Although Mr. Gopinath is already a client of Grow Rich Ltd. there is no prohibition of him to become a client of Grow Rich Advisory Pvt. Ltd. too.**
- c. As the services for which Mr. Gopinath has signed up for with Grow Rich Ltd. and Grow Rich Advisory Pvt. Ltd. are quiet different, there is no conflict of interest**
- d. Mr. Gopinath will have to choose between the distribution services of Grow Rich Ltd. and the advisory services of Grow Rich Advisory Pvt. Ltd.**

Answer– d - Mr. Gopinath will have to choose between the distribution services of Grow Rich Ltd. and the advisory services of Grow Rich Advisory Pvt. Ltd.

Explanation - As per SEBI (Investment Advisers) Regulations – Client level segregation of advisory and distribution activities :

- 1. The same client cannot be offered both advisory and distribution services within the group of the non-individual entity.**
- 2. A client can either be an advisory client where no distributor consideration is received at the group level or distribution services client where no advisory fee is collected from the client at the group level.**

Q 12.2 Which of the following criteria made Grow Rich Advisory Pvt. Ltd. eligible in terms of educational qualification and experience to apply for registration?

- a. The qualification and experience of the promoter of Grow Rich Ltd. and managing director of Grow Rich Advisory Pvt. Ltd. meet the requirements as required by SEBI rules**
- b. The promoter of Grow Rich Ltd. has the necessary experience and qualifications required**
- c. The managing director of Grow Rich Advisory Pvt. Ltd. the necessary experience and qualifications required**
- d. The promoter company Grow Rich Ltd. has been in the financial services business and therefore Grow Rich Advisory Pvt. Ltd. is exempt from the experience and qualification requirements.**

Answer– c - The managing director of Grow Rich Advisory Pvt. Ltd. the necessary experience and qualifications required

Explanation - As per Regulation 7 of SEBI (Investment Advisors) Regulations, the Principal Officer should have a post graduate degree and at least 5 years experience in financial products / fund etc.

The Managing Director of Grow Rich Advisory Pvt. Ltd. is MBA who has 10 years experience in an Asset Management Company. This makes Grow Rich Advisory Pvt. Ltd. eligible in terms of educational qualification and experience to apply for registration.

Q 12.3 Identify the information that Grow Rich Advisory Pvt. Ltd. should share with Mr. Gopinath before Mr. Gopinath decides on signing on as a client?

- a. Mr. Gopinath should know that the Managing Director of Grow Rich Advisory Pvt. Ltd. is a former senior level employee of an Asset Management Company and whose mutual fund schemes are also being offered by Grow Rich Advisory Pvt. Ltd.**
- b. Mr. Gopinath should know that Grow Rich Ltd. is the promoter of Grow Rich Advisory Pvt. Ltd.**
- c. Mr. Gopinath should know that Grow Rich Ltd. distributes mutual fund products including those that are offered by Grow Rich Advisory Pvt. Ltd.**
- d. All of the above**

Answer– d- All of the above

Explanation - As per SEBI (Investment Advisers) Regulations :

Conflicts of interest - An investment adviser shall try to avoid conflicts of interest as far as possible and when they cannot be avoided, it shall ensure that appropriate disclosures are made to the clients and that the clients are fairly treated.

Grow Rich Ltd. is a Non-Banking Financial Company (NBFC). It has an investment advisory firm under the name Grow Rich Advisory Private Ltd. and has a majority stake in it. The promoter of Grow Rich Ltd. is an MBA and has five years of experience in mutual fund distribution. The managing director of Grow Rich Advisory Private Ltd. is also an MBA with more than ten years of experience in an Asset Management Company (AMC) in a senior role.

Mr. Gopinath is client of Grow Rich Ltd. and uses its mutual fund distribution facility to buy mutual fund units. He has now signed up with Grow Rich Advisory Pvt. Ltd. for their advisory services. Mr. Gopinath is 55 years old and plans to retire in a few years. He wants invest is accumulated corpus in next few years so that he has a good source of retirement income.

Answer the below questions based on the provisions of the SEBI (Investment Advisors) Regulation 2013.

Q 12.4 Mr. Gopinath receives information about a privately place debenture from Grow Rich Ltd. Mr. Gopinath than enquires with Grow Rich Advisory Pvt. Ltd. if this product is suitable for him for investments for his retirement portfolio. How should Grow Rich Advisory Pvt. Ltd explain the recommendation to Mr. Gopinath?

- a. Grow Rich Advisory Pvt. Ltd should inform Mr. Gopinath that this product is distributed by Grow Rich Ltd. (their parent company) and so there is a conflict of interest
- b. Grow Rich Advisory Pvt. Ltd should inform Mr. Gopinath that privately placed investment products cannot be recommended by an investment advisor
- c. Grow Rich Advisory Pvt. Ltd should do the risk-profiling of Mr. Gopinath and see if the product is suitable for him
- d. All of the above

Answer– a - Grow Rich Advisory Pvt. Ltd should inform Mr. Gopinath that this product is distributed by Grow Rich Ltd. (their parent company) and so there is a conflict of interest

Explanation – As per SEBI (Investment Advisers) Regulations :

Conflicts of interest - An investment adviser shall try to avoid conflicts of interest as far as possible and when they cannot be avoided, it shall ensure that appropriate disclosures are made to the clients and that the clients are fairly treated.

Q 12.5 The name 'Grow Rich Advisory Pvt. Ltd' is not as per the SEBI regulations. What can be the possible issue with the name?

- a. The advisory cannot be a private limited company
- b. The name should have the words 'Investment Adviser' in it
- c. The names of both the promoter company and the advisory company sound very similar
- d. All of the above

Answer– b - The name should have the words 'Investment Adviser' in it

Explanation - As per SEBI Conditions of granting Certificate under the SEBI (Investment Adviser) Regulations :

The investment adviser, not being an individual, shall include the words 'Investment Adviser' in its name

As the name 'Grow Rich Advisory Pvt. Ltd' does not contain the words ' Investment Adviser' it is not compliant with the SEBI regulations.

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Q 13 – Mr. Arora has a good diversified portfolio of stocks in various sectors like Retail, Banking, Information Technology, Fintech etc. He has a habit of regularly re-balancing his portfolio by selling overvalued stocks and buying undervalued stocks. He feels that one stock (ABC Ltd.) in his portfolio belonging to the retail sector is not performing well and wants to switch to another stock in the same sector.

Mr. Arora also researches unlisted companies for investments and currently he is found a fintech startup company which has good management, steady growth and stable level of debt.

He is also researching three listed stocks X, Y and Z, which can be added to his portfolio and the financial details of the stocks are as under :

Details	Stock X	Stock Y	Stock Z
Face Value	Rs.10	Rs. 5	Rs. 10
PE Ratio	15	28	19
Market Price	Rs. 42	Rs. 83	Rs. 52
Dividend	15%	10%	10%
Growth in Earnings	10%	38%	21%

Q 13.1 Mr. Arora feels that a stock in his portfolio, ABC Ltd., is not performing well. Which of these indicators gives a signal to sell the stock?

- a. When the price of ABC Ltd. will move above the flat trend channel and that too with low volumes
- b. When the price of ABC Ltd. will move two standard deviations below the moving average
- c. When the price of ABC Ltd. will be above the 200 day moving average
- d. All the above signals give an indication to sell

Answer– c - When the price of ABC Ltd. will be above the 200 day moving average

Explanation - When the stock price is above the 200 day moving average, it is considered a good time to sell.

When the price goes two standard deviations below the moving average, the stock might be regarded as oversold, so selling here would not be the right choice.

The stock moving above the flat trend channel is mostly a bullish sign, so that action is also not recommended.

Thus Option C will be the right choice.

Q 13.2 Mr. Arora holds stocks of various sectors in his portfolio. In which of these stock is Price to Book Value (P/BV) a better valuation metric to check the valuation levels?

- a. Information Technology (IT)
- b. Banking and Financial Services
- c. Retail
- d. All of the above

Answer– b - Banking and Financial Services

Explanation - Price to Book Value (P/BV) compares a stock's price per share (market value) to its book value of equity per share. The P/BV ratio is an indication of how the market is valuing the book value of equity or how much more less are the shareholders valuing the equity to be. The market price being above or below the book value is much to do with market players and investor's expectations of the value currently not recognised in the books.

P/BV is still widely used as a valuation metric especially in valuing financial services and banking stocks where the assets are marked to market.

For Retail and Information Technology, the profit and performance of the company is highly dependent on the sales numbers and the gross and net margins of the company. On the other hand, for banking and financial services, they generally trade at a multiple of their assets depending on how profitable they are. That's how you can tell what you're getting for your money, what kind of quality you're getting for your money.

Q 13.3 There is an equity share in Mr. Arora's portfolio whose current market price is Rs. 580 and the earnings of this company are expected to grow by 40%. The EPS is Rs 19. Is this share overvalued and should Mr. Arora rebalance his portfolio by selling this share. The benchmark index PE ratio is 24.

- a. Mr. Arora should sell this share as the PE ratio at 22.5 is higher than the EPS and lower than the index PE. This shows that this stock is out of favour in the market
- b. Mr. Arora should sell this share as the PE ratio is high and also the high growth number show that the stock is overvalued
- c. Mr. Arora should not sell this share as the Price to Growth ratio at 20.32 is lower than the PE ratio of the index. This means that the share price has the scope to go up
- d. Mr. Arora should not sell this share as the PEG ratio is below 1 even though the PE Ratio is 30.5 and is higher than the index PE.

Answer– d - Mr. Arora should not sell this share as the PEG ratio is below 1 even though the PE Ratio is 30.5 and is higher than the index PE.

Explanation - PEG ratio may be interpreted as the price that an investor is willing to pay for a company, is as justified by the growth in earnings. The assumption with high P/E stocks is that investors are willing to buy at a high price because they believe that the stock has significant growth potential. The PEG ratio is an improvisation of the PE ratio using a companion variable called growth.

Let's calculate both; the PE Ratio and PEG Ratio of this Company

PE Ratio = Price Per Share/Earnings per share

PE Ratio = 580/19

PE Ratio = 30.52

PEG Ratio = PE Ratio/Earnings Growth Rate

PEG Ratio = 30.52/40

PEG Ratio = 0.763

The thumb rule is that if the PEG ratio is 1, it means that the market is valuing a stock in accordance with the stock's estimated EPS growth. If the PEG ratio is less than 1, it means that the stock's price is undervalued given its growth rate.

Therefore, Mr. Arora should not sell this share.

Mr. Arora has a good diversified portfolio of stocks in various sectors like Retail, Banking, Information Technology, Fintech etc. He has a habit of regularly re-balancing his portfolio by selling overvalued stocks and buying undervalued stocks. He feels that one stock (ABC Ltd.) in his portfolio belonging to the retail sector is not performing well and wants to switch to another stock in the same sector.

Mr. Arora also researches unlisted companies for investments and currently he is found a fintech startup company which has good management, steady growth and stable level of debt.

He is also researching three listed stocks X, Y and Z, which can be added to his portfolio and the financial details of the stocks are as under :

Details	Stock X	Stock Y	Stock Z
Face Value	Rs.10	Rs. 5	Rs. 10
PE Ratio	15	28	19
Market Price	Rs. 42	Rs. 83	Rs. 52
Dividend	15%	10%	10%
Growth in Earnings	10%	38%	21%

Q 13.4 Compare the data of the three stocks X,Y and Z given above and identify which of these will be the best fit in a growth portfolio?

- a. Stock X
- b. Stock Y
- c. Stock Z
- d. None of the above will fit

Answer– b - Stock Y

Explanation - Stock Y exhibits the characteristics of High Growth Rate, High PE Ratio, Low dividend yield. These are the features exhibited by a growth stock. Thus Stock Y will fit best in a growth portfolio.

Q 13.5 During the process of researching unlisted companies, Mr. Arora wanted to be sure that he is valuing the companies correctly. Suggest to him which cash flow valuation method will be best suited for such valuation?

- a. Instead of cash flow valuation, Mr. Arora should use methods such as Enterprise Valuation will be better for valuing equity
- b. Mr. Arora should use Free Cash Flow to the Firm (FCFF) as this is likely to increase its leverage in future
- c. Mr. Arora should use Free Cash Flow to Equity (FCFE) as the company has steady leverage and good growth prospects
- d. Both, FCFF and FCFE will give the same value of equity

Answer– c - Mr. Arora should use Free Cash Flow to Equity (FCFE) as the company has steady leverage and good growth prospects

Explanation - Since the company has steady leverage and good growth prospects, FCFE is the right choice.

- FCFE directly values the cash available to shareholders after all expenses, investments, and debt repayments.
- If leverage is expected to stay stable, FCFE gives a clearer picture of the equity value.
- FCFF would be more appropriate if there were expected changes in leverage or if the valuation was from a firm-wide (not just equity) perspective.

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Q 14. Mr. Ramesh has some investments in small saving schemes and bank deposits which are currently giving him an average return of 8%. He is planning to diversify by buying some bonds and the main condition is that the bonds should give him a return of at least 8% which he is currently getting from his debt investments.

One bond which is in his radar of investment is a 9% bond of ABC Ltd., which is available at Rs 106. The interest payable is for 5 years each year.

Mr. Ramesh has also invested in Government Securities (GSec) of coupon 7.5% and maturity after 6 years.

Answer the below questions based on this information.

Q 14.1 – What do you think of Mr. Ramesh's plan of investing in ABC Ltd. bonds considering his yield requirements of 8% plus?

- a. Yes, he should invest in ABC bond as the coupon is 9%
- b. Yes, he should invest in ABC bond as the price of the bond is above the face value
- c. No, he should not invest in ABC bond as the current price is higher than the redemption price
- d. No, he should not invest in ABC bond as the yield is only 7.51%

Answer - No, he should not invest in ABC bond as the yield is only 7.51%

Explanation:

We have to first find the yield of ABC bond using MS Excel.

The data with us is –

The period (Nper) is 5 years

The amount received each year ie. Payment (PMT) is the interest received at 9% on face value of Rs 100 = Rs 9

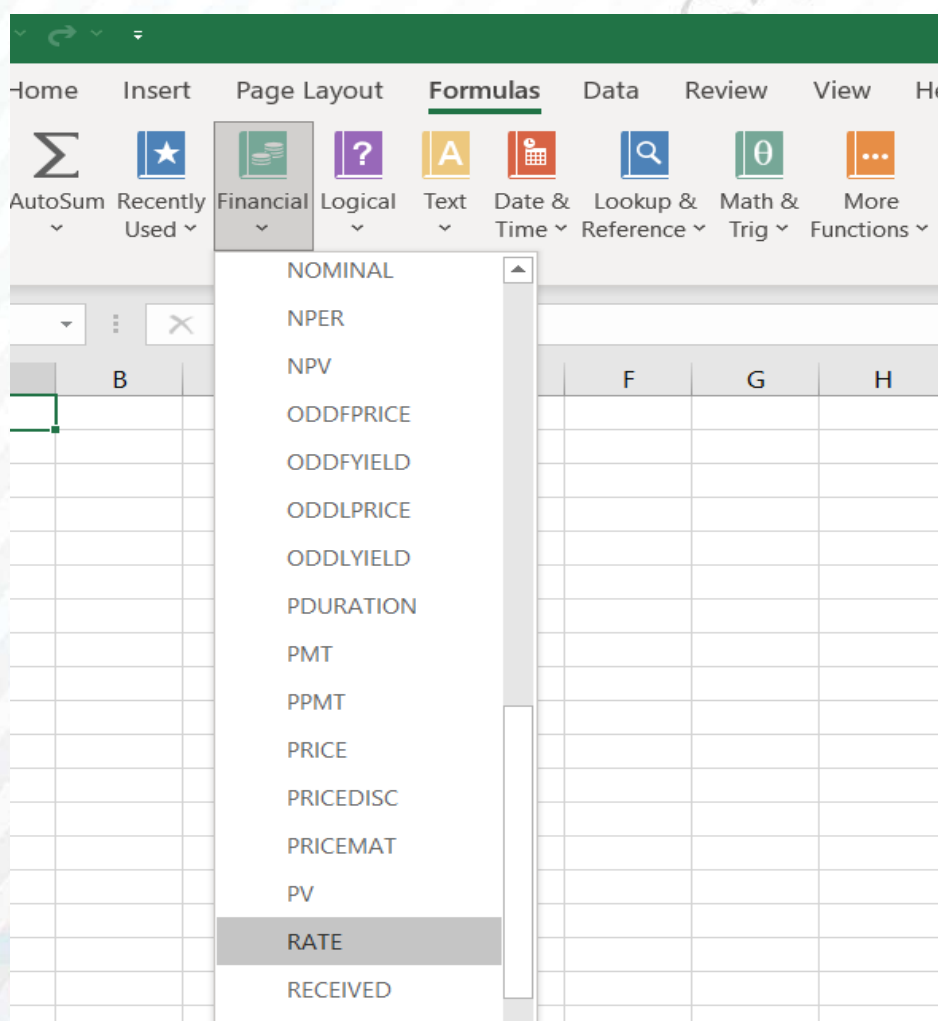
The current price or Present Value (PV) is Rs 106

The maturity value of the bond ie. The Future Value (FV) = Rs 100

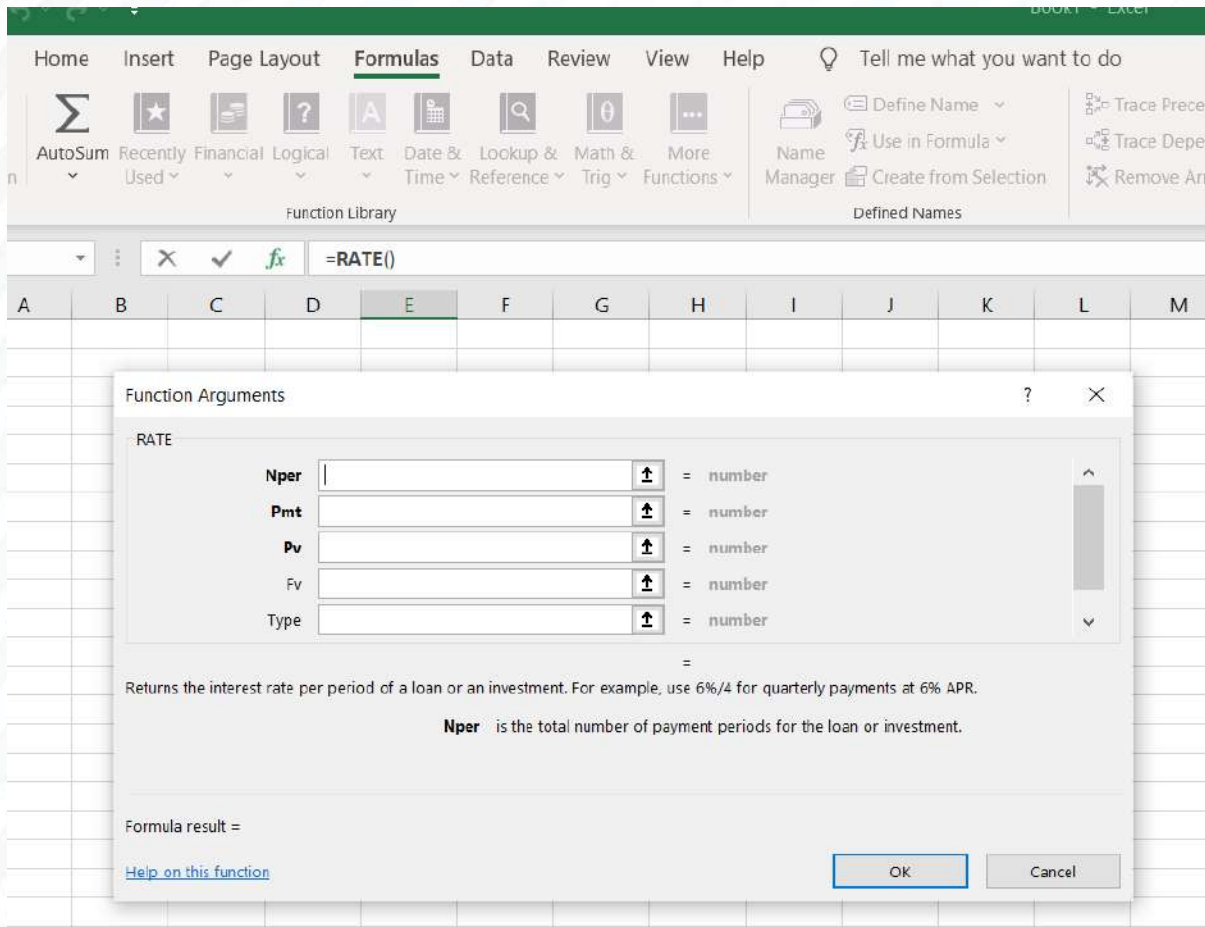
The interest is received at year end so the Type = 0

Now we have to substitute these values in Excel.

In Excel, click on 'Formulas', then 'Financial' and then on 'RATE' as shown below –



On clicking on RATE, the following box will pop up :



We now input the data as under :

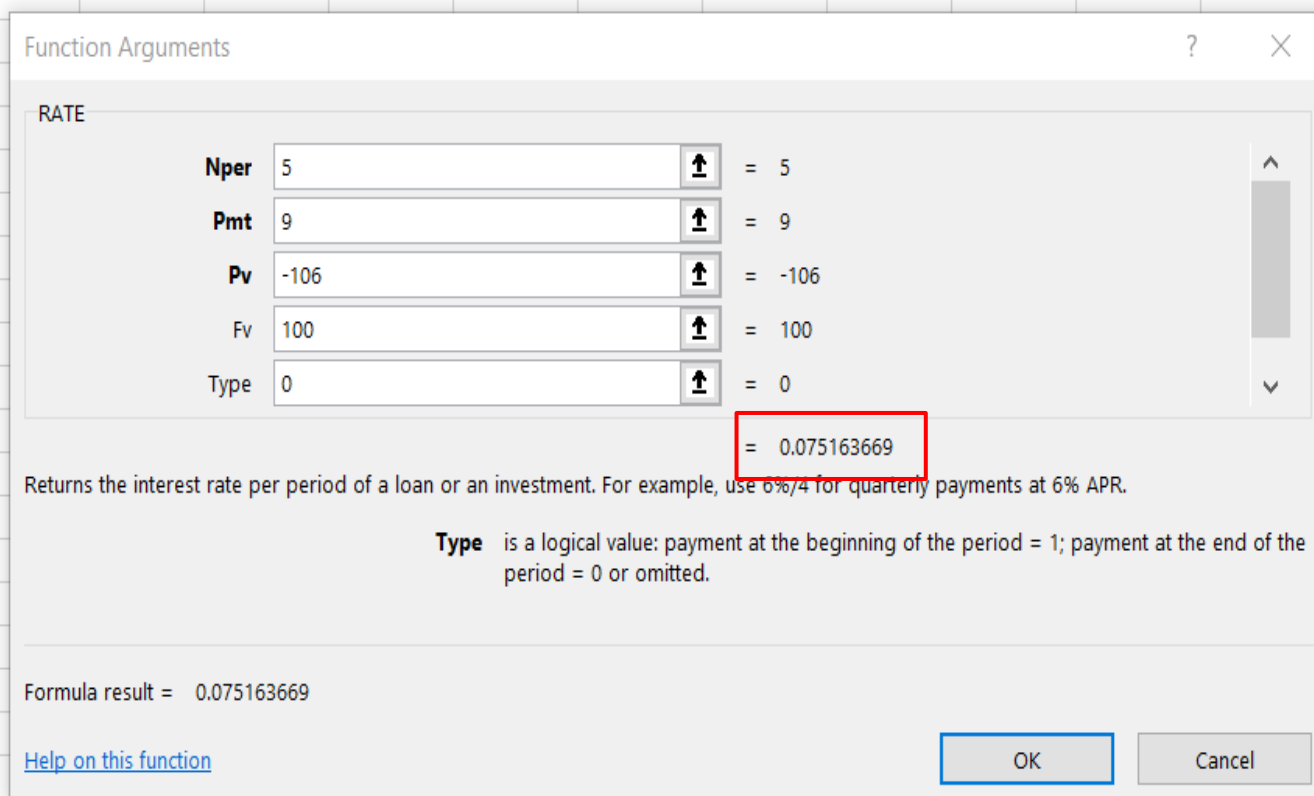
The period (Nper) is 5 years

The amount received each year ie. Payment (PMT) is the interest received at 9% on face value of Rs 100 = Rs 9

The current price or Present Value (PV) is Rs 106. IMP - In Excel we have to add as -106.

The maturity value of the bond ie. The Future Value (FV) = Rs 100

The interest is received at year end so the Type = 0



The image shows the 'Function Arguments' dialog box for the Excel RATE function. The arguments are as follows:

Argument	Value	Result
Nper	5	= 5
Pmt	9	= 9
Pv	-106	= -106
Fv	100	= 100
Type	0	= 0

The result of the function is displayed as **= 0.075163669**, which is highlighted with a red box. Below the arguments, a description of the function is provided: 'Returns the interest rate per period of a loan or an investment. For example, use 6%/4 for quarterly payments at 6% APR. Type is a logical value: payment at the beginning of the period = 1; payment at the end of the period = 0 or omitted.' At the bottom, the formula result is shown as 'Formula result = 0.075163669'. There are 'OK' and 'Cancel' buttons at the bottom right.

The rate comes to .07516 = 7.51%

As the yield of ABC bond is 7.51% which is lower than the required 8%, Mr. Ramesh should not invest in ABC Ltd. bonds.

Q - Mr. Ramesh has some investments in small saving schemes and bank deposits which are currently giving him an average return of 8%. He is planning to diversify by buying some bonds and the main condition is that the bonds should give him a return of at least 8% which he is currently getting from his debt investments.

One bond which is in his radar on investment is a 9% Bond of ABC Ltd., which is available at Rs 106. The interest payable is for 5 years each year.

Mr. Ramesh has also invested in Government Securities of coupon 7.5% and maturity after 6 years.

Q 14.2 – At what price should Mr. Ramesh invest in ABC bonds so as to meet is investment criteria?

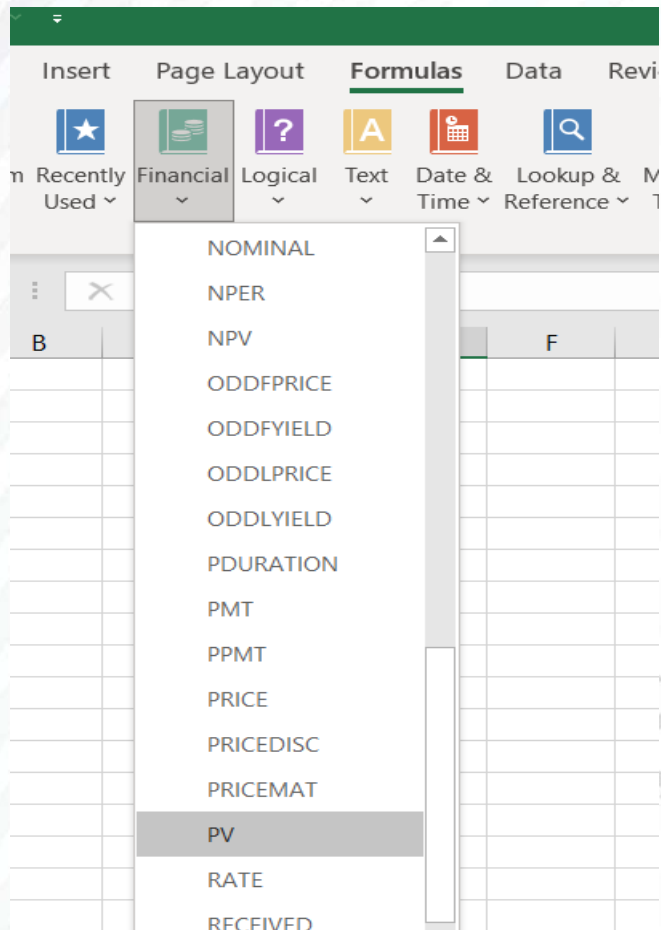
- a. At any price below Rs. 104
- b. At any price above Rs. 102
- c. At any price below Rs. 105.5
- d. At any price above Rs. 101

Answer - At any price below Rs. 104

Explanation : The target yield is 8%. We have to find the buying price ie. At which Present Value (PV) can we buy the bond to get a yield of 8% or above.

For this we have to use the PV formula in Excel.

Click on 'Formulas' ; then 'Financial' and then 'PV' as shown below :



We see the following box :

Function Arguments

PV

Rate			= number
Nper			= number
Pmt			= number
Fv			= number
Type			= number

Returns the present value of an investment: the total amount that a series of future payments is worth now.

Rate is the interest rate per period. For example, use 6%/4 for quarterly payments at 6% APR.

Formula result =

[Help on this function](#)

OK Cancel

Input the following data :

'Rate' ie. Our target rate is 8%

'Nper' ie. Period is 5 years

'Pmt' ie. Amount received each year is Rs 9

'FV' ie. Future Value (Maturity Value) is Rs 100

'Type' = 0

Function Arguments

PV

Rate	8%		= 0.08
Nper	5		= 5
Pmt	9		= 9
Fv	100		= 100
Type	0		= 0

Returns the present value of an investment: the total amount that a series of future payments is worth now.

Type is a logical value: payment at the beginning of the period = 1; payment at the end of the period = 0 or omitted.

Formula result = -103.99271

[Help on this function](#)

OK Cancel

The answer comes to Rs 103.99 = Rs 104.

Q - Mr. Ramesh has some investments in small saving schemes and bank deposits which are currently giving him an average return of 8%. He is planning to diversify by buying some bonds and the main condition is that the bonds should give him a return of at least 8% which he is currently getting from his debt investments.

One bond which is in his radar on investment is a 9% Bond of ABC Ltd., which is available at Rs 106. The interest payable is for 5 years each year.

Mr. Ramesh has also invested in Government Securities (GSec) of coupon 7.5% and maturity after 6 years.

Q 14.3 The inflation is rising in the economy and accordingly the Central Bank may take some appropriate action. Which bond, ABC Ltd or 7.5% GSec, is more likely to see impact on its prices?

- a. ABC Ltd. bond will see greater impact as it's a private bond and there is a default risk
- b. The GSec bond as it has a longer tenor and a lower coupon rate
- c. Both the bonds will see same impact ie. same fall in prices as the fall in interest rates
- d. Neither of these bonds will see any impact as the changes in interest rates is applicable only to new issuances

Answer - The GSec bond as it has a longer tenor and a lower coupon rate

Explanation - Longer the maturity of the bond, greater is its sensitivity to interest rate changes. The Gsec bond in this case, still has 6 years left to its maturity, simultaneously its coupon is also less compared to that of ABC. Hence any movement in inflation rates would affect the GSEC bond to a greater extent.

Q - Mr. Ramesh has some investments in small saving schemes and bank deposits which are currently giving him an average return of 8%. He is planning to diversify by buying some bonds and the main condition is that the bonds should give him a return of at least 8% which he is currently getting from his debt investments.

One bond which is in his radar on investment is a 9% Bond of ABC Ltd., which is available at Rs 106. The interest payable is for 5 years each year.

Mr. Ramesh has also invested in Government Securities (GSec) of coupon 7.5% and maturity after 6 years.

Q 14.4 – What will the impact on the 7.5% GSec if the yield goes up by 0.75%?

- a. The price of the GSec will go down
- b. The price of the GSec will go up
- c. The GSec coupon will go up exactly to 8.25%
- d. The GSec coupon will go up exactly to 8.05%

Answer - The price of the GSec will go down

Explanation – The price of a bond and its yield have an inverse relationship. So if the yield goes up, the price will come down.

Q - Mr. Ramesh has some investments in small saving schemes and bank deposits which are currently giving him an average return of 8%. He is planning to diversify by buying some bonds and the main condition is that the bonds should give him a return of at least 8% which he is currently getting from his debt investments.

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Mr. Ramesh has also invested in Government Securities (GSec) of coupon 7.5% and maturity after 6 years.

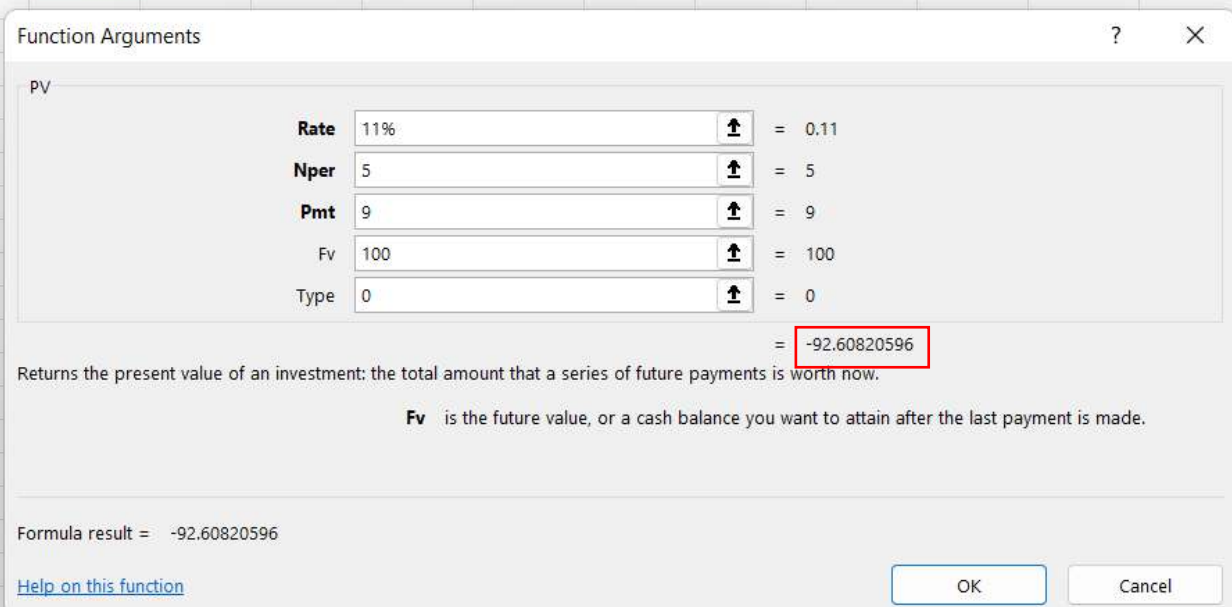
Q 14.5 - What will the impact on the price of the bond of ABC Ltd. if its yield goes up to 11%?

- a. The ABC bond is likely to trade at par
- b. The ABC bond is likely to trade at a premium to face value
- c. The ABC bond is likely to trade at a discount to face value
- d. The ABC bond is not likely to be affected by the change in prices

Answer - The ABC bond is likely to trade at a discount to face value

Explanation: The price of a bond and its yield have an inverse relationship. So if the yield goes up, the price will come down.

Also, if we substitute the new data in Excel to find the current Present Value, we see the PV = 92.60, which is less than the face value of Rs 100.



The image shows the 'Function Arguments' dialog box for the PV function in Excel. The dialog box is titled 'Function Arguments' and has a question mark icon and a close button (X) in the top right corner. The function name 'PV' is displayed in the top left. The arguments are listed in a table:

Argument	Value	Unit	Result
Rate	11%		= 0.11
Nper	5		= 5
Pmt	9		= 9
Fv	100		= 100
Type	0		= 0

Below the table, the text 'Returns the present value of an investment; the total amount that a series of future payments is worth now.' is displayed. The result of the function is shown as '= -92.60820596', which is highlighted with a red box. Below this, the text 'Fv is the future value, or a cash balance you want to attain after the last payment is made.' is displayed. At the bottom left, the 'Formula result =' is followed by '-92.60820596'. At the bottom right, there are 'OK' and 'Cancel' buttons. A link 'Help on this function' is also present.

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Q 15. Meghana is about 8 years away from her retirement. She has been investing regularly in stock markets and it includes Mid and Small Cap equity shares. As she is nearing her retirement, she believes she has to reduce the exposure to equity. She also thinks that the equity market has had a good bull run and are currently over valued and so it's advisable to shift to safer less volatile investments.

Meghana has a daughter and wants to provide for her higher education in 2 years. For that, she needs to keep funds ready in safer investment products.

She is seeking your advice as an investment advisor to help take prudent investment decisions.

Q 15.1 – As Meghana is considering shifting to safer investment category, which of these equity investments will give greater stability to her portfolio?

- a. Shift the investments to Flexi cap funds as this will give exposure to better performing sectors
- b. Shift the investments to Exchange Traded Funds (ETFs) which tracks a good large cap index
- c. Shift the investments to Multi cap funds as this will give minimum exposure to all market segments
- d. Shift the investments to Fund of funds as this will give exposure to all market segments

Answer - Shift the investments to Exchange Traded Funds (ETFs) which tracks a good large cap index

Explanation : Blue-chip stocks represent the largest companies by market capitalisation. These stock have a high level of liquidity. These are also known as large cap stocks. In terms of return performance, large cap stocks tend to be less volatile than mid-cap and small-cap stocks.

Exchange Traded Funds (ETFs) hold a portfolio of securities that replicates an index and are listed and traded on the stock exchange. If the investment is made in large cap equities, BSE 30 or NIFTY 50 can be an appropriate benchmark.

Meghana is about 8 years away from her retirement. She has been investing regularly in stock markets and it includes Mid and Small Cap equity shares. As she is nearing her retirement, she believes she has to reduce the exposure to equity. She also thinks that the equity market has had a good bull run and are currently over valued and so its advisable to shift to safer less volatile investments.

Meghana has a daughter and wants to provide for her higher education in 2 years. For that she needs to keep funds ready in safer investment products.

She is seeking your advice as an investment adviser to help take prudent investment decisions.

Q 15.2 – As Meghana is believing that the equity markets are over valued and given her life cycle stage, in which of these investment products should she invest her future savings?

- a. Balance Advantage Funds
- b. Arbitrage Funds
- c. Large and Midcap funds
- d. Capital Protection Funds

Answer - Capital Protection Funds

Explanation - Since Meghana is close to retirement, capital protection will be of utmost important. Also, since she believes that equity markets are over heated, the exposure to equities should be minimum. For this, Capital Protection Funds are the best investment option.

Capital Protection Funds are closed-end hybrids funds. In these types of funds, the exposure to equity is typically taken through the equity derivatives market. The portfolio is structured such that a portion of the principal amount is invested in debt instruments so that it grows to the principal amount over the term of the fund. For example, Rs.90 may be invested for 3 years to grow into Rs.100 at maturity. This provides the protection to the capital invested. The remaining portion of the original amount is invested in equity derivatives to earn higher returns.

Meghana is about 8 years away from her retirement. She has been investing regularly in stock markets and it includes Mid and Small Cap equity shares. As she is nearing her retirement, she believes she has to reduce the exposure to equity. She also thinks that the equity market has had a good bull run and are currently over valued and so its advisable to shift to safer less volatile investments.

Meghana has a daughter and wants to provide for her higher education in 2 years. For that she needs to keep funds ready in safer investment products.

She is seeking your advice as an investment adviser to help take prudent investment decisions.

Q 15.3 – Identify which of there will be most suitable to Meghana to prepare funding for the educational goal?

- a. Meghana should do a STP (Systematic Transaction Plan) in a low duration fund
- b. Meghana should do a switch into long duration fund
- c. Meghana should do a switch into a liquid fund
- d. Meghana should do a STP (Systematic Transaction Plan) in a Gilt fund

Answer - Meghana should do a STP (Systematic Transaction Plan) in a low duration fund

Explanation - Meghana has a short-term goal of funding her daughter's education in 2 years, which requires safety and low volatility. A Systematic Transfer Plan (STP) into a low duration fund helps gradually shift her investments from equities to a relatively safer debt option, minimizing market timing risk.

Low duration funds offer better returns than liquid funds and are less sensitive to interest rate movements compared to long or gilt funds. This makes them suitable for short-term goals while preserving capital and offering some growth.

Meghana is about 8 years away from her retirement. She has been investing regularly in stock markets and it includes Mid and Small Cap equity shares. As she is nearing her retirement, she believes she has to reduce the exposure to equity. She also thinks that the equity market have a had a good bull run and are currently over valued and so its advisable to shift to safer less volatile investments.

Meghana has a daughter and wants to provide for her higher education in 2 years. For that she needs to keep funds ready in safer investment products.

She is seeking your advice as an investment adviser to help take prudent investment decisions.

Q 15.4 – Identify the true statement with respect to the transaction which Meghana will do to have the money ready in debt funds to meet the educational goal?

- a. Taxes and loads will be applicable when funds are transferred from equity to debt
- b. Taxes and loads will be applicable when funds are transferred from equity to debt only if these funds belong to different mutual fund houses
- c. Taxes and loads will be applicable only when units are redeemed
- d. No taxes and loads will be applicable if units are held for more than 3 years

Answer - Taxes and loads will be applicable when funds are transferred from equity to debt

Explanation - Loads and taxes are applicable in case of redemption and also for a switch transaction from one fund scheme to another as there is a redemption involved in a switch transaction. Loads like exit loads and taxes like Capitals gains will be applicable.

Meghana is about 8 years away from her retirement. She has been investing regularly in stock markets and it includes Mid and Small Cap equity shares. As she is nearing her retirement, she believes she has to reduce the exposure to equity. She also thinks that the equity market has had a good bull run and are currently over valued and so its advisable to shift to safer less volatile investments.

Meghana has a daughter and wants to provide for her higher education in 2 years. For that she needs to keep funds ready in safer investment products.

She is seeking your advice as an investment adviser to help take prudent investment decisions.

Q 15.5 – If Meghana wants to make a fixed monthly pay-out for the educational goal from a debt fund, which of these will be the most ideal way?

- a. She should opt for the Growth option with a Systematic Withdrawal Plan
- b. She should opt for the Dividend option with a Systematic Transfer Plan
- c. She should opt for the Growth option with a Systematic Transfer Plan
- d. She should opt for the Dividend option with a Systematic Withdrawal Plan

Answer - She should opt for the Growth option with a Systematic Withdrawal Plan

Explanation - Investors can structure a regular pay-out from the balance held in a mutual fund investment by registering for a systematic withdrawal plan (SWP). An SWP enables recurring redemptions from a scheme over a period of time at the applicable NAV on the date of each redemption. It is a facility that provides a defined pay-out from a fund for investors who need it.

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Q 16 – Mr. Kumar is a Non-Resident Indian (NRI). However, his wife and children stay in India. When Mr. Kumar was an Indian resident, he had made investments in a diversified portfolio. He wants to continue his investment activities by sending money from abroad and for this he wants to fulfil all the regulatory requirements.

When Mr. Kumar was in India, he had invested in the names of his children and he was the guardian for this. His older son is now a major as he has turned 18. He wants to continue the investments in his children's name and wants to execute a general Power of Attorney (PoA) in favour of his wife to conduct the transactions.

Q 16.1 – Identify what Mr. Kumar has to do to continue with his investment activities?

- a. As Mr. Kumar is now a NRI, he will have to open a new Trading and Demat account which will reflect his NRI status**
- b. As Mr. Kumar is now a NRI, he will have to redesignate the existing Trading and Demat account as NRE Accounts**
- c. Mr. Kumar cannot continue with his investment activities as investments cannot be made with the money sent from abroad**

Answer - As Mr. Kumar is now a NRI, he will have to open a new Trading and Demat account which will reflect his NRI status

Explanation – As Mr. Kumar is a NRI now, he will have to open new Trading and Demat Account. The existing accounts cannot be changed.

Mr. Kumar is a Non Resident Indian (NRI). However his wife and children stay in India. When Mr. Kumar was an Indian resident, he had made investments in a diversified portfolio. He wants to continue his investment activities by sending money from abroad and for this he wants to fulfil all the regulatory requirements.

When Mr. Kumar was in India, he had invested in the names of his children and he was the guardian for this. His older son is now a major as he has turned 18. He wants to continue the investments in his children's name and wants to execute a general Power of Attorney (PoA) in favour of his wife to conduct the transactions.

Q 16.2 Mr. Kumar is interested in making his existing investments in the resident Demat account to be available for use for his wife in India. For this, he wants to add his wife as the Joint holder in the Trading and Demat account. Guide him on the procedure to do this.

- a. A NRI Demat account cannot have a joint holder so it will not be possible to add his wife as joint holder
- b. Simply instruct the Depository for adding the joint holder and his wife will be added after doing the KYC
- c. He will have to open a new NRO Demat Account with wife as resident joint holder
- d. To make his wife as a joint holder, she has to be first made a joint holder in the trading account which is linked to the bank account

Answer - He will have to open a new NRO Demat Account with wife as resident joint holder.

Explanation - NRIs can hold joint demat accounts but a new demat account has to be opened for this, as such changes cannot be made to existing account.

Mr. Kumar is a Non Resident Indian (NRI). However his wife and children stay in India. When Mr. Kumar was an Indian resident, he had made investments in a diversified portfolio. He wants to continue his investment activities by sending money from abroad and for this he wants to fulfil all the regulatory requirements.

When Mr. Kumar was in India, he had invested in the names of his children and he was the guardian for this. His older son is now a major as he has turned 18. He wants to continue the investments in his children's name and wants to execute a general Power of Attorney (PoA) in favour of his wife to conduct the transactions.

Q 16.3 – Mr. Kumar is interested in executing a Power of Attorney (PoA) but as he is busy, he is unable to come to India. Which action should Mr. Kumar consider?

- a. A PoA has to be executed in India and so Mr. Kumar has to come to India or he will be unable to execute the PoA
- b. A PoA has to be executed at the place where the assets are held. So Mr. Kumar and his wife will have to be present there
- c. The Grantor and Attorney of PoA must be present for signing and so Mr. Kumar and his wife will have to be physically be present at the same place
- d. Mr. Kumar can get the PoA drafted abroad, sign it and get it attested. He has to then send it to his wife in India for signature, stamping and notarising

Answer - Mr. Kumar can get the PoA drafted abroad, sign it and get it attested. He has to then send it to his wife in India for signature, stamping and notarising

Explanation - If the Power of Attorney is executed abroad, it can be typed on a plain paper, attested by a designated official of the Indian embassy abroad or by a notary abroad, signed on all pages by the grantor and sent to India for the holder of the power of attorney to sign on the last page. It is then stamped and notarized in India, if required.

Mr. Kumar is a Non Resident Indian (NRI). However his wife and children stay in India. When Mr. Kumar was an Indian resident, he had made investments in a diversified portfolio. He wants to continue his investment activities by sending money from abroad and for this he wants to fulfil all the regulatory requirements.

When Mr. Kumar was in India, he had invested in the names of his children and he was the guardian for this. His older son is now a major as he has turned 18. He wants to continue the investments in his children's name and wants to execute a general Power of Attorney (PoA) in favour of his wife to conduct the transactions.

Q 16.4 – There are some investments in mutual funds in the now major son's name. As these have shown good appreciation, they have to be sold. Mr. Kumar cannot come to India for the next 6 to 9 months. How should he proceed?

- As Mr. Kumar had made the investment as a Guardian, only he can redeem the mutual fund units
- Since Mr. Kumar's son is now a major, the son can now operate the account after completing the necessary formalities regarding change of status from minor to major
- Mr. Kumar can give a PoA to his wife and she can redeem the mutual fund units
- Mr. Kumar can give a PoA to his now major son and he can redeem the mutual fund units

Answer - Since Mr. Kumar's son is now a major, the son can now operate the account after completing the necessary formalities regarding change of status from minor to major

Explanation - Once a minor turns major, he can start operating the account on his own after completing the KYC.

Mr. Kumar is a Non Resident Indian (NRI). However his wife and children stay in India. When Mr. Kumar was an Indian resident, he had made investments in a diversified portfolio. He wants to continue his investment activities by sending money from abroad and for this he wants to fulfil all the regulatory requirements.

When Mr. Kumar was in India, he had invested in the names of his children and he was the guardian for this. His older son is now a major as he has turned 18. He wants to continue the investments in his children's name and wants to execute a general Power of Attorney (PoA) in favour of his wife to conduct the transactions.

Q 16.5 – Mr. Kumar wants to continue investing for his now major son. Identify which formalities are required for this?

- a. Since Mr. Kumar's son is now a major, he can now complete the KYC formalities by providing PAN card details, bank account details etc.
- b. Since Mr. Kumar's son is now a major, he can now complete the KYC formalities but he need not provide the PAN card details, bank account details etc. as the funds will be of Mr. Kumar
- c. As the funds will be coming from Mr. Kumar, he will have to undergo the KYC formalities and provide his PAN card and bank account details
- d. Since the investments were made as a minor and the account is operational, no new formalities will have to be completed

Answer - Since Mr. Kumar's son is now a major, he can now complete the KYC formalities by providing PAN card details, bank account details etc.

Explanation - Minors attaining majority will have to complete all the KYC process by submitting proof of identity and address.

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Q 17. Mr. Srinivas is a reputed and successful registered investment advisor. During the previous year, his business has grown immensely and his clients have grown to over 300. To handle this growing business, he has recruited more qualified employees.

While reviewing his business, he estimates that his net worth is the minimum required as per SEBI regulations and he needs to increase it if his business keeps growing.

Mr. Srinivas has a sister who is into mutual fund distribution. Both of them maintain their business financially independent of each other but Mr. Srinivas does serve as an advisor to his sister's business and vice versa.

One of the clients of Mr. Srinivas is Ms. Rohini and she is shown good interest in the Portfolio Management Scheme (PMS) which is distributed by the sister of Mr. Srinivas.

Please answer the below questions as per the provisions of SEBI Investment Advisors Regulation – 2013.

Q 17.1 – As the business and clients of Mr. Srinivas have grown considerably, he is required to do which of the following?

- a. As Mr. Srinivas has employed additional qualified staff, there are no more rules to be met
- b. As the client list has grown to over 300, Mr. Srinivas has to apply for registration as a Non-Individual Investment Advisor
- c. Mr. Srinivas should restrict his client base to 500 clients if he wants to retain his Individual Investment Advisor registration
- d. Only when one is applying for registration as an Investment Advisor, his client base is taken into consideration. Subsequent rise or fall in clients is not taken into consideration

Answer - As the client list has grown to over 300, Mr. Srinivas has to apply for registration as a Non-Individual Investment Advisor

Explanation: As per SEBI Investment Advisors Regulations - Individuals registered as investment advisers whose number of clients exceed 300 at any point of time shall apply for grant of in-principle registration as non-individual investment adviser.

Mr. Srinivas is a reputed and successful registered investment advisor. During the previous year, his business has grown immensely and his clients have grown to over 300. To handle this growing business, he has recruited more qualified employees.

While reviewing his business, he estimates that his net worth is the minimum required as per SEBI regulations and he needs to increase it if his business keeps growing.

Mr. Srinivas has a sister who is into mutual fund distribution. Both of them maintain their business financially independent of each other but Mr. Srinivas does serve as an advisor to his sister's business and vice versa.

One of the clients of Mr. Srinivas is Ms. Rohini and she is shown good interest in the Portfolio Management Scheme (PMS) which is distributed by the sister of Mr. Srinivas.

Please answer the below questions as per the provisions of SEBI Investment Advisors Regulation – 2013.

Q 17.2 – If the fee collected by Mr. Srinivas during the financial year exceeds _____, he will have to apply for grant of in-principle registration as non-individual investment adviser.

- a. Rs 1 crore
- b. Rs 2.5 crore
- c. Rs 3 crore
- d. Rs 5 crore

Answer – Rs 3 crore

Explanation: As per SEBI Investment Advisors Regulations – individuals registered as investment advisers whose number of clients exceed three hundred at any point of time or the fee collected during the financial year exceeds three crore rupees, whichever is earlier shall apply for grant of in-principle registration as non-individual investment adviser;

Mr. Srinivas is a reputed and successful registered investment advisor. During the previous year, his business has grown immensely and his clients have grown to over 300. To handle this growing business, he has recruited more qualified employees.

While reviewing his business, he estimates that his net worth is the minimum required as per SEBI regulations and he needs to increase it if his business keeps growing.

Mr. Srinivas has a sister who is into mutual fund distribution. Both of them maintain their business financially independent of each other but Mr. Srinivas does serve as an advisor to his sister's business and vice versa.

One of the clients of Mr. Srinivas is Ms. Rohini and she is shown good interest in the Portfolio Management Scheme (PMS) which is distributed by the sister of Mr. Srinivas.

Please answer the below questions as per the provisions of SEBI Investment Advisors Regulation – 2013.

Q 17.3 – Ms. Rohini, who is a client of Mr. Srinivas, is requesting Mr. Srinivas to execute her mutual fund investments and she has expressed her willingness to pay additionally for this service. What do the rules say regarding this aspect?

- a. Ms. Rohini can use the execution services of Mr. Srinivas for direct schemes of mutual funds without any form of remuneration
- b. Ms. Rohini can use the execution services of Mr. Srinivas's sister for execution as Mr. Srinivas is not using the same
- c. Ms. Rohini can use the execution services of Mr. Srinivas's sister for execution as Mr. Srinivas is ready to pay for the same
- d. Ms. Rohini can use the execution services of Mr. Srinivas's sister but without any additional remuneration

Answer - Ms. Rohini can use the execution services of Mr. Srinivas for direct schemes of mutual funds without any form of remuneration

Explanation : As per SEBI Investment Advisers Regulations - Investment advisers shall ensure that no consideration including any commission or referral fees, whether embedded or indirect or otherwise, by whatever name called is received; directly or indirectly, at investment adviser's group or family level for the said service, as the case maybe.

Investment adviser shall provide implementation services to its advisory clients only through direct schemes/products in the securities market. Investment adviser or group or family of investment adviser shall not charge any implementation fees from the client.

Mr. Srinivas is a reputed and successful registered investment advisor. During the previous year, his business has grown immensely and his clients have grown to over 300. To handle this growing business, he has recruited more qualified employees.

While reviewing his business, he estimates that his net worth is the minimum required as per SEBI regulations and he needs to increase it if his business keeps growing.

Mr. Srinivas has a sister who is into mutual fund distribution. Both of them maintain their business financially independent of each other but Mr. Srinivas does serve as an advisor to his sister's business and vice versa.

One of the clients of Mr. Srinivas is Ms. Rohini and she is shown good interest in the Portfolio Management Scheme (PMS) which is distributed by the sister of Mr. Srinivas.

Please answer the below questions as per the provisions of SEBI Investment Advisors Regulation – 2013.

Q 17.4 – Ms. Rohini is interested in investing in the PMS and wants Mr. Srinivas to advise her on this. Mr. Srinivas should use which of the following to support his recommendation?

- a. As the PMS is distributed by Mr. Srinivas sister and so there is a conflict of interest
- b. The PMS is suitable for Ms. Rohini as per the risk profiling done by Mr. Srinivas
- c. A PMS scheme cannot be recommended by an Investment Advisor
- d. All of the above

Answer - As the PMS is distributed by Mr. Srinivas sister and so there is a conflict of interest

Explanation: As per the SEBI Regulations - The family of an individual investment adviser shall not provide distribution services to the client advised by the individual investment adviser and no individual investment adviser shall provide advice to a client who is receiving distribution services from other family members.

Mr. Srinivas is a reputed and successful registered investment advisor. During the previous year, his business has grown immensely and his clients have grown to over 300. To handle this growing business, he has recruited more qualified employees.

While reviewing his business, he estimates that his net worth is the minimum required as per SEBI regulations and he needs to increase it if his business keeps growing.

Mr. Srinivas has a sister who is into mutual fund distribution. Both of them maintain their business financially independent of each other but Mr. Srinivas does serve as an advisor to his sister's business and vice versa.

One of the clients of Mr. Srinivas is Ms. Rohini and she is shown good interest in the Portfolio Management Scheme (PMS) which is distributed by the sister of Mr. Srinivas.

Please answer the below questions as per the provisions of SEBI Investment Advisors Regulation – 2013.

Q 17.5 – Which information should Mr. Srinivas provide Ms. Rohini before she decides to sign on as a client?

- a. Mr. Srinivas should inform her that his clients have grown to 300 plus but he has qualified employees to serve the clients
- b. Mr. Srinivas should ask her to check if she has the minimum networth as required by SEBI
- c. Mr. Srinivas should inform her that he is an advisor to his sister's mutual fund distribution business
- d. All of the above

Answer - Mr. Srinivas should inform her that he is an advisor to his sister's mutual fund distribution business

Explanation – As per SEBI Regulations - An investment adviser shall try to avoid conflicts of interest as far as possible and when they cannot be avoided, it shall ensure that appropriate disclosures are made to the clients and that the clients are fairly treated.

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Q 18 – Dimple is the sole earning member of her family and is managing her finances on her own. However, she is finding that the expenses are always more than her income.

Dimple has set many goals which she has to achieve but her savings are usually consumed to meet unexpected expenses and goals which have to be met immediately.

She has invested in gold and stocks, based on their current performances when the returns from these were very good. This was with the aim of creating a corpus and using it to achieve her goals. However, these investments have lost value and so she has to take debt/loans to meet her goals.

She has now realized that she needs professional help from an investment advisor to correct her financial situation of high debts and unsure goal achievement.

Q 18.1 – As Dimple is worried about meeting her goals, how should she prioritize the goals?

- a. She should prioritize them as per the goal value**
- b. She should prioritize them as per their importance**
- c. She should prioritize them as per the time available to meet the goals**
- d. She should prioritize them as per the savings required**

Answer - She should prioritize them as per their importance

Explanation : Every individual has restrictions in terms of the income earned and amount saved. This will require that the goals be ranked in order of priority. Important goals need to be put first. So, things like children's education and retirement should come in front of something like spending on a luxury car or other expense that does not create an asset.

Dimple is the sole earning member of her family and is managing her finances on her own. However, she is finding that the expenses are always more than her income.

Dimple has set many goals which she has to achieve but her savings are usually consumed to meet unexpected expenses and goals which have to be met immediately.

She has invested in gold and stock based on their current performances when the returns from these were very good. This was with the aim of creating a corpus and using it to achieve her goals. However, these investments have lost value and so she has to take debt/loans to meet her goals.

She has now realized that she needs professional help from an investment advisor to correct her financial situation of high debts and unsure goal achievement.

Q 18.2 – Identify the main reason why Dimple is unable to use her investments efficiently to achieve her goals?

- a. Dimple's goals are short term but investments will need long term holding period to show growth
- b. Dimple is not able to buy the stocks at the right time to profit from the stock market movements
- c. Dimple has to invest large amount of funds to meet her goals but is unable to do this type of investments
- d. Dimple has made investments which are more suitable for capital appreciation but what she needs is income generating investments

Answer - Dimple has made investments which are more suitable for capital appreciation but what she needs is income generating investments

Explanation - Dimple is investing in equities. Equities tend to give good returns but only in the long run. Most of Dimple's needs are short term. So the correct way of investing will be to invest some amount in debt and some in equities.

Dimple is the sole earning member of her family and is managing her finances on her own. However, she is finding that the expenses are always more than her income.

Dimple has set many goals which she has to achieve but her savings are usually consumed to meet unexpected expenses and goals which have to be met immediately.

She has invested in gold and stock based on their current performances when the returns from these were very good. This was with the aim of creating a corpus and using it to achieve her goals. However, these investments have lost value and so she has to take debt/loans to meet her goals.

She has now realized that she needs professional help from an investment advisor to correct her financial situation of high debts and unsure goal achievement.

Q 18.3 – As an Investment Advisor, what will be your advice to Dimple for her retirement goal?

- a. Dimple's retirement is yet far off so she can postpone the savings for retirement and right now focus on her urgent goals
- b. As Dimple has not made successful investments in gold and stocks, she should now invest in low risk assets for retirement
- c. Dimple has to start saving for her retirement early as it will benefit from compounding
- d. All of the above

Answer - Dimple has to start saving for her retirement early as it will benefit from compounding

Explanation - To be able to plan for retirement it is important to understand the concept of time value of money and inflation and how it would impact the cost of meeting expenses in the future. Saving and investing for retirement requires understanding of how compounding benefits investors saving for long-term goals.

The delay in saving for retirement will affect the final corpus, since it loses the longer saving and earning benefits including that of compounding.

Dimple is the sole earning member of her family and is managing her finances on her own. However, she is finding that the expenses are always more than her income.

Dimple has set many goals which she has to achieve but her savings are usually consumed to meet unexpected expenses and goals which have to be met immediately.

She has invested in gold and stock based on their current performances when the returns from these were very good. This was with the aim of creating a corpus and using it to achieve her goals. However, these investments have lost value and so she has to take debt/loans to meet her goals.

She has now realized that she needs professional help from an investment advisor to correct her financial situation of high debts and unsure goal achievement.

Q 18.4 – Identify what can help Dimple protect her savings from unexpected expenses?

- a. She has to invest in products which match her goals
- b. She has to take suitable insurance as and where applicable
- c. She has to use debt so that her savings can be used to invest for her goals
- d. All of the above

Answer - She has to take suitable insurance as and where applicable

Explanation - Several unexpected expenses that can cause an imbalance in the income and expenses of a household can be managed with insurance. Insurance is a risk transfer mechanism where a small premium payment can result in payments from the insurance company to tide over risks from unexpected events.

Dimple is the sole earning member of her family and is managing her finances on her own. However, she is finding that the expenses are always more than her income.

Dimple has set many goals which she has to achieve but her savings are usually consumed to meet unexpected expenses and goals which have to be met immediately.

She has invested in gold and stock based on their current performances when the returns from these were very good. This was with the aim of creating a corpus and using it to achieve her goals. However, these investments have lost value and so she has to take debt/loans to meet her goals.

She has now realized that she needs professional help from an investment adviser to correct her financial situation of high debts and unsure goal achievement.

Q 18.5 – Identify the most efficient way in which Dimple can manage her income and savings in a better way?

- a. Dimple should have a detailed monthly budget
- b. Dimple should use her past savings to meet her routine expenses
- c. Dimple should use low cost debt for her expenses
- d. All of the above

Answer - Dimple should have a detailed monthly budget

Explanation - There is a certain income that is earned by an individual along with the expenses made. Having a plan to ensure that there are savings and these are invested is a part of the process. It is also vital that there is a cash flow match so that the household or the individual does not run into any cash flow problems.

One of the ways to ensure that there is no cash flow problem is to have a budget. A budget is nothing but a list of the inflows and outflows that an individual will witness along with the time period when this will take place. A monthly budget will help a person to know whether they are managing their income properly.

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Q 19. Mr. Sunil has good knowledge of stock research and over a period of time has built up a good portfolio. He is employed in the banking sector. Due to this, his portfolio has a higher exposure to banking stocks.

Mr. Sunil does yearly review of his portfolio and makes changes as per new opportunities and future expectations.

He is also researching some unlisted companies and would like to add them if the future prospects are good. One such company has a high leverage and negative cash flow after debt servicing.

Based on this data, answer the following questions –

Q 19.1 – Currently the economy is seeing high inflation due to which the interest rates may go up. What should Mr. Sunil do to protect his portfolio from this impact?

- a. The effects of inflation will be negatively felt on all sectors. So Mr. Sunil cannot protect his portfolio
- b. As the effects of inflation will be negatively felt on all sectors, Mr. Sunil should move majority of his portfolio to cash or liquid funds
- c. To hedge his portfolio against inflation, Mr. Sunil should add industries of the commodities sector in his portfolio
- d. Higher interest rates are a positive for banking sector and Mr. Sunil already has banking stocks in his portfolio

Answer - To hedge his portfolio against inflation, Mr. Sunil should add industries of the commodities sector in his portfolio

Explanation - Physical assets / Commodities like Gold, Silver, Real Estate etc. have an intrinsic value. They are usually seen as natural hedges against inflation since their price show a positive correlation with inflation.

So Mr. Sunil should include industries in the commodities sector as a hedge against inflation.

Mr. Sunil has good knowledge of stock research and over a period of time has built up a good portfolio. He is employed in the banking sector. Due to this, his portfolio has a higher exposure to banking stocks.

Mr. Sunil does yearly review of his portfolio and makes changes as per new opportunities and future expectations.

He is also researching some unlisted companies and would like to add them if the future prospects are good. One such company has a high leverage and negative cash flow after debt servicing.

Q 19.2 A stock in Mr. Sunil's portfolio is trading at a price of Rs 122. The Earning Per Share (EPS) of this stock is Rs 9 and this EPS is expected to grow at 9.5%. Similar comparable stocks trade in the stock exchange at a PE ratio of 22. Should Mr. Sunil exit this stock or not or add more of it?

- a. Mr. Sunil should add more of this stock as the stock PEG ratio is 1.42 indicating under valuation and so there is good scope for appreciation
- b. Mr. Sunil should exit this stock as the stock PEG ratio is 1.42 indicating over valuation in relation to expected growth in earnings
- c. Mr. Sunil should add more of this stock as the PE ratio is 13.55 which is lower than that of comparable stocks
- d. Mr. Sunil should exit this stock as the PE ratio is 13.55 which is lower than that of comparable stocks and this indicates cheap valuations

Answer - Mr. Sunil should exit this stock as the stock PEG ratio is 1.42 indicating over valuation in relation to expected growth in earnings

Explanation :

The P/E ratio is popular and easy to calculate, but it has shortcomings that investors should consider when using it to determine a stock's valuation.

Since the P/E ratio does not factor in future earnings growth, the PEG ratio provides more insight into a stock's valuation.

The thumb rule is that if the PEG ratio is 1, it means that the market is valuing a stock in accordance with the stock's estimated EPS growth. If the PEG ratio is less than 1, it means that EPS growth is potentially able to surpass the market's current valuation and the stock's price is undervalued. On the other hand, stocks with high PEG ratios (more than 1) can indicate just the opposite -that the stock is currently overvalued.

PE (Price to Earnings) ratio is calculated as :

Market Price / EPS

$$PE = 122 / 9 = 13.55$$

PEG (Price Earnings to Growth) Ratio is calculated as :

$$\begin{aligned} &PE / \text{Growth in EPS} \\ &= 13.55 / 9.5 = 1.42 \end{aligned}$$

As the PEG Ratio is more than 1, this indicates the stock is over valued and can be exited.

Mr. Sunil has good knowledge of stock research and over a period of time has built up a good portfolio. He is employed in the banking sector. Due to this, his portfolio has a higher exposure to banking stocks.

Mr. Sunil does yearly review of his portfolio and makes changes as per new opportunities and future expectations.

He is also researching some unlisted companies and would like to add them if the future prospects are good. One such company has a high leverage and negative cash flow after debt servicing.

Q 19.3 There are two stocks which Mr. Sunil is considering for investments. One is in the financial services sector and the other in the fintech sector. The financial services company has good long term potential but is yet to show a profit. Which ratio analysis should Mr. Sunil use to evaluate these stocks?

- a. Mr. Sunil should use Price to Sales Ratio as a lower ratio will indicate favourable valuations
- b. Mr. Sunil should use Forward PE Ratio as this will show when the company will start making profits
- c. Mr. Sunil should use Forward PEG Ratio as a ratio of more than 1 will indicate turnaround and profitability
- d. Mr. Sunil should use Price to Book Value Ratio as a ratio of below 1 will show good future prospects

Answer - Mr. Sunil should use Price to Book Value Ratio as a ratio of below 1 will show good future prospects

Explanation : Price to Book Value (P/BV) is a relative valuation ratio used by investors. It compares a stock's price per share (market value) to its book value (shareholders' equity). The P/BV ratio is an indication of how much shareholders are paying for the net assets of a company.

The P/B ratio is widely used as a valuation metric especially in valuing financial services and banking stocks where the assets are marked to market.

A price to book ratio lower than one can mean the company is undervalued. A price to book ratio of less than 1 suggests that the market is valuing the company at less than the total value of its assets. This means that its shares may currently be undervalued or cheap and therefore present a good buy opportunity.

Mr. Sunil has good knowledge of stock research and over a period of time has built up a good portfolio. He is employed in the banking sector. Due to this, his portfolio has a higher exposure to banking stocks.

Mr. Sunil does yearly review of his portfolio and makes changes as per new opportunities and future expectations.

He is also researching some unlisted companies and would like to add them if the future prospects are good. One such company has a high leverage and negative cash flow after debt servicing.

Q 19.4 –Mr. Sunil is planning to invest in an unlisted company. He wants to be sure he is getting a fair valuation for the equity shares of the unlisted company. Which valuation tool is suitable for this?

- a. Mr. Sunil should use 'Free cash flow to the firm' as the company has negative cash flows after debt servicing
- b. Mr. Sunil should use 'Free cash flow to equity' as he is planning to invest in the equity of the company
- c. Mr. Sunil should use 'Free cash flow to firm' since he is planning to take a stake in the company
- d. Mr. Sunil should use 'Free cash flow to equity' as the company has negative cash flows after debt servicing

Answer - Mr. Sunil should use 'Free cash flow to equity' as he is planning to invest in the equity of the company

Explanation - Free cash flow to equity is a measure of how much cash is available to the equity share holders of a company after all expenses, reinvestment, and debt are paid. As Mr. Sunil is planning to buy the equity of the unlisted company, 'Free cash flow to equity' will be the right valuation tool

Mr. Sunil has good knowledge of stock research and over a period of time has built up a good portfolio. He is employed in the banking sector. Due to this, his portfolio has a higher exposure to banking stocks.

Mr. Sunil does yearly review of his portfolio and makes changes as per new opportunities and future expectations.

He is also researching some unlisted companies and would like to add them if the future prospects are good. One such company has a high leverage and negative cash flow after debt servicing.

Q 19.5 - A stock which Mr. Sunil is holding in his portfolio is showing a steady decline for the past few days. As he has knowledge of stock research, he feels he should sell off this stock as the stock has fallen below the 'support level'. What more information / data should he consider before taking any decision?

- a. What is the volatility in the price over this period
- b. What is the ratio of change in price to change in the index level during this period
- c. What is the percentage of change in price over this period
- d. What is the volume of trading in this stock over this period

Answer - What is the volume of trading in this stock over this period

Explanation : As per Technical Analysis - Trading volumes are important parameters to confirm a trend. An upward or downward trend should be accompanied by strong volumes. If a trend is not supported by volumes or the volumes decrease, it may indicate a weakness in the trend

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Q 20 – Mr. Sachin is an alert investor and has been investing in diversified equity funds. He wishes to use these funds for making a down payment for a house he intends to buy after 4 years. Luckily the stock markets are in a bull phase and this has helped him and he believes that the markets can still rise some more. However, he is also worried that there can be a stock market crash.

Looking at the economy, Mr. Sachin feels that the interest rates are likely to go up and he would like to invest in safe debt funds for short and medium term goals.

He also has a few goals like :

- **Holiday at the end of the year**
- **Buying a car in three years**
- **Funding his child's education and this will require monthly pay out over 4-5 years**

He has contacted an Investment Advisor to help him select the funds and help him in the operational aspects of investing.

Q 20.1 – Advise Mr. Sachin on the plan to help him protect the goal of down payment for his house and also use the stock market rally which is possible according to him.

- a. **Mr. Sachin should immediately sell off the equity funds and move the money to gilt fund so that his goal is protected**
- b. **Mr. Sachin should add more funds into the equity funds to capitalise on the stock market growth rally**
- c. **Mr. Sachin should immediately sell off the equity funds and move the money to liquid fund so that his goal is protected**
- d. **Mr. Sachin should use the 'Trigger Option' linked to a index level and switch to a low duration fund**

Answer - Mr. Sachin should use the 'Trigger Option' linked to a index level and switch to a low duration fund

Explanation: Trigger options in mutual funds ensure that on achieving a particular situation, the redemption of units are automatically triggered. There can be various triggers like NAV based triggers or specific value trigger.

One trigger can be linked to index level. When the index hits a specific level, the units will be auto redeemed or transferred to a debt fund like low duration etc.

Q 20.2 – Considering his goal of going on a holiday, which is the right fund to park his money for this goal?

- a. He should invest in Gilt fund so that there is no default
- b. He should invest in Short duration fund so that he can benefit from capital gains as well as interest income
- c. He should invest in Corporate funds as it will give him higher interest income
- d. He should invest in Liquid funds as he can benefit from higher returns as interest rate rises

Answer - He should invest in Short duration fund so that he can benefit from capital gains as well as interest income

Explanation - The holiday is being planned by the end of the year. Short duration funds invest in debt and money market instruments such that the Macaulay duration of the fund is between 1 year - 3 years. This will be the ideal scheme for parking the holiday funds.

Mr. Sachin is an alert investor and has been investing in diversified equity funds. He wishes to use these funds for making a down payment for a house he intends to buy after 4 years. Luckily the stock markets are in a bull phase and this has helped him and he believes that the markets can still rise some more. However, he is also worried that there can be a stock market crash.

Looking at the economy, Mr. Sachin feels that the interest rates are likely to go up and he would like to invest in safe debt funds for short and medium term goals.

He also has a few goals like :

Holiday at the end of the year

Buying a car in three years

Funding his child's education and this will require monthly pay out over 4-5 years

He has contacted an Investment Advisor to help him select the funds and help him in the operational aspects of investing.

Q 20.3 – Given the market conditions, identify the fund which is NOT suitable for the goal of buying a car in three year ?

- a. Low duration fund
- b. Banking and PSU fund
- c. Gilt fund
- d. Balanced Fund

Answer – Low duration fund

Explanation - Low Duration Fund invest in debt and money markets instruments such that the Macaulay duration of the fund is between 6 months to 12 months.

As the goal is 3 years away, Low duration fund will not be the right choice

Mr. Sachin is an alert investor and has been investing in diversified equity funds. He wishes to use these funds for making a down payment for a house he intends to buy after 4 years. Luckily the stock markets are in a bull phase and this has helped him and he believes that the markets can still rise some more. However, he is also worried that there can be a stock market crash.

Looking at the economy, Mr. Sachin feels that the interest rates are likely to go up and he would like to invest in safe debt funds for short and medium term goals.

He also has a few goals like :

Holiday at the end of the year

Buying a car in three years

Funding his child's education and this will require monthly pay out over 4-5 years.

He has contacted an Investment Advisor to help him select the funds and help him in the operational aspects of investing.

Q 20.4 – Given the market condition, identify which of the following fund is suitable for Mr. Sachin for his goal which is 4-5 years away?

- a. Small Cap Fund
- b. Balanced Advantage Fund
- c. Gilt Fund
- d. Low Duration Fund

Answer - Balanced Advantage Fund

Explanation - Balanced Advantage fund dynamically manage investment in equity and debt instruments.

As the equity markets are in a bull run but there could be volatility and corrections, a Balanced Advantage fund will be the right choice for investment.

Mr. Sachin is an alert investor and has been investing in diversified equity funds. He wishes to use these funds for making a down payment for a house he intends to buy after 4 years. Luckily the stock markets are in a bull phase and this has helped him and he believes that the markets can still rise some more. However, he is also worried that there can be a stock market crash.

Looking at the economy, Mr. Sachin feels that the interest rates are likely to go up and he would like to invest in safe debt funds for short and medium term goals.

He also has a few goals like :

Holiday at the end of the year

Buying a car in three years

Funding his child's education and this will require monthly pay out over 4-5 years

He has contacted an Investment Advisor to help him select the funds and help him in the operational aspects of investing.

Q 20.5 – Which of these will be best suitable to meet the need of Mr. Sachin of regular monthly pay out for child's education?

- a. Invest in the growth option of a fund with Systematic Transfer Plan
- b. Invest in the dividend option of a fund with Systematic Transfer Plan
- c. Invest in the dividend option of a fund with Systematic Withdrawal Plan
- d. Invest in the growth option of a fund with Systematic Withdrawal Plan

Answer - Invest in the growth option of a fund with Systematic Withdrawal Plan

Explanation - An Systematic Withdrawal Plan (SWP) enables recurring redemptions from a scheme over a period of time at the applicable NAV on the date of each redemption. It is a facility that provides a defined pay-out from a fund for investors who need it.

The SWP can be started when required ie. After 4 years – every month. Growth option has to be chosen as this allows the maximum growth of the invested funds.

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Q 21 – Swati, age 33, works for a multinational. She looks after her own finances. Although she manages her finances quiet well but due to some wrong decisions, she has been left with a personal loan of Rs. 4 lakhs for 5 years with an EMI of Rs 9900 pm. As per news from her employer, she may receive a bonus shortly with which she plans to pay-off her personal loan.

On the other hand, Swati also wants to save for the education of her child. She wants to have a corpus ready in 7 years for this purpose and for this, she is planning to invest the bonus in XYZ Equity mutual fund. She had already invested Rs. 40,000 in this XYZ fund three years back which is currently worth Rs. 57720. The cost of child's education is currently Rs. 500000 and this is likely to go up by 10% every year.

Swati has a short term goal of buying a car costing Rs 600000. The car dealer has given her two payment options – 1) Pay Rs. 600000 over 4 years with zero interest OR 2) Pay full amount as down payment now and get a 15% discount on this spot payment.

Swati is also thinking of taking retirement in 20 years. But she wants to be sure that she receives regular income from her investments so that she can meet her essential expenses. For this she is scrutinizing a perpetual annuity that will pay her Rs 300000 every year from age 50 onwards at a yield of 6%. For this she is required to invest Rs. 11800 for 20 years in this annuity plan.

Swati is also interested in spending her retirement life in a city apartment and is thinking if she can afford it? The down payment for this apartment is Rs 1200000. For this, Swati plans to invest Rs. 22000 per month in a debt fund which will give her a return of 7% pa. She also believes that she will receive salary increments in the next few years which will allow her to save more and pay an EMI of Rs 55000 per month. She has decided to restrict the mortgage to 5 years. The cost of property currently is Rs 60 lakhs. The home loan rate is 7.5% and the inflation rate in the economy is 6.5%.

Q 21.1 – How can Swati best use the bonus amount –

A. She should pre-pay the loan

B. She should invest in XYZ mutual fund to help her creating the education amount for her child with the assumption that the returns of mutual fund reflect its long term average returns

- a. Swati should prepay the loan as the impact on networth of returns compounding on the investments is lower than that of interest compounding**
- b. Swati should prepay the loan as the cost of debt outstanding is quite high than the returns she is likely to earn on the investment**
- c. Swati should invest in XYZ mutual fund as the long term compounding advantage earned for 7 years will be much higher than the cost of debt**
- d. Swati should invest in XYZ mutual fund as the return from this investment will be higher and will have a better impact on the net worth over the 7 years than repaying the debt**

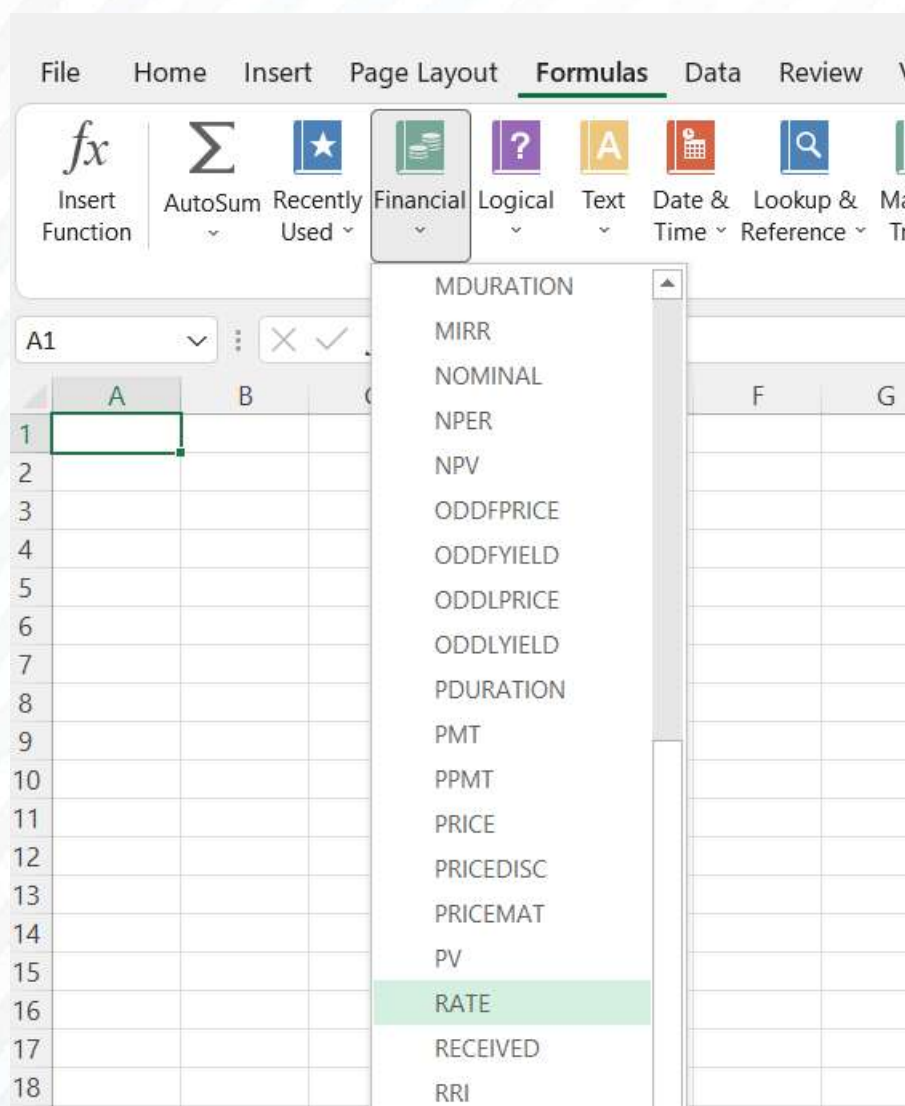
Answer - Swati should prepay the loan as the cost of debt outstanding is quite high than the returns, she is likely to earn on the investment.

Explanation :

First let us calculate the returns earned on the XYZ Mutual Fund investment.

In MS Excel, we have to input the above given data and find the 'RATE'.

In Excel, click on 'Formulas' – 'Financial' and 'RATE' as shown under :



On clicking 'RATE', the following window will open –

=RATE()

	D	E	F	G	H	I	J	K	L	M	N	O

Function Arguments

RATE

Nper		= number
Pmt		= number
Pv		= number
Fv		= number
Type		= number

Returns the interest rate per period of a loan or an investment. For example, use 6%/4 for quarterly payments at 6% APR.

Nper is the total number of payment periods for the loan or investment.

Formula result =

[Help on this function](#)

OK Cancel

We now input the data as under :

The period (Nper) is 3 years as she has invested for 3 years

The amount received each year ie. Payment (PMT) is 0

The Present Value (PV) ie. The amount invested is Rs 40000. We add in Excel as -40000

The Future Value (FV) = Rs 57720

Type = 0 (End)

We get –

Function Arguments

RATE

Nper	3	= 3
Pmt	0	= 0
Pv	-40000	= -40000
Fv	57720	= 57720
Type	0	= 0

Returns the interest rate per period of a loan or an investment. For example, use 6%/4 for quarterly payments at 6% APR.

Fv is the future value, or a cash balance you want to attain after the last payment is made. If omitted, uses Fv = 0.

Formula result = 0.130026887

[Help on this function](#)

OK Cancel

Therefore the return on XYZ mutual fund is 13% pa.

Now we calculate the interest paid on the loan. The loan of Rs 4 lakhs is for 5 years with an EMI of Rs 9900 pm

We again use the 'RATE' function in Excel and input the following data-

N = 60 months (5 years x 12 months)

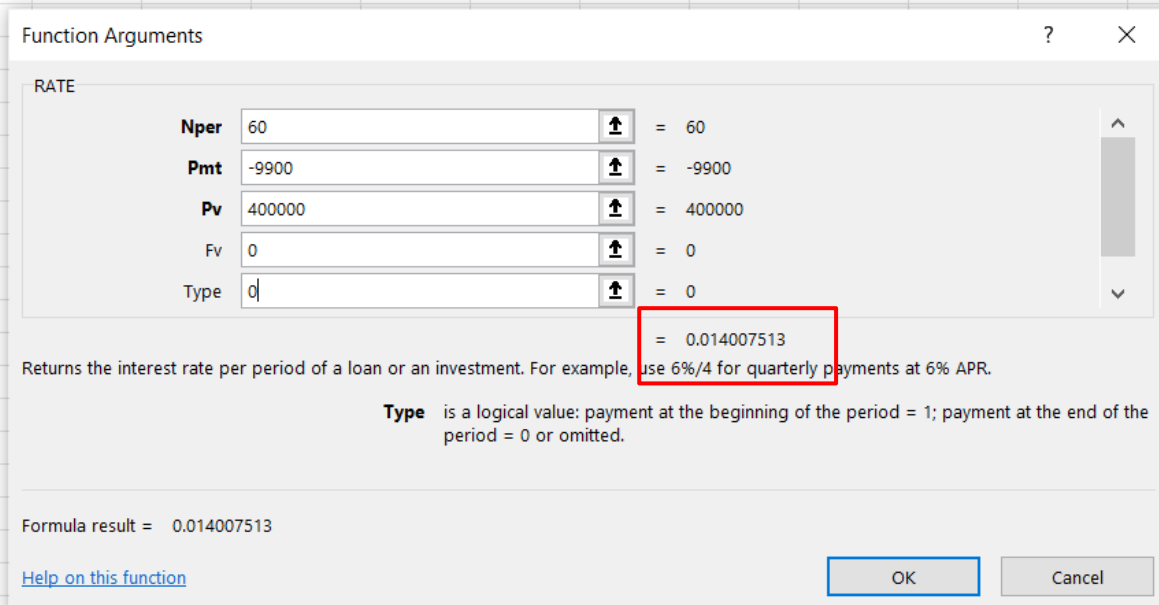
PMT = -9900 (Amount paid in each month)

PV = Rs 400000

FV = 0

Type = 0 (End)

We get -



The image shows the 'Function Arguments' dialog box for the RATE function in Excel. The arguments are: Nper: 60, Pmt: -9900, Pv: 400000, Fv: 0, Type: 0. The result is 0.014007513. A red box highlights the result value. The dialog box also includes a description of the function and a 'Help on this function' link.

Argument	Value	Result
Nper	60	= 60
Pmt	-9900	= -9900
Pv	400000	= 400000
Fv	0	= 0
Type	0	= 0
Result		= 0.014007513

Returns the interest rate per period of a loan or an investment. For example, use 6%/4 for quarterly payments at 6% APR.

Type is a logical value: payment at the beginning of the period = 1; payment at the end of the period = 0 or omitted.

Formula result = 0.014007513

[Help on this function](#) OK Cancel

1.4% is the monthly rate.

Yearly rate : $1.4 \times 12 = 16.8\%$

Comparison – Swati has to pay 16.8% interest on her loan and on the other hand the mutual fund will earn only 13%. So, it will be advisable to pre-pay the loan with the bonus amount.

Swati, age 33, works for a multinational. She looks after her own finances. Although she manages her finances quiet well but due to some wrong decisions, she has been left with a personal loan of Rs. 4 lakhs for 5 years with an EMI of Rs 9900 pm. As per news from her employer, she may receive a bonus shortly with which she plans to pay-off her personal loan.

On the other hand, Swati also wants to save for the education of her child. She wants to have a corpus ready in 7 years for this purpose and for this, she is planning to invest the bonus in XYZ Equity mutual fund. She had already invested Rs. 40,000 in this XYZ fund three years back which is currently worth Rs. 57720. The cost of child's education is currently Rs. 500000 and this is likely to go up by 10% every year. Swati has a short term goal of buying a car costing Rs 600000. The car dealer has given her two payment options – 1) Pay Rs. 600000 over 4 years with zero interest OR 2) Pay full amount as down payment now and get a 15% discount on this spot payment.

Swati is also thinking of taking retirement in 20 years. But she wants to be sure that she receives regular income from her investments so that she can meet her essential expenses. For this she is scrutinizing a perpetual annuity that will pay her Rs 300000 every year from age 50 onwards at a yield of 6%. For this she is required to invest Rs. 11800 for 20 years in this annuity plan.

Swati is also interested in spending her retirement life in a city apartment and is thinking if she can afford it? The down payment for this apartment is Rs 1200000. For this, Swati plans to invest Rs. 22000 per month in a debt fund which will give her a return of 7% pa. She also believes that she will receive salary increments in the next few years which will allow her to save more and pay an EMI of Rs 55000 per month. She has decided to restrict the mortgage to 5 years. The cost of property currently is Rs 60 lakhs. The home loan rate is 7.5% and the inflation rate in the economy is 6.5%.

Q 21.2. What is the amount that Swati needs to invest each month to achieve her target corpus for educational expenses if the additional investments will be made in the existing XYZ equity fund and the past returns reflect the expected future returns?

- a. Rs 9180
- b. Rs 7500
- c. Rs 8150
- d. Rs 6280

Answer – Rs 6280

Explanation : The cost of education today is Rs 5,00,000. Inflation is 10% every year.
The formula for compounding is :

$$FV = PV (1+r)^n$$

Where FV= Future Value, PV= Present Value (Rs 500000) , r = rate of return for each compounding period 10% = 0.1) , n = number of compounding periods = 7 years

Cost of education 7 years hence = $500000 (1+0.1)^7$

$$= 500000 (1.1)^7$$

On the Scientific calculator of your computer, use the x^y function.

Input 1.1 then x^y and then 7 = 1.948

$$\text{So } 500000 \times 1.948 = 974000$$

After 7 years, Swati will need Rs 974000 for her child's education.

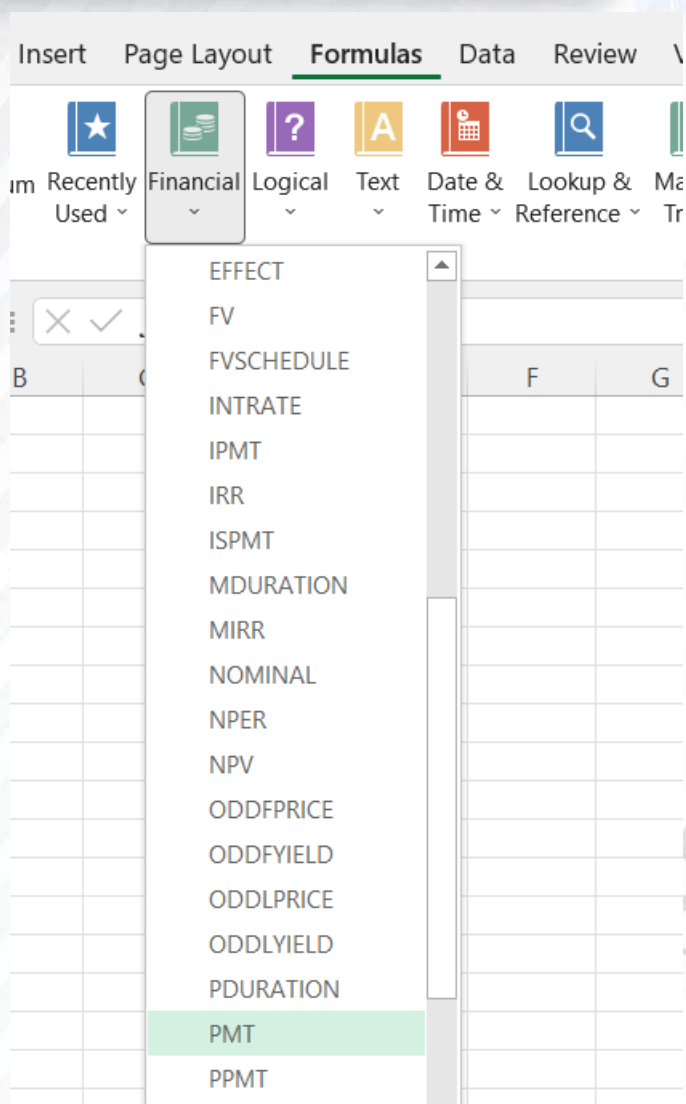
The XYZ fund is giving 13% return (as calculated in Q 10.1)

Now we have to calculate the monthly SIP investment required to get Rs 974000.

The existing amount in XYZ fund is Rs 57720.

We will use PMT function in Excel

Click on 'Formulas' – 'Financial' – 'PMT' and we see this :



Input the following data –

The yearly interest rate is 13%. This can be converted into monthly rate using the formula –

$$(1 + \text{Rate})^{(1/12)} - 1$$

$$\text{Monthly Rate} = (1 + 13\%)^{(1/12)} - 1$$

The period 'Nper' is 7 years ie. $7 \times 12 = 84$ months

The Present Value (PV) is -57720 (-ve)

The Future Value (FV) is 974000

We need to find the monthly amount to be invested ie. PMT

Function Arguments

PMT

Rate	$(1+13\%)^{(1/12)}-1$	=	0.010236844
Nper	84	=	84
Pv	-57720	=	-57720
Fv	974000	=	974000
Type	1	=	1

Calculates the payment for a loan based on constant payments and a constant interest rate.

Type is a logical value: payment at the beginning of the period = 1; payment at the end of the period = 0 or omitted.

Formula result = -6279.475267

[Help on this function](#)

OK Cancel

Therefore, the monthly investment required will be Rs 6280.

Swati, age 33, works for a multinational. She looks after her own finances. Although she manages her finances quite well but due to some wrong decisions, she has been left with a personal loan of Rs. 4 lakhs for 5 years with an EMI of Rs 9900 pm. As per news from her employer, she may receive a bonus shortly with which she plans to pay-off her personal loan.

On the other hand, Swati also wants to save for the education of her child. She wants to have a corpus ready in 7 years for this purpose and for this, she is planning to invest the bonus in XYZ Equity mutual fund. She had already invested Rs. 40,000 in this XYZ fund three years back which is currently worth Rs. 57720. The cost of child's education is currently Rs. 500000 and this is likely to go up by 10% every year. Swati has a short term goal of buying a car costing Rs 600000. The car dealer has given her two payment options – 1) Pay Rs. 600000 over 4 years with zero interest OR 2) Pay full amount as down payment now and get a 15% discount on this spot payment.

Swati is also thinking of taking retirement in 20 years. But she wants to be sure that she receives regular income from her investments so that she can meet her essential expenses. For this she is scrutinizing a perpetual annuity that will pay her Rs 300000 every year from age 50 onwards at a yield of 6%. For this she is required to invest Rs. 11800 for 20 years in this annuity plan.

Swati is also interested in spending her retirement life in a city apartment and is thinking if she can afford it? The down payment for this apartment is Rs 1200000. For this, Swati plans to invest Rs. 22000 per month in a debt fund which will give her a return of 7% pa. She also believes that she will receive salary increments in the next few years which will allow her to save more and pay an EMI of Rs 55000 per month. She has decided to restrict the mortgage to 5 years. The cost of property currently is Rs 60 lakhs. The home loan rate is 7.5% and the inflation rate in the economy is 6.5%.

Q 21.3 – Should Swati consider the perpetual annuity as an investment option for her retirement?

- a. Yes, Swati should consider the perpetual annuity as it provides an assured regular income. Also the lower return in the distribution stage is offset by a 8.5% return in the accumulation stage
- b. Yes, Swati should consider the perpetual annuity as the return in the accumulation stage and the annuity payout stage is assured at 6% and 8.5%
- c. No, Swati should not consider the perpetual annuity as the return on the annuity payout is low at 6% even though the returns in the accumulation stage is high at 8.5%
- d. No, Swati should not consider the perpetual annuity as the return on investment is low, especially during the accumulation stage at 5.2%

Answer - No, Swati should not consider the perpetual annuity as the return on investment is low, especially during the accumulation stage at 5.2%

Explanation : The perpetual annuity is going to pay Swati Rs. 300000 per year at a yield of 6%.

The capital required to get Rs 300000 at 6% = Annual Amount / Interest
= $300000 / 6\% = 300000 / 0.6 = \text{Rs } 50,00,00$ (50 lakhs)

So Rs. 50 lakhs will be required as the corpus so that she can receive Rs 300000 per year (at 6% interest)

Now, to build this corpus of Rs 50 lakhs, she will be investing Rs 11800 for 20 years.

We have to calculate at what rate is the compounding taking place for the Rs 11800 invested for 20 years to get Rs 50 lakhs

Use the RATE function in Excel -

Using the 'RATE' function in Excel input the following data –

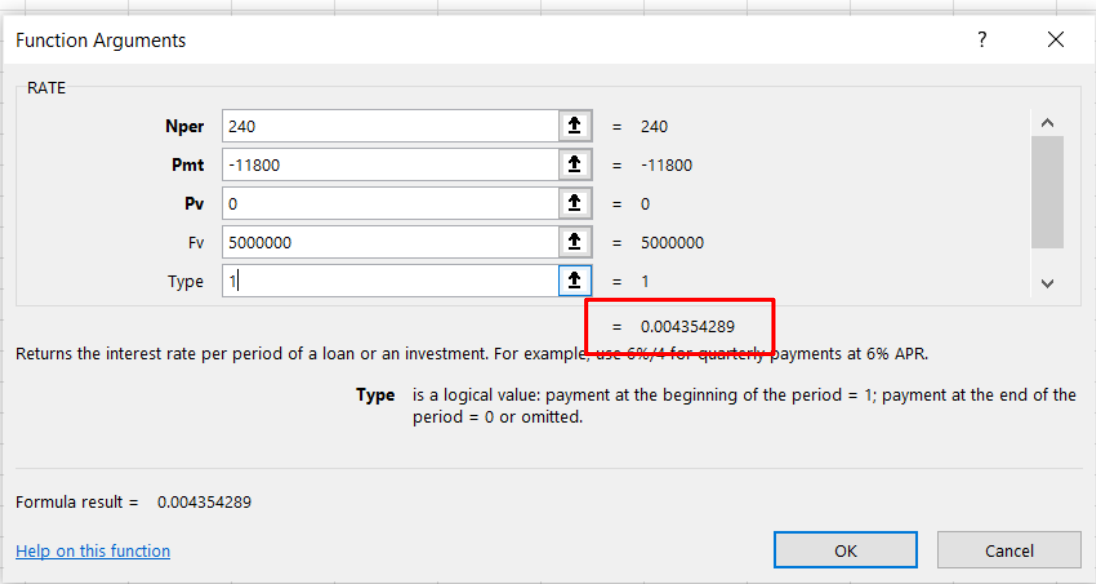
Nper = 20 years x 12 months = 240 months

Present Value PV = 0

Future Value FV = 50,000,00

PMT = 11800 , in Excel we input as -11800

Type = 1 (as investment will done at the starting of the month)



The image shows the 'Function Arguments' dialog box for the RATE function in Excel. The arguments are: Nper: 240, Pmt: -11800, Pv: 0, Fv: 5000000, Type: 1. The result is 0.004354289. The dialog box includes a description of the function and a formula result.

Argument	Value	Result
Nper	240	= 240
Pmt	-11800	= -11800
Pv	0	= 0
Fv	5000000	= 5000000
Type	1	= 1

Returns the interest rate per period of a loan or an investment. For example, use 6%/4 for quarterly payments at 6% APR.

Type is a logical value: payment at the beginning of the period = 1; payment at the end of the period = 0 or omitted.

Formula result = 0.004354289

[Help on this function](#) OK Cancel

Rate = .0043 = .43% per month

Yearly interest rate = .43 x 12 = 5.16%

Therefore, Swati should not consider the perpetual annuity as the return on investment is low, especially during the accumulation stage at 5.16%

=====

Q 22. The details of a bond are as under :

- Par Value : Rs 1000
- Coupon : 12% pa Semi Annually
- Remaining years to maturity : 5 years
- Repayable at par
- YTM : 11%

Calculate the market price of this bond using 30/360 day count convention.

- a. Rs. 1000
- b. Rs. 1037
- c. Rs. 976
- d. Rs. 1172

Answer – b – Rs. 1037

Answer Explanation:

To calculate the bond price, we need to use the PV function in excel.

Rate is the YTM we'll be earning on the bond. And Nper is the No of periods.

But since this a semi-annual bond, we will be receiving the interest coupons after every 6 months, thus our Nper becomes 5 Years * 2 (One year has two six month periods) = 10

Similar, YTM is given on an annual basis. Thus we divide it by 2 for semi-annual payments. Had it been a quarterly bond, we would have divided it by 4.

So in our case, $YTM = 11\%/2 = 5.5\%$

PMT is the coupon amount which we receive. Annual coupon is 12% of face value viz. 12% of 1000 = 120. Thus semi-annual coupon is 60.

FV is the future value, thus the amount we will be receiving on maturity which is the par value of 1000.

Type is the timing of the PMT (or the coupon). Interest gets paid at the end of every 6 month period, thus type as per the excel rules will be 0.

Using PV function in Excel :

The screenshot shows the Microsoft Excel interface with the 'HOME' tab selected. The formula bar displays the formula `=PV(5.5%,10,60,1000,0)`. A 'Function Arguments' dialog box for the PV function is open, showing the following arguments:

Argument	Value	Result
Rate	5.5%	= 0.055
Nper	10	= 10
Pmt	60	= 60
Fv	1000	= 1000
Type	0	= 0

The dialog box also displays the formula result: `= -1037.688129`. Below the arguments, it states: "Returns the present value of an investment: the total amount that a series of future payments is worth now." and "Type is a logical value: payment at the beginning of the period = 1; payment at the end of the period = 0 or omitted." The dialog box has 'OK' and 'Cancel' buttons.

We get the answer as Rs. 1037.

=====

Q 23. Mrs. Manisha, age 51, is employed in a private sector company. She is facing issues in managing her finances and wants to know where she is going wrong. Her financial details are given below :

Income	Rs.	Rs.
Salary from her job	1,50,000	
Expenses		
Regular Living Expenses	30,000	
Discretionary expenses	25,000	
Repayment of loan	60,000	
Travel Expenses incurred every year	2,40,000	
	Assets	Liabilities
Loan against shares outstanding		2,50,000
Residential house and loan o/s	50,00,000	45,00,000
Personal Car and loan o/s	3,00,000	2,50,000
Equity Shares	2,20,000	
Cash in bank	50,000	

Q 23.1 Using Solvency Ratio as an indicator, identify which option is correct which respect to Mrs. Manisha's financial security and the action which needs to be taken?

- The Solvency Ratio is at 1.05 and this is reasonably safe. She should use leverage with caution for increasing her network.
- The Solvency Ratio at 5% is quite low and she needs to reduce the debt immediately to improve the solvency
- The Solvency Ratio at 25% is quite good and she should easily use leverage to build her network
- The Solvency Ratio at 10% is quite low and she should increase the same by increasing the assets

Answer – d - The Solvency Ratio at 10% is quite low and she should increase the same by increasing the assets

Answer Explanation:

Solvency ratio = Total net worth / Total assets.

Total Net worth = Assets – Liabilities = (5000000+300000+220000+50000) – (250000+4500000+250000) = 5,70,000

Total Assets = 5000000+300000+220000+50000 = 55,70,000

So, solvency ratio for Mrs. Manisha is very low at 10.23% (570000/5570000). A depletion of net worth might lead to her having a negative net worth and becoming insolvent. Thus, she should work on improving his solvency ratios.

Q 23.2 What should Mrs. Manisha do to right track her financial situation?

- a. She should reduce the debt-to-income ratio of 40%**
- b. She should increase the financial asset ratio of 4.8%**
- c. She should reduce the expense ratio of 90%**
- d. All of the above**

Answer – d – All of these

Answer Explanation:

All of the points given in the options are poor signs of strong financial health and all need to be worked on.

Q 23.3 Mrs. Manisha's financials are under stress and she may default on her payment obligations in some months. Which ratio gives this indication and the action which need to be taken?

- a. The Expense ratio of 90 means she is saving very less. She has to cut down on her discretionary expenses
- b. The Debt-to-income ratio of 40% is hampering her allotment of finances in meeting her obligations. She has to increase her income
- c. The Financial Asset ratio is low at 1.8 and this is not sufficient to act as an emergency fund for her to fall back and needs to be increased
- d. All of the above

Answer – c - The Financial Asset ratio is low at 1.8 and this is not sufficient to act as an emergency fund for her to fall back and needs to be increased

Explanation -

Mrs. Manisha only has close to Rs. 50,000 in her cash savings which is merely 55% of her monthly debt obligation. In case of emergency, she does not have any buffer and she can default on her debt obligations.

Q 23.4 Identify which financial ratio / parameter will give a complete idea about Mrs. Manisha's financial condition?

- a. Although the assets at Rs. 55,70,000 are quite high, the networth at Rs. 5,70,000 is quite low. The debt-to-income ratio at 40% shows that the level of debt is high. Due to this debt servicing obligations, the savings in future will be low
- b. As the debt-to-income ratio at 40% and the low total asset to income ratio of 3% shows that the savings and leverage are under utilized
- c. A high growth portfolio is indicated by a high total asset to income ratio and debt to income ratio of 40%. Due to this there can be good growth in future
- d. Even though the monthly income is Rs. 1,50,000 only, the net worth is quite high at Rs. 5,70,000 and the high total assets to income ratio of 30% shows that the portfolio is good for long term goals.

Answer – a – Although the assets at Rs. 55,70,000 are quite high, the networth at Rs. 5,70,000 is quite low. The debt-to-income ratio at 40% shows that the level of debt is high. Due to this debt servicing obligations, the savings in future will be low

Answer Explanation:

In spite having a monthly income of Rs. 1,50,000, Mrs. Manisha only has a net worth of 5,70,000. (Assets Less Liabilities) Also a majority part of her income, goes towards servicing debt obligations which is a bad sign.

Q 23.5 Which action can be suggested to Mrs. Manisha which will give her security to manage her obligations even in the worst-case scenario of her losing her job?

- a. She should increase the liquidity ratio from 2 to a minimum 4 so that it will enable her to have adequate assets to build her network
- b. She has to maintain her financial situation as there is 41 times asset cover for the monthly expenses and this is quiet sufficient to manage her obligations even if she loses her job
- c. She should increase the liquidity ratio from 0.4 to a minimum of 4 in order to have ready funds to meet her expenses if she loses her job and income
- d. She should increase the financial assets ratio from 5% to a minimum of 50% to enhance her liquidity so that she can meet her obligations even if she loses her job

Answer – c - She should increase the liquidity ratio from 0.4 to a minimum of 4 in order to have ready funds to meet her expenses if she loses her job and income

Answer Explanation:

Liquidity Ratio = Liquid assets / Monthly expenses

= 50000/30000+25000+60000+20000 = 0.37 i.e. 0.4

Her current liquidity ratio is 0.4. A good liquidity ratio stands between 4 and 6. So option 'c' is the closest fit to the right answer.

=====

(For reporting any error in the Q&As, please write to – info@pass4sure.in . Thanks)

Q 24. Mrs. Sodhi is a very careful and safe investor. Her portfolio consists of blue chip and large cap stocks. She is happy if her portfolio gives steady returns as per the benchmark index.

She is analyzing two stock which she would like to buy and add to her portfolio. The details are :

	STOCK 1	STOCK 2
Market price	Rs. 50	Rs. 75
Face Value	Rs. 10	Rs. 5
P/E Ratio	11	17
Dividend	15%	13%
Growth in Earnings	16%	35%

Mrs. Sodhi has also an unlisted company in her mind in which she would like to invest. The company has a good capital structure and steady earnings.

Q 24.1 Keeping in mind the careful nature of Mrs. Sodhi, in which stock should she invest – Stock 1 or Stock 2?

- a. Stock 1
- b. Stock 2
- c. Both are equally qualified
- d. None of the above

Answer – a – Stock 1

Answer Explanation:

Stock 1 is appropriate for a conservative portfolio as it has a lower P/E ratio and higher dividend payout. Also, it has signs of a blue-chip mature company due to high dividend payout and moderate growth.

Q 24.2 As Mrs. Sodhi is planning to invest in an unlisted company, which cash flow valuation method is better suited to evaluate the performance of an unlisted security?

- a. Free cash flow to the firm method as the existence of debt will have an impact on the return
- b. Free cash flow to equity method as the firm may have steady debt in its capital structure
- c. Relative valuation methods like Enterprise Value will be better suited to analyse equity investments
- d. All valuation methods give the same value for equities

Answer – b - Free cash flow to equity method as the firm may have steady debt in its capital structure

Answer Explanation: When valuing an unlisted company, especially from an equity investor's perspective (like Mrs. Sodhi's), the Free Cash Flow to Equity (FCFE) method is often preferred.

- FCFE measures the cash available to equity shareholders after accounting for debt payments, reinvestment needs, and working capital changes.
- Since unlisted companies may have a steady or specific debt structure and limited market data for relative valuation (like price multiples), discounted cash flow (DCF) methods such as FCFE are more appropriate.
- Also, unlisted companies typically don't have easily observable market-based metrics (like public companies do), making relative valuation less reliable.

Q 24.3 These are some options of price movements of stocks as per the moving averages. Which stock should Mrs. Sidhu choose to add to her portfolio if all her other conditions are met?

- a. Stock A whose price is well below the 30-day moving average
- b. Stock B whose price is well above the 30-day moving average
- c. Stock C whose price is at the 30-day moving average
- d. Buy/Sell signals are not given by the moving average analysis

Answer – a - Stock A whose price is well below the 30-day moving average

Answer Explanation: Moving Averages do give buy/sell signals but only for short term trades. Price being above the 30-day moving average is a sign that the stock is overbought and thus should be sold and not bought.

Price being at the moving is an ambiguous sign and does not indicate whether the stock will go up or down.

Price being under the 30-day moving average is a sign that the stock is oversold and should be bought.

Q 24.4 As Mrs. Sidhu is a conservative investor, in which industries should she invest in?

- a. She should invest in industries which have low entry barriers
- b. She should invest in industries which the suppliers have strong bargaining power
- c. She should invest in industries which have growth rate in line with the economy
- d. She can invest in any of the above industries

Answer – c - She should invest in industries which have growth rate in line with the economy

Answer Explanation: As Mrs. Sidhu wants to get returns similar to the benchmark indices and these Indices runs in line and represents the economy.

Industries that grow in line with economy are stable and not very volatile companies thus indicating less fluctuation in terms of valuations. Thus, such a company would be suitable for Mrs. Sidhu's portfolio.

Q 24.5 There is a share of a company in Mrs. Sidhu's portfolio which has an EPS of Rs. 35 and its current market price is Rs. 680. The company is expected to grow at 13%. The benchmark index PE ratio is 28.

Does this company fit into the profile of a stable company which Mrs. Sidhu prefers?

- a. No, it does not fit as the PE ratio when seen with PEG ratio of 1.49 means that the stock is over priced
- b. No, it does not fit a PE ratio of 19.42 when compared to benchmark PE of 28 may indicate that the market does not have confidence in the company's future prospects
- c. Yes, it does fit as a lower PE ratio of 19.42 and a higher PEG ratio of 1.49 indicates a company with steady earnings growth
- d. Yes, it does fit as the PE ratio of 19.42 is lower than the benchmark index PE of 28

Answer – d - Yes, it does fit as the PE ratio of 19.42 is lower than the benchmark index PE of 28

Explanation :

The PE Ratio of the company = Market Price/EPS = $680/35 = 19.42$

The PEG Ratio of the company = PE / Annual EPS Growth = $19.42 / 13 = 1.49$

A high PEG ratio indicates that the stock is over valued. But this stock is already in her portfolio so valuations do not matter.

The PE ratio of 19.42 is lower than benchmark PE ratio of 28. If we look at the PE ratio, the stock is relatively undervalued.

Stable companies as required by Mrs. Sidhu would be low PE stable growth companies. Thus, this stock fits into the idea of her investment preference.

=====

Q 25. The research analyst has forecasted returns for a particular investment and the probability of the return as under. The weight in the portfolio of this investment is 25% and the beta of the investment is 1.4. Calculate the expected return from this investment.

Probability	Returns
0.3	20%
0.2	8%
0.5	3%

- a. 14.6%
- b. 9.68%
- c. 9.1%
- d. 14.5%

Answer – c – 9.1%

Explanation :

Probability(A)	Returns(B)	A*B
0.3	20%	$0.3 \times 20 = 6$
0.2	8%	$0.2 \times 8 = 1.6$
0.5	3%	$0.5 \times 3 = 1.5$
	Total	9.1%

The expected return is 9.1%

(The weight in the portfolio can be ignored as only the expected return from this investment is required to be calculated)

=====

Q 26. Mr. Prakash is preparing for his retirement. He is 53 years old and plans to retire at 60 years of age.

One task he wants to do is to shift his investments from equity shares to debt to protect himself from volatile stock markets. For this he wants to have 3 years of income requirement in a short term bank deposit so that there is no disruption to income.

Currently, his monthly requirement is Rs. 75000 and for his retirement he expects he will need 80% of it. The FD pays an interest of 6%. He is holding a FD which is maturing this year in which the amount invested doubles in 6 years. The maturity value of FD is Rs. 5,00,000. Mr. Prakash is planning to reinvest this amount in the same FD so that he can get Rs. 12,00,000 in 6 years to meet the expenses of house renovation.

Mr. Prakash has taken a 12% personal loan of Rs. 6 lakhs and the EMI on this is Rs. 9000. He wants to be debt free in retirement and so plans to pay off this loan in the next 6 years. He also wants to buy a better car which is costing Rs. 12 lakhs. The car dealer has given him two payment options. Pay the full price and get a discount of 12% or Pay Rs. 12 lakhs over the next 48 months with nil interest cost.

As Mr. Prakash is nearing his retirement, he does not want to take any risks in his investments. He is analyzing an investment product where he will receive an annuity of Rs. 3 lakhs per annum at an yield of 6% for life. This annuity will start 15 years from the date of investment. For this, he will be required to invest Rs. 12000 per month for 15 years.

Answer the below questions based on this data. Consider inflation at 6%.

Q 26.1 Mr. Prakash is interested in transferring an amount to the FD two years before his retirement so that the total amount required for the first three years to meet his expenses is there in the bank when he retires. Calculate the amount of money that Mr. Prakash should transfer.

- a. Rs. 4006019
- b. Rs. 2402631
- c. Rs. 3446609
- d. Rs. 3272228

Answer – c – Rs. 34,46,609

Explanation :

Current monthly income required = 75000

At the time of retirement, 80% of this will be required which is 60000.

Annual Requirement = 60000 * 12 = 720000

Inflation is 6%

Now to calculate the amounts required in year 1, 2 and 3, we need to inflate this amount for Years 7, 8 & 9 respectively.

$720000 * (1.06^9) = 1216424$

(To calculate 1.06^9 , use scientific calculator of your computer.

Press 1.06, x^y, 9 = 1.689.....

$720000 * 1.689..... = 1216424$

$720000 * (1.06^8) = 1147570$

$720000 * (1.06^7) = 1082613$

So total money required for first two years is $1216424 + 1147570 + 1082613$

= Rs. 34,46,609

Q 26.2 What is the amount that Mr. Prakash should invest in the FD so that he can generate the corpus required for the renovation of the house?

- a. Rs 2430
- b. Rs 2115
- c. Rs 1732
- d. Rs 1517

Answer – d – Rs. 1517

Explanation :

The FD mentioned here doubles the money in 6 years, do let's find out the rate of interest on this first.

We assume that Rs. 100 will become Rs. 200 in 6 years.

Using the 'Rate' function in Excel :

The screenshot shows the Microsoft Excel interface with the 'RATE' function dialog box open. The formula bar at the top displays `=RATE(6,0,-100,200)`. The dialog box contains the following arguments:

Argument	Value	Result
Nper	6	= 6
Pmt	0	= 0
Pv	-100	= -100
Fv	200	= 200
Type		= number

The calculated rate is displayed as `= 0.122462048`, which is 12.25%. The dialog box also includes a description: "Returns the interest rate per period of a loan or an investment. For example, use 6%/4 for quarterly payments at 6% APR." and a note: "Nper is the total number of payment periods for the loan or investment." The formula result is shown as 12%.

So the rate of interest on the FD is 12.24%

Now let's find out the investment required on the FD to accumulate the amount for renovation.

The amount required is Rs 12,00,000. The amount to be invested is Rs 5,00,000

The period is 6 years ie. $6 \times 12 = 72$ months

The screenshot shows the Microsoft Excel interface with the 'HOME' tab selected. The formula bar displays the formula $\text{=PMT}(12.24\%/12, 6*12, -500000, 1200000, 1)$. A 'Function Arguments' dialog box for the PMT function is open, showing the following arguments:

Argument	Value	Result
Rate	12.24%/12	= 0.0102
Nper	6*12	= 72
Pv	-500000	= -500000
Fv	1200000	= 1200000
Type	1	= 1

Below the arguments, the text states: "Calculates the payment for a loan based on constant payments and a constant interest rate." It also includes a note: "Rate is the interest rate per period for the loan. For example, use 6%/4 for quarterly payments at 6% APR." The formula result is shown as $\text{Formula result} = (\$1,517.18)$. The dialog box has 'OK' and 'Cancel' buttons.

Investment required is Rs. 1517.

Mr. Prakash is preparing for his retirement. He is 53 years old and plans to retire at 60 years of age.

One task he wants to do is to shift his investments from equity shares to debt to protect himself from volatile stock markets. For this he wants to have 3 years of income requirement in a short term bank deposit so that there is no disruption to income.

Currently, his monthly requirement is Rs. 75000 and for his retirement he expects he will need 80% of it. The FD pays an interest of 6%. He is holding a FD which is maturing this year in which the amount invested doubles in 6 years. The maturity value of FD is Rs. 5,00,000. Mr. Prakash is planning to reinvest this amount in the same FD so that he can get Rs. 12,00,000 in 6 years to meet the expenses of house renovation.

Mr. Prakash has taken a 12% personal loan of Rs. 6 lakhs and the EMI on this is Rs. 9000. He wants to be debt free in retirement and so plans to pay off this loan in the next 6 years. He also wants to buy a better car which is costing Rs. 12 lakhs. The car dealer has given him two payment options. Pay the full price and get a discount of 12% or Pay Rs. 12 lakhs over the next 48 months with nil interest cost.

As Mr. Prakash is nearing his retirement, he does not want to take any risks in his investments. He is analyzing an investment product where he will receive an annuity of Rs. 3 lakhs per annum at an yield of 6% for life. This annuity will start 15 years from the date of investment. For this, he will be required to invest Rs. 12000 per month for 15 years.

Answer the below questions based on this data. Consider inflation at 6%.

Q 26.3 With respect to purchase of a new car and assuming that Mr. Prakash has sufficient funds to make the complete payment, which payment option offered by the car dealer should he choose?

- a. He should choose to pay in installments as there will be a Rs. 2083 inflation adjusted cost advantage
- b. He should choose to pay in installments as there will be a Rs. 12900 inflation adjusted cost advantage
- c. He should choose to make the full payment and get a 12% discount as this will give a Rs.12900 inflation adjusted cost advantage
- d. He should choose to make the full payment and get a 12% discount as this will give a Rs. 8500 inflation adjusted cost advantage

Answer – d - He should choose to make the full payment and get a 12% discount as this will give a Rs. 8500 inflation adjusted cost advantage

Explanation :

Let's find the value today of payments made under both options

Full Payment : Payment made = 12,00,000 - 12% discount = Rs. 10,56,000

Loan Option : The loan period is 48 months

Since inflation is at 6%, the PV of payments made today is –

The screenshot shows the Microsoft Excel interface with the 'Function Arguments' dialog box for the PV function. The formula bar at the top displays the formula: `=PV(6%/12,48,1200000/48,0,0)`. The dialog box contains the following arguments:

Argument	Value	Result
Rate	6%/12	= 0.005
Nper	48	= 48
Pmt	1200000/48	= 25000
Fv	0	= 0
Type	0	= 0

The dialog box also displays the formula result: **Formula result = (\$1,064,507.94)**. Below the result, there is a link to [Help on this function](#) and buttons for **OK** and **Cancel**.

Value of payments under loan option will be Rs. 1064500

So the instant payment option will lead to savings of 1064500 - 1056000 = Rs. 8500

Q 26.4 Mr. Prakash is interested in paying off the personal loan before he retires. Will he be able to do so? If yes, then in how many years and if no, then how much should the EMI be so that he can pay the loan before retirement?

- a. Mr. Prakash will be able to pay-off the loan prior to his retirement if he pays an EMI of Rs 10,000 for the initial 4 years and Rs 8500 for the next 3 years**
- b. Mr. Prakash will be able to pay-off the loan prior to his retirement if he pays an EMI of Rs 7300 for the initial 4 years and Rs 6000 for the next 3 years**
- c. Mr. Prakash will not be able to pay-off the loan at the current level of EMI in the next 6 years. He will have to raise the EMI to Rs. 10590**
- d. Mr. Prakash will be able to pay-off the loan before retirement t if he pays an EMI of Rs. 9000 for 72 months**

Answer – c - Mr. Prakash will not be able to pay-off the loan at the current level of EMI in the next 6 years. He will have to raise the EMI to Rs. 10590

Explanation :

Let's find out how many payments will Mr. Prakash will have to make if he continues the current EMI. This will help us answer if Mr. Prakash will be able to pay off his loan before retirement or not.

Using the NPER function in Excel

The screenshot shows the Excel interface with the formula bar containing `=NPV(12%/12,9000,-600000,0,0)`. The 'Function Arguments' dialog box for the NPV function is open, displaying the following values:

Argument	Value	Result
Rate	12%/12	= 0.01
Pmt	9000	= 9000
Pv	-600000	= -600000
Fv	0	= 0
Type	0	= 0

The dialog box also states: "Returns the number of periods for an investment based on periodic, constant payments and a constant interest rate." and "Pv is the present value, or the lump-sum amount that a series of future payments is worth now." The formula result is 110.409624.

Mr. Prakash has 7 years to retirement but his loan with the current EMI will last for 110 payments which is close to 9.2 Years.

For him to finish off his loan in 7 years, he will have to increase his EMI.

Let's find out how much. Using the PMT function in Excel to find the EMI -

The screenshot shows the Excel interface with the formula bar containing `=PMT(12%/12,7*12,600000,0,0)`. The 'Function Arguments' dialog box for the PMT function is open, displaying the following values:

Argument	Value	Result
Rate	12%/12	= 0.01
Nper	7*12	= 84
Pv	600000	= 600000
Fv	0	= 0
Type	0	= 0

The dialog box also states: "Calculates the payment for a loan based on constant payments and a constant interest rate." and "Pv is the present value: the total amount that a series of future payments is worth now." The formula result is (\$10,591.64).

So, Mr. Prakash will be able to pay off the loan till retirement if he increases his EMI to Rs. 10591.

Q 26.5 With respect to the annuity product which Mr. Prakash is analyzing, should he buy that product so that he can have an assured income stream in his retirement?

- a. Yes, he can buy the annuity product as it provides an assured income in retirement. Further, the return in accumulation stage is 10%, which is very good.
- b. Yes, he can buy the annuity product as it provides an assured income in retirement. Also, the return in the accumulation stage is 6% and annuity payout stage is assured at 9%
- c. No, he should not buy the annuity product as the return is low at 6%. However the returns during the accumulation stage is high at 9%
- d. No, he should not buy the annuity product as the return is low, especially in the accumulation stage at 6%

Answer – a - Yes, he can buy the annuity product as it provides an assured income in retirement. Further, the return in accumulation stage is 10%, which is very good.

Explanation :

Mr. Prakash will be receiving Rs. 300000 p.a. at a yield of 6%.

This means that the retirement corpus accumulated is Rs. 50 lakhs ($300000/6 \times 100$)

Now this corpus was built by investing 12,000 p.m. for 15 years. Let's find out the return on this investment in the accumulation stage.

Using the RATE function in Excel –

The screenshot shows the Excel interface with the RATE function dialog box open. The formula bar displays `=RATE(15*12,-12000,0,5000000,1)`. The dialog box shows the following arguments:

Argument	Value	Result
Nper	15*12	= 180
Pmt	-12000	= -12000
Pv	0	= 0
Fv	5000000	= 5000000
Type	1	= 1

The result of the function is 0.008306221, which is 0.83% p.m. or 10% p.a. (0.83x12). The dialog box also includes a description of the function and a formula result of 1%.

Return in the accumulation stage is 0.83% p.m. or close to 10% p.a. (0.83×12) which is good enough as opposed to 6% inflation, especially when this is a guaranteed product.

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Q 27. Mr. Kiran runs an investment advisory business under the name HI-GROWTH ADVISORS. He is successful in this business and manages assets of Rs. 20 crores. His clients have also increased to 300+. To serve his clients effectively, he has employed qualified employees.

Mr. Kiran is also a director in a company which is into distribution of mutual funds, PMS and other financial products. Mr. Varun is a client of HI-GROWTH ADVISORS and he is interested in a Portfolio Management Scheme (PMS) which is offered by the distribution company.

Answer the following questions taking into account the provisions of SEBI Investment Advisors Regulations 2013.

Q 27.1 As Mr. Varun is interested in investing in the PMS scheme, he wants Mr. Kiran's advice on the same. What should Mr. Kiran inform Mr. Varun?

- a. As Mr. Kiran should do the risk profiling of Mr. Varun and find if the PMS product is suitable for him or not
- b. Mr. Kiran should inform Mr. Varun that there is a conflict of interest as the PMS product is being distributed by a company in which Mr. Kiran is a director
- c. PMS products cannot be recommended by an investment advisor and Mr. Kiran should inform about this to Mr. Varun
- d. All of the above

Answer – b - Mr. Kiran should inform Mr. Varun that there is a conflict of interest as the PMS product is being distributed by a company in which Mr. Kiran is a director

Explanation :

As per SEBI rules -

Investment Advisers are required to follow a strict code of conduct and offer advice in the investors' best interests.

An investment adviser shall ensure that in case of any conflict of interest of the investment advisory activities with other activities, such conflict of interest shall be disclosed to the client.

Q 27.2 Is there a need for HI-GROWTH ADVISORS for applying for registration as a Non-Individual investment adviser?

- a. There is no need to apply as a non-individual investment adviser as the assets managed have not crossed Rs. 30 crores
- b. There is no need to apply as a non-individual investment adviser as the number of clients have not crossed 500
- c. There is a need to apply as a non-individual investment adviser as the assets managed have crossed Rs. 15 crores
- d. There is a need to apply as a non-individual investment adviser as the number of clients have crossed 300

Answer – d - There is a need to apply as a non-individual investment adviser as the number of clients have crossed 300

Explanation :

As per SEBI - The certificate granted to an investment adviser under the regulations shall, inter alia, be subject to various conditions – and one of them is :

‘Individuals registered as investment advisers whose number of clients exceed 300 in total, shall apply for registration as non-individual investment adviser within such time as may be specified by SEBI.

Q 27.3 What details Mr. Kiran should have provided to Mr. Varun before signing him as his client?

- a. Mr. Kiran should have informed Mr. Varun that he is a director in the PMS distribution company**
- b. Mr. Kiran should have informed Mr. Varun that HI-GROWTH ADVISORS may have to apply for a non-individual registration in the near future**
- c. Mr. Kiran should have informed Mr. Varun that even though the number clients have grown, HI-GROWTH ADVISORS has qualified employees to cater to the needs of its clients**
- d. All of the above**

Answer -d – All of the above

Explanation : All the above information has to be disclosed to the client as per SEBI and to avoid any conflict of interest.

Mr. Kiran runs an investment advisory business under the name HI-GROWTH ADVISORS. He is successful in this business and manages assets of Rs. 20 crores. His clients have also increased to 300+. To serve his clients effectively, he has employed qualified employees.

Mr. Kiran is also a director in a company which is into distribution of mutual funds, PMS and other financial products. Mr. Varun is a client of HI-GROWTH ADVISORS and he is interested in a Portfolio Management Scheme (PMS) which is offered by the distribution company.

Answer the following questions taking into account the provisions of SEBI Investment Advisors Regulations 2013.

Q 27.4 Mr. Varun is having an insurance policy and is having some grievances with a claim made. To whom should he approach to resolve the issue?

- a. Mr. Varun should raise the issue with Mr. Kiran as he is the investment adviser
- b. Mr. Varun should raise the issue with SEBI's online grievance platform – SCORES
- c. Mr. Varun should raise the issue with the compliance department of HI-GROWTH ADVISORS
- d. Mr. Varun should raise the issue with the respective insurance company and IRDAI

Answer – d - Mr. Varun should raise the issue with the respective insurance company and IRDAI

Explanation :

A complainant would first approach the grievance redressal mechanism of the insurance company. In case the complaint is not resolved within 2 weeks of its receipt or it is unattended or the customer is unhappy with the insurance company or intermediary associated thereto, the complainant can approach the Insurance Ombudsman.

Q 27.5 There are some conditions on how a registered investment advisor's service is represented. Is HI-GROWTH ADVISORS compliant with those requirements?

- a. HI-GROWTH ADVISORS will have to add the name of the registered investment adviser in the name of the advisory
- b. HI-GROWTH ADVISORS will have to use the term 'Investment Adviser' in all its correspondence's with its clients
- c. HI-GROWTH ADVISORS should change its name to HI-GROWTH INVESTMENT ADVISORS
- d. The is no need to change the way the advisory firm is represented

Answer – b - HI-GROWTH ADVISORS will have to use the term 'Investment Adviser' in all its correspondence's with its clients

Explanation :

As per SEBI - The certificate granted to an investment adviser under the regulations shall, inter alia, be subject to various conditions – and one of them is :

'Individuals registered as investment advisers shall use the term 'investment adviser' in all their correspondences with their clients'.

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Q 28. Mr. Abhay, aged 43, plans is a salaried person but wants to start his own business. He knows that his income would be irregular in a business and wants financial security before he leaves his job and starts the business. His main goals are to fund his children's education after 4 years and his retirement planning for which he has kept the provident fund balance. Mr. Abhay has asked you to scrutinize his finances and give the required advice. The data provided by him is as under :

Monthly Income	Rs.	Rs.
Salary	285000	
Rent	21000	
Monthly Expenses		
Regular household expenses	72000	
Repayment of loan	115000	
Discretionary Expenses	28000	
Emergency Medical	38000	
	ASSETS	LIABILITIES
Equity Mutual Funds	11,00,000	
Bank FD maturing in 6-8 months	5,00,000	
Cash balance in bank	2,00,000	
Equity share leverage	20,00,000	17,00,000
PF Balance	80,00,000	
Self-occupied property and loan outstanding on it	1,70,00,000	76,00,000
Second home given on rent and loan outstanding on it	95,00,000	58,00,000
Own Car and loan outstanding on it	4,00,000	2,00,000

Q 28.1 Mr. Abhay wants to have funds for his children's education after 4 years. Is his financial situation on track to meet this goal. What ratio will you consider to support your recommendation?

- a. The Liquid Asset to Networth Ratio is 6.83%. This is quiet low due to the future income uncertainties and the requirement of liquid assets for meeting expenses. Mr. Abhay should liquidate the equity shares as and when the market is good**
- b. The Liquid Asset to Networth Ratio is 9.33%. This will be insufficient to meet the goals if his income is lower. Mr. Abhay should withdraw from the provident fund to meet his goals**
- c. The Liquid Asset to Networth Ratio is 17.65%. This is quiet adequate to meet the short term goals and expenses even if there is a fall in the income. But, this ratio can mean that the portfolio will not see growth for long term needs**
- d. The Liquid Asset to Networth Ratio is 15.75%. This is quiet adequate to meet the short term goals and expenses even if there is a fall in the income. Mr. Abhay should maintain the ratio at these levels till the short term goals are met**

Answer – a - The Liquid Asset to Networth Ratio is 6.83%. This is quiet low due to the future income uncertainties and the requirement of liquid assets for meeting expenses. Mr. Abhay should liquidate the equity shares as and when the market is good

Explanation : The Liquid Assets in Mr. Abhay's portfolio are : Cash Rs. 2 lakhs, Equity Mutual Fund Rs. 11 lakhs and Net Equity Shares Rs. 3 Lakhs. Total = Rs. 16 lakhs

His Networth can be calculated as Assets Less Liabilities

Assets :

Equity MF = Rs 11 lakhs

Bank FD = Rs 5 lakhs

Cash balance = Rs 2 lakhs

Equity Shares = Rs 20 lakhs

PF Balance = Rs 80 lakhs

Self Occupied Property = Rs 1.70 crores

Second Home = Rs.95 lakhs

Car = Rs 4 lakhs

Total Assets = Rs 3.87 crores

Liabilities :

Equity Leverage = Rs 17 lakhs

Loan on self occupied property = Rs 76 lakhs

Loan on second home = Rs. 58 lakhs

Car loan = Rs 2 lakhs

Total Liabilities = Rs 1.53 crores

Networth = 3.87 crores - 1.53 crores = Rs 2.34 crores

Liquid Asset to Networth Ratio = 16 lakhs / 2.34 crores = 6.83%

Q 28.2 After studying the assets and liabilities of Mr. Abhay, what would you say regarding his financial situation and what would you advise him?

- a. Although Mr. Abhay's networth is Rs. 2.34 crores, his total assets are high at Rs. 3.87 crores. This large asset base signifies that he will be able to meet his goals by selling his assets when needed
- b. Although Mr. Abhay's networth is Rs. 2.34 crores, its low compared to his assets of Rs. 3.87 crores. His investment in non liquid assets are quiet high. Also excessive use of leverage can impact his financial stability. Due to this, he may not be able to meet his goals
- c. Mr. Abhay's total assets are quiet high at Rs. 3.87 crores and so is his networth at Rs. 2.34 crores. Due to this, he is in a satisfactory state to meet his goals. This is mostly due to his investments in equity.
- d. The total assets at Rs. 3.87 crores are quiet low when compared to his income levels. The networth is however reasonable. Mr. Abhay can make his financial situation better and meet his goals by taking more leverage, especially in real estate investments

Answer – b - Although Mr. Abhay's networth is Rs. 2.34 crores, its low compared to his assets of Rs. 3.87 crores. His investment in non-liquid assets are quiet high. Also, excessive use of leverage can impact his financial stability. Due to this, he may not be able to meet his goals

Explanation - Most of Mr. Abhay's investments are in non-liquid assets. It will be difficult to liquidate these assets. Liquidating equity investments can also be trick as the markets can be volatile / in bear phase. So, it will be difficult to meet his goals as and when they arise.

Q 28.3 Guide Mr. Abhay on how he should plan and build an emergency fund according to his financial position and his future plans.

- a. Mr. Abhay should have an emergency fund which will be adequate to meet atleast 3 months of his expenses. This fund money can be held in liquid assets like short term deposit and bank account so that it can be accessed easily.
- b. Mr. Abhay should have an emergency fund which will be adequate to meet atleast 6 months of his expenses. This fund money can be held in liquid assets and long term assets for earning better return
- c. Mr. Abhay should have an emergency fund which will be adequate to meet atleast 6 months of his expenses. This fund money can be held in liquid assets like short term deposit and bank account so that it can be accessed easily.
- d. Mr. Abhay should have an emergency fund which will be adequate to meet atleast 3 months of his expenses. This fund money can be held in liquid assets and long term assets for earning better return

Answer – c - Mr. Abhay should have an emergency fund which will be adequate to meet atleast 6 months of his expenses. This fund money can be held in liquid assets like short term deposit and bank account so that it can be accessed easily.

Explanation :

While the size of emergency fund will vary depending on the lifestyle, monthly costs, income, and dependents, the rule of thumb is to put away at least three to six months' worth of expenses.

Since Mr. Abhay is going to start a new venture, his income is uncertain and very volatile. An emergency fund of at least 6 months is recommended in this case. Also emergency funds should be held in low-risk less volatile highly liquid assets since emergencies can arise anytime uncertainly.

Q 28.4 – Mr. Abhay is planning to quit his job. Explain to him, with the required parameters, the importance of having an emergency fund.

- a. The liquid assets to income ratio is quite low. This means that the liquid assets will not be able to support Mr. Abhay in case there is a fall in the income
- b. The debt to income ratio is quite high and this will put a stress on the household's finances if the income levels fall
- c. Financial assets to Total assets ratio is quite low and this means that Mr. Abhay will not be able to meet the expenses if the income level falls
- d. All of the above

Answer – d – All of the above

Answer Explanation: All the reasons mentioned above are true and are indicators of poor financial health

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Q 29. Mr. and Mrs. Kapoor, aged 42 and 45, have many financial goals to meet. These include :

1. Children's education
2. Mr. Kapoor's plan to become an entrepreneur. If this happens, it will take at least 1 year for the business income to start

Following are their financials:

Income		
Salary of Mr. Kapoor	2,66,000	
Salary of Mrs. Kapoor	2,44,000	
Rental Income	17,000	
Expenses		
Repayment of loan	1,36,000	
Regular Household Expenses	81,000	
Discretionary Expenses	44,000	
	Assets	Liabilities
Equity mutual fund	14,65,000	
Equity shares	15,70,000	11,00,000
Gold	31,00,000	
Low duration debt fund	5,25,000	
Short term bank fixed deposits	9,50,000	
Self occupied property and loan outstanding on it	81,00,000	41,00,000
Property given on rent and loan outstanding on it	52,00,000	34,00,000
Car and loan outstanding on it	3,00,000	2,30,000
Cash in bank a/c	23000	

Q 29.1 Calculate the Savings Ratio of the house hold and determine if its in a good position to meet their long term financial goals?

- a. The household savings ratio is 15% and this is not sufficient to meet the long term goals
- b. The household savings ratio is 30% and this is not sufficient to meet the long term goals
- c. The household savings ratio is 25% and this is sufficient to meet the long term goals
- d. The household savings ratio is 50% and this is sufficient to meet the long term goals

Answer – d - The household savings ratio is 50% and this is sufficient to meet the long term goals

Explanation :

Savings Ratio = Annual Savings / Annual Income OR

Monthly Savings / Monthly Income if monthly data is provided.

The monthly income is Rs. 266000+244000+17000 = Rs. 527000

The monthly expenses are Rs. 136000+81000+44000 = Rs. 261000

So the monthly savings will be monthly income less monthly expenses

= Rs. 527000 – Rs. 261000 = Rs. 266000

Savings Ratio = Monthly Savings / Monthly Income

Savings Ratio = 266000 / 527000 = 50.47%

Any saving over 20-25% of monthly/annual income is a good saving ratio.

Q 29.2 As. Mr. Kapoor is planning to leave his job and start his venture, the house should have an emergency fund in place . What should the amount of the emergency fund be?

- a. The emergency fund should be able to meet 6 months expenses – Rs. 13,82,000
- b. The emergency fund should be able to meet 6 months expenses – Rs. 15,66,000
- c. The emergency fund should be able to meet 3 months expenses – Rs. 7,83,000
- d. The emergency fund should be able to meet 3 months expenses – Rs. 5,72,000

Answer – b - The emergency fund should be able to meet 6 months expenses – Rs. 15,66,000

Explanation :

An emergency fund needs to be the first goal towards which a household or individual should save as a protection against the possibility of loss or reduction of income. The fund should be adequate to meet the expenses for 6 months, in the event the regular income is not available.

Monthly expenses of the house hold are : Rs. 136000+81000+44000 = Rs 261000 x 6 months
= Rs. 15,66,000

Q 29.3 If Mr. Kapoor becomes an entrepreneur, the ability of the household to service the debt will be under stress. Calculate the change in debt-to-income ratio of the household.

- a. There will be a change in the debt-to-income ratio from 26% to 52%
- b. There will be a change in the debt-to-income ratio from 32% to 17%
- c. There will be a change in the debt-to-income ratio from 19% to 46%
- d. There will not be any change in the debt-to-income ratio

Answer – a - There will be a change in the debt-to-income ratio from 26% to 52%

Answer Explanation:

Debt to Income Ratio = Monthly Debt Servicing Commitment ÷ Monthly Income

Current Loan Repayment = Rs 136000

Current Debt to Income Ratio = 136000 / 266000+244000+17000

= 136000/527000 = 25.80%

If Mr. Kapoor leaves his job to become an entrepreneur, his income will stop for some time and only Mrs. Kapoor and Rent income will remain.

Future Debt to Income Ratio = 136000/(244000+17000)

= 136000/261000 = 52.10%

Q 29.4 The Kapoor household has to meet many goals in the near future. Which of the financial ratios will you look into and what will be their implication?

- a. The liquidity ratio of the household is reasonable and they can comfortably meet their monthly expenses
- b. The liquid assets to networth ratio is quiet low as the household has to meet many goals in the near future
- c. The financial assets ratio is low the goals in the near future will require funding
- d. All of the above

Answer – d – All of the above

Answer Explanation:

Liquidity ratio measures how well the household is equipped to meet its expenses from its short-term assets. It is calculated as: $\text{Liquid Assets} / \text{Monthly Expenses}$. A ratio of at least 4 to 6 indicates a comfortable level for the household to meet its expenses for 4 to 6 months, even if there was a loss or decline in regular income

Liquid assets are those assets that can be easily converted into cash at short notice to meet expenses or emergencies. Liquid assets include money in savings bank account, fixed deposits that mature within 6 months, investment in liquid funds or other mutual funds and such other short-term assets.

A higher proportion of financial assets is preferred especially when goals are closer to realisation and when there is a need for income or funds to meet the goals

Q 29.5 Mr. Kapoor may soon leave his job to start his business. This will lead to a single income household. The Kapoor's feel that this will endanger their financial stability. Which financial ratio can be used to see analyze their situation?

- A. The leverage ratio. Currently this is high and should be reduced by more savings and paying off their loan used for equity investments
- b. The financial assets to total liabilities ratio is good. This means that the household can payoff their liabilities at short notice
- c. The networth will get reduced when Mr. Kapoor starts earning and meeting obligations can become difficult
- d. All of the above

Answer – a – The leverage ratio. Currently this is high and should be reduced by more savings and paying off their loan used for equity investments

Explanation :

Assets can broadly be categorised as financial assets such as shares, debentures, bank deposits, Public Provident Fund, mutual fund investments and others, and physical assets such as gold, other precious metals, diamonds and real estate. Financial assets have the advantage of greater liquidity, flexibility, convenience of investing and ease of maintaining the investments. A higher proportion of financial assets is preferred especially when goals are closer to realisation and when there is a need for income or funds to meet the goals.

Leverage Ratio This is a measure of the role of debt in the asset build-up of the investor. It is calculated as $\text{Total Liabilities} \div \text{Total Assets}$.

Higher the leverage, riskier it is for the individual's financial situation. This should be reduced.

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Q 30. Mr. Pradeep is fund manager and he has allocated 14% of the funds to Banking Sector as compared to 8% in the benchmark index.

The banking sector's return in the benchmark portfolio was 11% as compared to 7% total return of the benchmark portfolio.

Calculate what is the return due to the banking sector allocation?

- a. 3%
- b. 1.5%
- c. 0.24%
- d. 0.69%

Answer – c – 0.24%

Answer Explanation:

The allocation effect calculates this difference which is based on the differential in allocation and the return that is actually generated. This is mathematically calculated by

$$\text{Allocation effect} = \sum_i [(W_{ai} - W_{pi}) \times (R_{pi} - R_p)]$$

W_{ai} and W_{pi} = the investment proportions of the i th market segment (i.e. asset class, sector / industry group) in the active manager's portfolio (W_{ai}) and the benchmark policy portfolio (W_{pi}) respectively

R_{pi} = the investment return to the i th market segment in the benchmark portfolio
 R_p = Total return of the benchmark portfolio

Substituting the above values in the formula :

$$\text{Allocation Effect} = (0.14 - 0.08) \times (0.11 - 0.07)$$

$$= 0.06 \times 0.04$$

$$= 0.0024 = 0.24\%$$

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NISM BOOK SUMMARY – SHORT NOTES

Module 1: Personal Financial Planning

I. Introduction to Personal Financial Planning

Understand the concept of Financial Planning

Financial planning aims at ensuring that a household or individual has adequate income or resources to meet current and future expenses and needs

Understand the need for financial planning

There is a large range of financial products and services that are available for investors today and these needs to be linked to the specific needs and situations of the client. Not every product may be suitable to every client; nor would a client be able to identify how to choose and use products and services from the choices that are available in the market.

The **Financial Planner** has a significant role to play when it comes to advising clients because the needs of each person is different from that of the other

Scope of financial planning

Financial planning enables a household or individual to manage its personal finances efficiently in line with their short and long-term objectives.

- Personal financial analysis
 - Goal setting with prioritizing of goals
 - Focus on important goals
 - Staggering the timing of certain goals
- Cash flow management and budgeting
- Insurance Planning
- Debt management and counselling
- Investment Planning and Asset Allocation
- Tax Planning
- Retirement Planning
- Estate Planning

Concept of asset, liabilities and net worth

The **income** of a household or individual is at the base of all financial activities that are undertaken. The income is used to meet current expenses and a portion is set aside to meet expenses in the future.

The **savings** of a household or individual are put to work by investing them in assets.

Assets are broadly classified as physical assets and financial assets. **Physical assets** have an intrinsic value though the actual price at which they trade is impacted by demand and supply. **Financial assets** represent a claim that the investor has on benefits represented by the asset.

Financial Planning process

- Establish and define the client-planner relationship
- Gather client data, including goals
- Analyse and evaluate financial status
- Develop and present financial planning recommendations
- Implement the financial planning recommendations
- Monitor the financial planning recommendations

Financial advisory and execution

Investment Advisers may engage with their clients at various levels and the scope of services they offer may vary depending on their skills, capabilities and business model. One of the regulatory initiatives to prevent such mis-selling is to differentiate between providers of advice and distributors of financial products, and to ask advisers to earn their 28 revenue from the client, and not from the producer.

The following are the various business models in the delivery of financial advice to clients:

- Fee-only financial planners and advisers
- Execution only services
- Wraps and Platforms

II. Time Value of Money

The value of money does not remain the same at all points of time. The money available at the present time is worth more than the same amount in the future since it has the potential to earn returns (or interest as the case may be).

Important Terms

1. Present value is the amount that you would pay today for a cash flow that comes in the future. It brings the future value down to today's price.

$$PV = FV / [(1+r)^n]$$

Where FV= Future Value PV= Present Value r = rate of return for each compounding period n = number of compounding periods

2. Future value represents what something is worth at some point in the future.

$$FV = PV * \{(1+r)^n\}$$

Where FV= Future Value PV= Present Value r = rate of return for each compounding period n = number of compounding periods

3. Rate of return is the percentage rate that is earned on a particular investment. There are times when the investor has just the amount that has been earned but this needs to be converted into a rate of return. This will enable proper comparison with other instrument and options that are present in the market and will aid in proper decision making too.

$$R = [(FV/PV)^{(1/n)}] - 1$$

Where FV= Future Value PV= Present Value r = rate of return for each compounding period n = number of compounding periods

4. There are a lot of areas where the investor will be making a regular or a **periodic payment**. The most common example is that of a loan, where there is a regular Equated Monthly Instalment (EMI) being paid out to the lender each month. It is essential to know the amount that would be paid, so that there can be a proper planning made of how the amount should be accumulated. This can be obtained using Excel

5. Given the fact that there is a capital amount that is present along with the loan interest and a fixed amount repaid each month the amount in which the loan can be repaid can be known. This is also known by its Excel term NPV or **Period of the loan**

6. Annuity is a sum of money paid at regular periods, such as monthly, quarterly, annually. A common example of an annuity is pension. Annuities can be of two types (1) Fixed annuity and (2) Flexible annuity.

Fixed Annuity means that fixed returns are received at regular periods. Floating annuities are those in which the returns are benchmarked to inflation or index returns or any other return as specified in the indenture agreement at the time of buying.

An annuity is differentiated based on the time period when the payment on it is made. In case of an ordinary annuity the payment is made at the end of the relevant time period. Under Annuity Due, the payment is made at the start of the period instead of at the end of the period.

7. Perpetuity is a cash flow from an investment that goes on forever. A normal instrument would have a specific time period for which the cash flow might be received but in case of perpetuity there is no finite period for which the cash flow is received.

In order to calculate the value of perpetuity one has to find its present value. This is given by

$$PV = C/(1+r)^1 + C/(1+r)^2 + C/(1+r)^3 + \dots$$

$$PV = C/r$$

Where PV = Present Value C = Cash flow r = discount rate

III. EVALUATING THE FINANCIAL POSITION OF CLIENTS

Importance of cash flow management in personal finance

Personal finance involves looking at the various sources of income and expenses and ensuring that there is some surplus savings which is allocated to various investments to meet the different goals in the future. One of the key aspects of the entire process is to look at the cash flow

Cash flow management ensures that there is a control over the finances in a family and for an individual. There is a sense of empowerment that this gives, because there is confidence that things are being handled in a proper manner. It also makes for smooth running of the household as funds are available as and when required.

Preparing Household Budget

The investment adviser performs an important role in helping the household or an individual understand a household budget. Preparing a household budget entails an understanding of the sources from which the household or individual receives income, and the application of these funds in a typical month.

Cash inflows and outflows

Cash management: One of the important aspects of the household budget management process is the handling of the cash. On paper there could be a situation wherein there is some savings or surplus that is being seen, but this has to match with the actual cash flow because the income and expense figures have to be backed by actual cash.

Income and expenditure statement: An income and expenditure statement gives a view of the financial flows for an individual or household for a specific time period. There is always a time period for which the income and expenditure statement is prepared and this could be a year or month.

Budgeting and forecasting

Forecasting is an exercise and this can be used to move ahead with budgeting as it can be the basis for the budget that is prepared. The forecast also has to be seen in the context of what actually happens so that the real situation is understood and deviations if any are plugged.

Monitoring budgets and provision for savings

Understanding the concept of budgeting is the first step in the entire process of maintaining control over the finances of the household or the individual. Once the concept is known the next step is to actually prepare a budget. The process of monitoring of the budget involves recording the actual income and the expenses that have arisen.

Creating a personal Balance Sheet and net-worth

Creating a personal balance sheet for an individual will require that various assets and liabilities are brought together and shown at a single place. A balance sheet shows the financial position of the individual or household in the form of assets and liabilities at a particular date.

Creating a budget and savings plan

There are several steps that need to be taken when a budget and savings plan is created. This will ensure that the process is done in a step by step manner and nothing has been missed out. It involves multiple steps would be useful in the budget creation process.

Contingency Planning

Investment advisers need to prepare the client for various contingencies that might come up. The household or individual's financial strategy needs to provide for these risks. An emergency fund needs to be the first goal towards which a household or individual should save as a protection against the possibility of loss or reduction of income. The fund should be adequate to meet the expenses for six months, in the event the regular income is not available. The emergency fund should be held in liquid assets, to enable easy access as and when required.

Evaluation of financial position of clients

The personal financial situation of an individual or a household primarily refers to its ability to manage its current and future needs and expenses. The efficiency with which the interplay between income, expenses, assets and liabilities are handled by the household determines its financial situation. Insurance planning is an essential element of a financial plan.

Savings Ratio & Expenses Ratio: Savings Ratio is the percentage of annual income that a person is able to save. It is calculated as $\text{Savings per year} / \text{Annual Income}$. The Expenses Ratio is calculated as $\text{Annual Recurring Expenses} \div \text{Annual Income}$.

Savings/Income Ratio: The Savings to Income ratio measures the total accumulated savings of the individual relative to the annual income. It is calculated as $\text{Total Savings} / \text{Annual Income}$.

Total Assets: Savings of the individual are deployed in various forms of physical and financial assets such as shares, debentures, mutual funds, real estate, gold, provident fund, and others over a period of time. The current value of these assets constitutes the investor's total assets.

Total Liabilities: Liabilities include loans and different forms of credit taken to meet expenses or to acquire assets.

Leverage Ratio: This is a measure of the role of debt in the asset build-up of the investor. It is calculated as $\text{Total Liabilities} \div \text{Total Assets}$.

Net Worth: A strong asset position is of no use, if most of these are acquired through loans that are outstanding. Similarly, liability is not bad, if it has been used for creating an asset, such as real estate, which has the potential to appreciate in value

Solvency Ratio: Despite having assets, a person may be insolvent, if the liabilities are higher than the value of the assets held. A critical benchmark is that the individual's net worth should be positive.

Liquid Assets: Liquid assets are those assets that can be easily converted into cash at short notice to meet expenses or emergencies. Liquid assets include money in savings bank account, fixed deposits that mature within 6 months, investment in liquid funds or other mutual funds and such other short-term assets.

Liquidity Ratio: The role of liquid assets is to meet the near-term liquidity needs of the individual. It is normal to calculate the liquidity needs as the expenses that an investor will incur over the following 6 months (including loan repayments).

Financial Assets Ratio: Financial assets have the advantage of greater liquidity, flexibility, convenience of investing and ease of maintaining the investments. They are primarily income generating investments, though some of them, such as equity-oriented investments are held for long-term capital appreciation.

Debt to Income Ratio: Leverage ratio measures the extent of debt use in asset acquisition. It however does not directly measure the ability of the individual's income to service or meet the obligations arising from all debt outstanding.

IV. Debt Management and Loans

The purpose or need of debt

Debt is used to finance goals when available funds (self-funding) are inadequate. Even though income might be higher than expenses it is not possible to finance every purchase or asset with just the existing savings. Debt is not always bad. In some cases, the decision to use borrowed funds over own funds, also called leverage, may actually increase the return made on an investment.

Role and impact of debt in cash flow management

While some debt is good and may even be recommended, how much debt is good depends upon the financial situation of each household. The interest rate and the amount of debt play an important role as far as the measurement of the impact of the debt is concerned. All this needs to be done to ensure that the debt and its outflow do not disrupt the entire cash flow management plan laid out.

Differentiating between consumption expenditure and investment expenditure: One way to differentiate the various expenditures is by classifying them as consumption expenditure and investment expenditure. Consumption expenditure is that amount which once used does not create any asset that generates further income.

Identifying the holes in the household budget: A household may not be managing its income and expenses efficiently to enable savings for goals. Some common errors that make it seem as if savings are not possible include not being clear if an expense is an essential living expense or discretionary in nature. A summarisation of the list of expenses at the end of the month can be enlightening.

Allocation to various categories of expenses: The monthly summary of outflows helps in understanding the current prioritization. If unusual expenses are kept out, the balance outflows can be categorized as mandatory contributions to provident fund and other retirement savings, loan servicing, essential expenses and lifestyle expenses.

Windfalls: Clients occasionally earn a windfall such as unexpectedly high annual bonus, inheritance, winning a lottery, etc.. A healthy portion of such unexpected income should be set apart for the future.

Leverage and Debt Counselling

Investment Advisers need to consider various aspects when they are advising clients on debt as this can have a big role in the kind of financial behaviour that is witnessed.

Purpose of the debt: Debt or loan should ideally be taken for acquiring appreciating assets such as real estate. Financing risky or volatile investment propositions with debt may entail high risk and may put the entire financial security of the individual or household at risk.

Cost of debt: Higher the rate of interest at which money is borrowed, more will be the outgo in servicing the debt.

Maturity of debt: Shorter the tenor of the loan; more will be the periodic repayment putting pressure on available income. Even if the cost of debt is low, short loan tenor can put financial pressures in repayment.

Debt Re-scheduling: If the borrower is unable to manage the debt repayments, then it helps to work out a solution as soon as possible.

Calculate the debt servicing requirements

Role of Credit Bureaus and Credit Score: Credit score is a number assigned to each individual by a credit information bureau based on their credit behaviour and repayment history. A good credit score and credit report can be built by dealing with debt responsibly.

Accessing your credit score: In order to have access to your credit score the client has to go to a credit bureau that is licensed to operate in the country.

Responsible Borrowing

One of the key points that every individual needs to follow is that they should never borrow more than what they can afford.

Secured and Unsecured loans

There are various types of loans based on the nature of the security that is present for the lender of these loans. One is secured loans and as the name suggests these loans are backed by some asset as security. Unsecured loans are those loans where the lender does not take any security from the borrower.

Terms related to loans

- **Fixed rate loans** are those loans where the interest rate on the loan is fixed for the entire duration of the loan.
- **Variable rate loans** are also known as floating rate loan. These loans have an interest rate that changes or gets reset periodically with the changes to the benchmark rate to which this is linked.
- A **home equity loan** is also called a loan against property (LAP).
- A **hire purchase agreement** is one where an individual agrees to buy a certain asset by paying instalments over a period of time.
- A **lease** is a contractual agreement where the owner of an asset called the lessor allows another person called the lessee to use the asset for a certain period of time in exchange for the payment of lease.

- The process of **amortisation** of a loan is one where the capital borrowed is repaid over a period of time.
- The act of **refinancing a loan** means that an individual repays an existing loan by taking another loan either to extend the duration of loan or lower the interest cost.
- **Prepayment** is when the borrower has some extra amounts and they would like to reduce the outstanding amount of the loan. At such a point they can go and make a prepayment which is paying back the capital before the specified time
- The **Pre EMI interest** refers to the monthly payments that are made on the loan which includes only the interest component being repaid.
- **Moratorium** refers to a period wherein the repayments on a loan are stopped temporarily or for a certain period of time because of some extraordinary factors also known as (a.k.a) force majeure or tough conditions including some crisis or war or similar situation.
- A **mortgage** is a debt instrument that is backed by a specified property that the borrower has to pay back over a specified time period through regular payments.
- A **pledge** is something that is held as a security on a contract.
- **Hypothecation** is a term used for creating a charge against an asset but in this case the asset remains with the borrower. In this sense it differs from a pledge where the asset is with the lender.

Types of borrowing

- A **home loan** is a loan that is taken for the purchase of a house property.
- An **education loan** is one which is used to fund the cost of education.
- A loan that is taken for the purpose of purchase of a vehicle is called a **vehicle loan**.
- A loan that is taken for the purpose of conducting business or profession is a **business loan**.
- **Personal Loan** is one which can be used for any purpose and there is no fixed area in which this has to be spent.
- **Credit card** is a way to access short term credit for an individual. A credit card has a specified spending limit and a person can use the credit card to spend up to the limit.
- An **overdraft** wherein the individual is allowed to use more than the balance in the account up to the limit specified in the overdraft. The overdraft facility is usually used by businesses.
- There is a category of loans which is in the nature of secured loans. These are **loan against Gold, Loan against property, Loan against securities**.
- **P2P loans** are also known as Peer to Peer loans and this involves one person lending to another person directly instead of a financial institution lending to an individual.

Understand loan calculations

EMI can easily be calculated in MS Excel using the '=pmt' function as shown in the example

Determining the EMI

	A	B	C	D	E	F
2						
3	a	Loan				1,00,000
4						
5	b	Rate of Interest (per period)				12%
6						
7	c	Tenor (number of periods)				5
8						
9	d	Equated Instalment (per period)				₹ -27,740.97
10						

Formula bar: F9 : =PMT(F5,F7,F3)

Loan restructuring

There might be some sort of financial stress for the borrower that would make them unable to pay the loan that has been taken. The financial institution would not like the loan to become a non performing asset and hence they would want to ensure that there is a loan restructuring. Under a loan restructuring there is a change in the conditions related to an existing loan. This could involve a reduction in the EMI that is being paid so that the loan becomes affordable or it could be an increase in the time period for repayment.

Repayment schedules with varying interest rates

The repayment schedule on a loan is a significant component that is often ignored because all that an individual focuses on is the EMI amount. The repayment of a loan consists of two parts which is interest and capital repaid. There might be a specific amount paid but every individual also needs to see the amount that is being repaid towards capital as well as interest as it will determine the amount that is outstanding on the loan. Under varying interest rates, a higher interest rate has led to a higher total interest cost which means more goes towards interest right from the first payment.

Criteria to evaluate loans

There are multiple features of loans that differ and this need to be considered by anyone who wants to take a loan. The exact feature can make a huge difference as far as the final cost or expense on the loan is concerned. Here are some criteria that can be considered while looking at loans:

- 1) Interest Rate on Loan
- 2) The period after which the loan is reset for interest rate changes
- 3) There are different expenses involved at the time of taking a loan
- 4) The time period of the loan being offered
- 5) The nature of the benchmark that is available for the loan

Opting for change in EMI or change in tenure for interest rate changes

Floating rate loans are a very popular category of loans and most long term loans are of this nature. The changes in the linked benchmark to the loan will lead to a change in the interest rate applicable on the loan. There are two choices that come before the borrower when the interest rate changes and this is to either change the EMI amount or change the time for which the loan would be repaid. Making a choice as to what route to adopt is crucial for the individual because they will be affected by how their loan payment behaves.

Invest the money or pay off outstanding loan

Many times, the individual has some amount that they received either as a lump sum or even as a onetime gain or windfall. . If there is a very high loan burden, which is a strain on the finances then the amount received can be used to pay down the loan and bring it to a comfortable level. In terms of absolute amounts, if this is quite high, then this could be significant in terms of the decision made. The mathematical aspect of the decision would depend on two main things. What is the interest rate that is being charged on the loan and what is the average earning, which would be available from the investment amount going forward?

Strategies to reduce debt faster

Avalanche: The avalanche strategy for paying off debt involves looking at the various loans and borrowings and paying off those with the highest interest rates first. This is a logical way of going about the repayment process because the highest interest rate loans are the most costly and hence this is expected to bring down the interest burden.

Snowball: The snowball route of repayment of debt focuses on the amount of the loan. In order to get a sense of success in the repayment the method first starts off with the lowest debt amount and then moves to the higher amount that is outstanding.

Blizzard: The blizzard approach to repaying debt is a mixture of the avalanche and snowball methods. This starts off with the snowball method, whereby the lowest amount of debt is paid off first. Once this gives a motivational boost, then the next step involves switching to the avalanche method and paying off the highest interest rate debt. This method is supposed to take care of the risk of ending up with the highest interest rate debt in the portfolio while paying off the outstanding.

Module 2: Indian Financial Markets

V. Introduction to Indian Financial Markets

The Indian Economy

The Indian economy has gone through phases of growth and change that has transformed it from being a primarily agriculture-oriented economy to one where services and manufacturing contribute to 3/4th of its gross domestic product. The economy requires the financial system to support growth by enabling access to resources, both financial as well as real. The banking sector provides—credit at efficient costs, secure systems for transactions and transfer of funds and the means to channelize savings of the economy in productive ways.

Securities markets allow businesses seeking funds to reach out to a wider group of investors. The foreign exchange markets provide a platform for trading in the currencies of countries which in turn determines the costs of import of funds and commodities essential for production and enables global investing.

The Indian Financial Markets

Key Features

The financial markets enable efficient transfer and allocation of resources for productive activities in the economy. The function of the financial markets is to ensure that economic activity is enabled by providing access of funds to those that need it for consumption or productive activity. They provide a way for aggregation of funds from a large number of investors and make it available for productive economic activity. An efficient financial market ensures that the transfer of funds happens at a cost that makes it attractive for savers to save and lend and for users to borrow funds.



Regulators of Financial Markets

Ministry of Finance: The Ministry of Finance through its Department of Financial Services regulates and oversees the activities of the banking system, insurance and pension sectors. The Department of 92 Economic Affairs regulates the capital markets and its participants. The ministry initiates discussions on reforms and oversees the implementation of law. The Ministry of Finance (MoF) has a wide range of responsibilities. It has five departments under it, whose roles are briefly described below: a) Department of Economic Affairs. b) Department of Expenditure. c) Department of Revenue. d) Department of Financial Services. e) Department of Investment and Public Asset Management.

Ministry of Corporate Affairs: The Ministry is primarily concerned with administration of the Companies Act 2013, the Companies Act 1956, the Limited Liability Partnership Act, 2008 & other allied Acts and rules & regulations framed there-under mainly for regulating the functioning of the corporate sector in accordance with law.

Registrar of Companies: The Registrar of Companies (RoC) is the authority appointed under the Companies Act to register companies and to ensure that they comply with the provisions of the law.

Reserve Bank of India (RBI): The Preamble of the Reserve Bank of India describes the basic functions of the Reserve Bank. The main functions of RBI include Monetary Authority, Regulator and supervisor of the financial system, Manager of foreign exchange, Issuer of currency, Developmental Role, Regulator and supervisor of payments and settlement systems and related functions.

Securities and Exchange Board of India (SEBI): The Securities and Exchange Board of India (SEBI), a statutory body appointed by an Act of Parliament (SEBI Act, 1992), is the primary regulator of securities markets in India.

Functions of SEBI:

- Regulating and registration
- Prohibition of unfair trade practices
- Conduct inquiries/inspections

Insurance Regulatory and Development Authority of India (IRDAI): IRDAI regulates the insurance sector in India in accordance with the terms of the IRDA Act of 1999. IRDAI is the licensing authority for insurance companies and defines the capital and net worth requirements for insurance companies. It ensures the adherence of insurance products to the rules laid down and defines the rules for the terms and conditions of insurance contracts such as sum assured, surrender value, settlement of claims, nomination and assignment, insurable interest and others.

Pension Fund Regulatory and Development Authority (PFRDA): The PFRDA is the authority entrusted to act as a regulator of the pension sector in India under the PFRDA Act, 2013. PFRDA regulates the National Pension System (NPS) and any other pension scheme specified under its ambit. It is responsible for registering the various constituents such as the fund managers, custodians, and central record keeping agency and trustee banks and to define the parameters of their roles and responsibilities.

Role of Self-Regulatory Organizations (SRO): Additionally, intermediaries representing some segment of the securities markets may form a Self-Regulatory Organization (SRO). In the developed world, it is common for market players to create Self-Regulatory Organizations, whose prime responsibility is to regulate their own members. Wherever SROs exist, the statutory regulatory bodies set up by the Government only lay down the broad policy framework, and leave the micro-regulation to the SRO.

Structure of Financial Markets in India

Banking System: The banking system is at the core of the financial structure of an economy and supports its growth. It enables capital growth and formation through financial intermediation by accumulating savings from households,

governments and businesses and making credit available for productive activities. The Reserve Bank of India is the regulator of the banking system and the monetary authority.

Banks: Banks act as an intermediary between those that have excess funds to invest and those that need funds by undertaking the role of mobilizing these surplus funds by taking deposits and lending it on the basis of a credit evaluation done on the ability of the borrowers to pay interest and return the principal.

Commercial banks may be scheduled commercial banks which include public sector banks, private sector banks, foreign banks and regional rural banks or non-scheduled commercial banks that include local area banks.

Co-operative credit institutions such as the urban co-operative banks and state and district level co-operative banks that cover rural area needs.

Payment banks have been notified by the RBI to encourage financial inclusion to low income households, small business and others by providing small savings accounts and payment/remittance services.

Small Finance Banks are another category of banks approved by RBI to provide a savings vehicle, banking facilities and to supply credit to small businesses, marginal farmers, micro and small industries and other entities in the unorganized sector.

Non-Banking Finance Companies and **Housing Finance Companies:** Non-Banking Finance Companies (NBFCs) are increasingly playing an important role in the Indian financial system. They are companies that are engaged in the business of loans and advances, leasing, hire purchase, insurance business or chit business.

P2P lending: An area of lending that has witnessed a sharp rise is that of Peer to Peer (P2P) lending wherein one person lends to another person(s). This is a form of unsecured lending and it takes place through a peer to peer lending platform.

Money market: Money market is a part of the financial market where instruments with short term maturities (< 1 year) are traded.

Foreign Exchange Market: The growth of international trade made it necessary to be able to determine the relative value of currencies given the differences in their purchasing power. The need for exchanging one currency to another for settling trades in goods and services brought about the term foreign exchange.

Credit Information Companies: Credit reporting addresses a fundamental problem of credit markets: asymmetric information between borrowers and lenders, which may lead to adverse selection, credit rationing and moral hazard problems.

Account Aggregators (AA): Account aggregators are financial entities that are licensed by the Reserve Bank of India whose main role is to bring together different parts of customer information and share it in a consolidated manner with third parties. This is done only with the express consent of the customer whose data is being shared.

Securities Market under SEBI

The securities market provides an institutional structure that enables a more efficient flow of capital in the economy. If a household has some savings, such savings can be deployed to fund the capital requirement of a business enterprise, through the securities markets. The issuer of the security provides the terms on which the capital is being raised. The investor in the security has a claim to the rights represented by the securities. These rights may involve

ownership, participation in management or claims on assets. Interaction between investors and borrowers is facilitated through financial intermediaries; intermediaries form the third component of the market.

Stock market: The stock market is that part of the securities market where equity shares are traded among investors. Once an issuing company has raised capital through an initial public offer it will seek to facilitate the buying and selling of the shares. This is done through the stock market. There are stock exchanges that have various brokers as their members and the shares can be bought and sold on the stock exchanges.

Bond market: There are a lot of debt issuances that are used by issuers to raise money for their businesses. These also become a source of investment for investors. The part of the market where the debt securities are listed and traded is known as the bond market.

Derivatives market: A derivative is any instrument that gives exposure to another asset through it i.e. they derive their value out of underlying assets which could be equity or commodity. The derivative market is where instruments like futures and options are traded. These instruments allow the investor to take a leveraged exposure and thus has the scope of high returns but higher losses too.

Mutual funds: Mutual funds have emerged as one of the biggest sources of investment choices for investors. Mutual funds collect money from multiple investors and then deploy this according to the mandate in their funds. They thus represent a collective investment option for investors.

Portfolio managers: Portfolio managers have the responsibility of deploying the money of high net worth investors in the specific areas. They run portfolio management services which seek to invest the money of its investors and earn returns.

Investment advisers: There is a huge amount of choice of investment products that are present for investors in securities market. There is also the need for effective allocation and choice considering the risk appetite for the investor. This is facilitated through investment advisers, who guide their clients towards their goals through the effective creation of a portfolio of investments.

Alternative Investment Funds: Alternative Investment Funds are those that privately pool money and then deploy them for investing in accordance with a defined investment policy for the benefit of its investors. The investor are sophisticated investors and hence these funds cater to a segment of investors who are well versed with the technical and other aspects

Credit rating agencies: Credit rating agencies are those which look at the detailed financial position of an issuer and then they give a credit rating about a specific issue that is being made. The rating is given in standard terms so that the investor is able to know the risk element by looking at the rating.

Industry and market under IRDAI

The Insurance Regulatory and Development Authority of India (IRDAI) has the insurance sector under its regulation. The insurance market is a significant part of the overall financial structure that has to be developed as the economy grows. The life insurance products may be broadly categorized as the traditional products, variable insurance products and the unit linked products.

- **Term insurance** is a pure risk protection product with no benefit on maturity. If the insured event occurs, in this case loss of life insured, then the sum assured is paid to the beneficiaries.
- Other **traditional products** typically have maturity benefits and have a small savings component.
- **Variable insurance products** and unit linked products combine risk protection and investment.

Industry and markets under PFRDA

The Pension Fund Regulatory and Development Authority (PFRDA) is the regulator of the pension market. The pension market especially the National Pension System (NPS) has been 107 growing in India as a larger part of the population has to rely on its own savings for the purpose of meeting the various needs during retirement and old age. National Pension System (NPS) is a voluntary, defined contribution retirement savings scheme designed to enable the subscribers to make optimum decisions regarding their future through systematic savings during their working life.

Role of Participants in the Financial Markets

- **Securities Exchanges** provide the infrastructure for trading in securities that have been issued at prices that reflect its current value.
- **Clearing corporations** are an important part of the entire stock exchange structure. When an investor transacts through a registered stock exchange, they need the confidence that their money and trades are safe.
- **Depository participants** enable investors to hold and transact in securities in the dematerialised form.
- **Custodians** typically work with institutional investors. They hold securities and manage bank accounts on behalf of the institutional investors.
- **Stock brokers** are registered trading members of stock exchanges. They sell new issuance of securities to investors.
- **Investment Banks** are financial entities that provide strategic advice to companies, governments and others on their capital requirements and investment decisions and arrange raising such funds on terms that are most suitable to the company.
- **Insurance Companies** provide service of insuring life, property and income against unexpected and large charge.
- **Pension Funds** are intermediaries who are authorized to take contributions from eligible individuals and invest these funds according to the directions of the contributors to create a retirement corpus.
- **Asset Management Companies** and **Portfolio Managers** are investment specialists who offer their services in selecting and managing a portfolio of securities
- **Investment Advisers** work with investors to help them make a choice of securities that they can buy, based on an assessment of their needs, time horizon return expectation and ability to bear risk.
- **Credit rating agencies** look at the financial situation of the issuing entities and then rank their various instruments in terms of their ability to safely repay the debt and interest.
- **KYC registration** agencies perform a significant task in the securities market. There is a need to ensure that there is a proper verification of the investors who are putting their money into the various investments.
- **Registrar and Transfer agencies** help in the process of ensuring a smooth experience for investors in their investment.
- **Non banking finance companies** and housing finance companies are a route for investors to access funds for their needs.

- **Credit bureaus or Credit Information companies** keep the record of the loan servicing behaviour of the borrowers and then assign them a credit score to reflect their overall position
- The role of **Account Aggregators** is to collect the financial information of customers at a single place after taking their permission.

VI. Security Market Segments

Nature and Definition of Primary Markets

The capital of a company is brought in by the promoters and their associates in the initial stages. As the requirement for additional funds go up, it may be necessary to source funds from a wider group of investors. The primary market refers to the market where equity or debt funds are raised by companies from 'outside' investors through an offer of securities. Investors may require the flexibility to review their investment and exit the investment if need be. A 'security' provides this facility as it may be listed on the exchanges where it is traded between investors at prices that reflect the value of the security as determined by the investors in the market. The company issuing and listing the securities is required to periodically disclose key information about the company to the stock exchange where it is listed. This is called the secondary market.

Functions of the Primary Market:

1. Access to wider markets and investors
2. Transparent Pricing Mechanism
3. Ownership Diversification
4. Better Disclosures
5. Evaluation by Investors
6. Exit for Early Investors
7. Liquidity for Securities
8. Regulatory Supervision

Types of Issues

1. Public issue
2. Private placement
3. Preferential issue
4. Qualified Institutions Placement
5. Rights and Bonus issues

Types of Issuers

1. Central, State and Local Governments
2. Public Sector Units
3. Private Sector Companies
4. Banks, Financial Institutions and Non-Banking Finance Companies
5. Mutual Funds
6. Real Estate Investment Trusts and Infrastructure Investment Trusts
7. Alternative Investment Funds

Types of Investors

1. Resident individuals
2. Hindu Undivided Family (HUF)
3. Minors through guardians
4. Registered societies and clubs
5. Non-resident Indians (NRI)
6. Persons of Indian Origin (PIO)
7. Banks
8. Financial institutions
9. Association of persons
10. Companies
11. Partnership firms and Trusts
12. Foreign portfolio investors (FPIs)
13. Limited Liability Partnerships (LLP)

Types of Public Issue of Equity Shares

Public issue of equity shares can be categorized as follows:

1. Initial Public Offer (IPO):
 - Fresh Issue of Shares
 - Offer for Sale
2. Further Public Offer

Pricing a Public Issue of Shares

1. Fixed Price Issue: In a fixed price issue of shares to the public, the company in consultation with the lead manager would decide on the price at which the shares will be issued.
2. Book Built Issue: The objective of a book building process is to identify the price that the market is willing to pay for the securities being issued by the company. The company and its issue managers will specify either a floor price (base price) or a price band (price range starting from floor price to 20% above it) within which investors can bid.

Regulatory Norms for Public Issue of Shares

Primary market offerings are subject to regulatory requirements laid down by SEBI in the SEBI Issue of Capital and Disclosure Requirements (ICDR) Regulations, and the provisions of the companies Act, 2013/1956, as applicable for disclosures and raising capital from the public. They are also subject to RBI regulations as regards issues to non-resident investors and receipt of money from abroad. The regulations cover the eligibility of a company to make a public issue in terms of net worth and track record of profitability, the process of making the issue and the timelines to be adhered to and the usage of the funds raised from the public.

Book building versus Fixed Price Issue: A public issue of shares may be made at a fixed price decided by the issuer and the lead manager. The other method of discovering the price is through a book building process in which the issuer indicates the price band or a base or floor price and investors bid for the desired quantity of shares at a price within the specified band.

Period of Subscription: A public issue has opening and closing dates, and is expected to garner the stipulated minimum subscription.

Allotment of issue: After an issue closes, the company and its merchant bankers, along with the stock exchange (where the issue will be listed) and the Registrars and Transfer Agent decides the 'basis of allotment'. This represents how proportionate allotment will be made for each category of investors, if the issue is over-subscribed.

Role of Registrar: In an Issue The registrars to an issue process applications from investors in an issue; keep proper record of applications and money received from investors; and assist the issuer in creating investor records, executing the allotment of shares into the demat account of investors, and sending refund orders for partial allotment, and non-allotment.

Listing of Issue: The price at which shares list and trade on the secondary markets may be at a premium or discount to the issue price. Investors who have been allotted shares can freely trade in the shares as soon as they are listed.

Applying to a Public Issue

The prospectus or offer document lays down the process of applying to a public issue of securities. Information of a forthcoming public issue is typically available from the mandatory advertisements that the company will have to issue and from the coverage that IPOs get in the press. A public issue is open for subscription during a limited period as specified above. The date on which the issue will open for subscription and the earliest closing date are mentioned in the announcements about the issue. Investors have to make their application during this period.

Public Issue of Debt Securities

A company can make a public issue of debt securities, such as, debentures by making an offer through a prospectus. The issue of debt securities is regulated by the provisions of the Companies Act, 2013 and Rules framed there under. A public issue of debt securities is possible by a company registered as a public limited company under the Companies Act, 2013. The company files an offer document with SEBI and the Registrar of Companies which gives all the material information of the issue.

Rights Offer

A rights offer is an offer for shares made to the existing shareholders of the company. There is a specific ratio in which the shares are offered to the investor. The guidelines for the right issue has now been streamlined to make it easier for the investor to transact in these issues.

Private Placements in Equity and Debt

A private placement of securities is an offer made by a company to a select group of investors such as financial institutions, banks and mutual funds. The advantage of private placement as a way to issue securities and raise funds comes in various ways. Preferential allotment means an issue of shares or other securities, by a company to any select person or group of persons on a preferential basis and does not include shares or other securities offered through a public issue.

Qualified Institutions Placement

Qualified institutions placement (QIP) is a private placement of shares made by a listed company to certain identified categories of investors known as Qualified Institutional Buyers (QIBs). To be eligible to make such a placement, the company is required to satisfy the eligibility conditions as specified in SEBI (ICDR) QIBs include financial institutions, mutual funds and banks among others.

Role and Function of the Secondary Market

The secondary market is where securities once issued are bought and sold between investors. The instruments traded in secondary markets include securities issued in the primary market as well as those that were not issued in the primary market. Transactions in the secondary market do not result in additional capital to the issuer as funds are only exchanged between investors.

Functions of Secondary Markets

- 1. Liquidity:** Secondary markets provide liquidity and marketability to existing securities. If an investor wants to sell off equity shares or debentures purchased earlier, it can be done in the secondary market.
- 2. Price Discovery:** Secondary markets enable price discovery of traded securities. The price at which investors undertake buy or sell transaction reflects the individual assessment of investors about the fundamental worth of the security.
- 3. Information Signalling:** Market prices provide instant information about issuing companies to all market participants. This information-signalling function of prices works like a continuous monitor of issuing companies, and in turn forces issuers to improve profitability and performance.
- 4. Indicating Economic Activity:** Secondary market trading data is used to generate benchmark indices that are widely tracked in the country. A market index is generated from market prices of a representative basket of equity shares.
- 5. Market for Corporate Control:** Stock markets function as markets for efficient governance by facilitating changes in corporate control. If management is inefficient, a company could end up performing below its potential.

Market Structure and Participants

The secondary market consists of the following participants:

Market Infrastructure Institutions:

- **Stock Exchanges** provide a platform for investors to buy and sell securities from each other in an organized and regulated manner.
- **Clearing corporations** (also known as clearing houses) function as the counter-parties for all trades executed on a stock exchange.
- **Depositories** enable a single point for electronic holding of financial assets.
- **Custodians** are institutional intermediaries, who are authorised to hold funds and securities on behalf of large institutional investors such as banks, insurance companies, mutual funds, and foreign portfolio investors (FPIs).
- **Depository participants (DPs)**, who are banks, brokers or other institutional providers of this service, to be able to trade in their securities.
- **Members of Stock Exchanges:** Investors can trade in the secondary markets only through trading members of a stock exchange.
- **Investors**
- **Issuers**
- **Regulators of Securities Markets**

Market Information

- **Market capitalisation** of a company is the number of shares outstanding multiplied by the market price per share. The market cap of a company measures the market value of its share capital.
- **Market turnover** of a stock indicates how much trading activity took place in it on a given business day.
- A **market index** tracks the market movement by using the prices of a small number of shares chosen as a representative sample.

Risk Management Systems in the Secondary Markets

Stock exchanges have risk management systems to insure against the event that members of the exchange may default on payment or delivery obligations. Risk containment mechanisms such as maintenance of adequate capital assets by members and regular imposition of margin payments on trades ensure that damages through defaults are minimised. Risk is managed by the following measures:

- Capital Adequacy Norms
- Margins
- Circuit Breakers and Price Bands
- Settlement Guarantee Mechanism
- On-Line Monitoring
- Price Monitoring and Actions
- Inspection of Books.

Corporate Actions

A company conducts several actions, apart from those related to its business, that have a direct implication for the shareholder. These include:

- Rights Issue
- Bonus Issue
- Dividend
- Stock Split
- Share Buy
- De-listing of shares
- Mergers & Acquisitions
- Offer for Sale

Module 3: Investment Products

Chapter 7: Introduction to Investment

Types of investment

There are many investment opportunities. Broadly, investments can be classified into financial or non-financial investments. Non-financial investments include real estate, gold, commodities etc. Financial Investments are exchange of cash flows for a period of time. Financial instruments are essentially claims on future cash flows.

Equity: Equity Shares represent ownership in a company that entitles its holders share in profits and the right to vote on the company's affairs. Equity shareholders are residual owners of the firm's profit after other contractual claims on the firm are satisfied and have ultimate control over how the firm is operated.

Fixed Income: Debt instruments, also called fixed income instruments, are contracts containing a promise to pay a stream of cash flows during the term of the contract to the investors. The debt contract can be transferable, a feature specified in the contract that permits its sale to another investor, or non-transferable, which prohibits sale to another party.

Government versus corporate Debt Securities: A Government Security (G-Sec) is a tradable instrument issued by the Central Government or the State Governments. It acknowledges the Government's debt obligation. . Corporate fixed income securities pay higher interest rates than the government securities due to default risk. The difference between the yield on a government security and the corporate security for the same maturity is called "credit spread".

High Yield versus Investment Grade: The probability of default on a fixed income paper is captured by ratings given by rating agencies

Commodities: Commodities are subject to higher business cycle risk as their prices are determined by the demand and supply of the end products in which they are consumed. Unlike most of the financial investments commodities do not generate any current income and the investor in these commodities would have to count only on capital appreciation.

Real Estate: Real estate is the largest asset class in the world. It has been a significant driver of economic growth. It offers significant diversification opportunities. It has been historically viewed as a good inflation hedge. Investors can invest into real estate with capital appreciation as an investment objective as well as to generate regular income by way of rents.

Structured products: Structured products are customized and sophisticated investments. They provide investors risk-adjusted exposure to traditional investments or to assets that are otherwise difficult to obtain. Structured products greatly use derivatives to create desired risk exposures.

Distressed Securities: Distressed securities are the securities of the companies that are in financial distress or near bankruptcy. Investors can make investments in the equity and debt securities of publicly traded companies. These may be available at huge discounts; however investments in them require higher skills and greater experience in business valuation than regular securities.

Other investment opportunities: Art and paintings and rare collectibles are emerging as an attractive long-term investment opportunity. This category of investment has been generating moderate return in the long term. It also has low correlation with financial investment like equities and bonds. Hence it provides a good risk diversification benefit.

Channels for making investments:

Direct investments: Direct investments are when investors buy the securities issued by companies and government bodies and commodities like gold and silver. Investors can buy gold or silver directly from the sellers or dealers. In case of financial securities, a few fee-based financial intermediaries aid investors buy or sell investments viz. brokers, depositories, advisors etc., for fees or commission.

Understanding the role of RIAs: Investors can take the advice from SEBI Registered Investment Adviser (RIA). As per the SEBI Regulation relating to RIA which came in the year 2013, only qualified professionals who are licensed by SEBI as Registered Investment Advisers (RIAs) can act as 'advisers'. These advisers are paid fees by the investors who hire them for investment advice.

Investments through managed portfolios: Alternatively, investors can invest through investment vehicles which pool money from investors and invest in a variety of securities and other investments on their behalf. In other words, investors make indirect investments. These investment vehicles are professionally managed. Through these managed portfolios they can avail the professional expertise at much lower costs.

Mutual Fund: A Mutual Fund is a trust that pools the savings of a number of investors who share a common financial goal. Money collected through mutual fund is then invested in various investment opportunities like shares, debentures and other securities. The income earned through these investments and the capital appreciations realized are shared by its unit holders in proportion to the number of units owned by them.

Alternative Investment Fund: Alternative Investment Fund or AIF is a privately pooled investment vehicle which collects funds from sophisticated investors, for investing it in accordance with a defined investment policy for the benefit of its investors.

Portfolio Management Services: A portfolio manager is a body corporate who advises or directs or undertakes on behalf of the investors the management or administration of a portfolio of securities. There are two types of portfolio management services available. The discretionary portfolio manager individually and independently manages the funds of investors whereas the non-discretionary portfolio manager manages the funds in accordance with the directions of the investors.

Chapter 8: Investing in Stocks

Equity as an investment

Security markets enable investors to invest and disinvest their surplus funds in various instruments. These instruments are pre-defined for their features, issued under regulatory supervision, and in most cases have ready liquidity. Investors who purchase equity shares look for capital appreciation and dividend income. There is no assurance of both by the company to the equity investor. While dividend payment depends on the profitability of the company, capital appreciation depends on the share market conditions and peculiarities.

Diversification of risk through equity instruments - Cross sectional versus time series

Diversification of equity investment achieves risk reduction. Conceptually, it is achieved due to the relatively less correlated behaviour of various business sectors which underlie each equity investment. Empirical research has demonstrated that a significant portion of risk can be reduced through diversification. Cross sectional risk diversification is reducing risk by holding equities in many different kinds of businesses at a point in time. Reaping the benefits of time diversification requires investing in equities for a long period of time.

Risks of equity investments

Equities are often regarded as riskier than other asset classes. The main types of risks discussed in the context of equity investments are discussed below:

1. **Market Risk:** Market risks arise due to the fluctuations in the prices of equity shares due to various market related dynamics.
2. **Sector specific risk:** Risks due to sector specific factors are part of non-market risks.
3. **Company specific risk:** Risks due to company specific factors are part of non-market risks. These risks can also be diversified away. Company specific risk is due to factors that affect the performance of a single company.
4. **Transactional risk:** Risks due to the other party not fulfilling the terms of the contract while buying or selling equities is often referred to as transactional risk.
5. **Liquidity risk:** Liquidity risk is the risk of not being able to find a buyer or seller for the equity holdings. Liquidity risk is measured by impact cost. The impact cost is the percentage price movement caused by a particular order size

Overview of Equity Market

Equity securities represent ownership claims on a company's net assets. A thorough understanding of the equity market is required to make optimal allocation to this asset class. The equity market provides various choices to investors in terms of risk-return-liquidity profile. There are about 66,000 unlisted public limited companies and over 5,000 listed domestic companies. Investments in listed companies are relatively more liquid than investment in unlisted companies. Listed companies have to abide by the listing norms, making this investment space more regulated with better disclosures. Market capitalization of listed companies at NSE in India was reported at Rs. 1,12,43,112 crore as of March 2020.

In addition to equity shares, companies may also issue preference shares. Preference shares rank above equity shares with respect to the payment of dividends and distribution of company's net assets in case of liquidation. Preference shares share some characteristics with debt securities like fixed dividend payment. Similar to equity share, preference shares can be perpetual. Dividends on preference shares can be cumulative, noncumulative, participating, non-participating or some combination thereof (i.e., cumulative participating, cumulative non-participating, non-cumulative participating, non-cumulative non-participating). Preference shares can also be convertible. Convertible preference shares entitle shareholders to convert their preference shares into a specified number of equity shares.

Equity research and stock selection

Fundamental Analysis: Fundamental analysis is the process of determining intrinsic value for the stock. These values depend on underlying economic factors such as future earnings or cash flows, interest rates, and risk variables. By examining these factors, intrinsic value of the stock is determined. Investors should buy the stock if its market price is below intrinsic value and do not buy, or sell, if the market price is above the intrinsic value, after taking into consideration the transaction cost.

Top Down approach versus Bottom up Approach: Analysts follow two broad approaches to fundamental analysis – top down and bottom up. Beginning at company-specific factors and moving up to the macro factors that impact the performance of the company is called the bottom-up approach. Scanning the macro economic scenario and then identifying industries to choose from and zeroing in on companies, is the top-down approach.

Buy side research versus Sell Side Research: Sell-side Analysts work for firms that provide investment banking, broking, advisory services for clients. They typically publish research reports on the securities of companies or industries with specific recommendation to buy, hold, or sell the subject security. Buy-side Analysts work for money managers like mutual funds, hedge funds, pension funds, or portfolio managers that purchase and sell securities for their own investment accounts or on behalf of their clients.

Sector Classification: One way of conducting fundamental analysis is by classifying the companies into various sectors and then analysing the situation related to the sector.

Stock Analysis Process: The value of an investment is determined by its expected cash flows and the investor's/analyst's required rate of return (i.e., its discount rate). The expected cash flows as well as required rate of return are influenced by the economic environment.

Economy Analysis: Macro-economic environment influences all industries and companies within the industry. Monetary and fiscal policy influences the business environment of the industries and companies. Fiscal policy initiatives like tax reduction encourages spending while removal of subsidies or tax on income discourage spending. Similarly, monetary policy may reduce the money in the economy affecting the expansionary plans and working capital requirements of all the businesses.

Industry/Sector Analysis: Industry analysis is an integral part of the three steps of top-down stock analysis. Rates of return and risk measures vary over time in different industries. Industry analysis helps identify both unprofitable and profitable opportunities. Industry lifecycle includes 4 stages: Introduction, Growth, Maturity and Deceleration.

Michael Porter or the Porter's Model suggests that five competitive forces determine the intensity of competition in the industry. Which in turn affects the profitability of the firms in the industry. The impact of these factors can be different for different industries.

Company Analysis: Company analysis is the final step in the top-down approach to Stock Analysis. Macroeconomic analysis prepares us to understand the impact of forecasted macroeconomic environment on different asset classes. It enables us to decide how much exposure to be made to equity. Company analysis is to be differentiated from stock valuation. Company analysis is conducted to understand its strength, weaknesses, opportunities and threats. These inputs are used to determine the fundamental intrinsic value of the company's stock.

Fundamentals Driven model: Estimation of intrinsic value Once the analysis of the economy, industry and company is completed, the analyst can go ahead with estimating intrinsic value of the firm's stock. Price and value are two different concepts in investing.

Discounted Cash Flow Model: Conceptually, discounted cash flow (DCF) approach to valuation is the most appropriate approach for valuations when three things are known:

- Stream of future cash flows
- Timings of these cash flows, and
- Expected rate of return of the investors (called discount rate).

Once these three pieces of information are available, it is simple mathematics to find the present value of these cash flows which a potential investor would be willing to pay today to receive the expected cash flow stream over a period of time.

There are two ways to look at the cash flows of a business. One is the free cash flows to the firm (FCFF), where the cash flows before any payments are made on the debt outstanding are taken into consideration. This is the cash flow available to all capital contributors-both equity and debt. The second way is to estimate the cash flows that accrue to the equity investors alone. Interest payments on debt are deducted from the FCFF and net borrowings added to it to arrive at the free cash flows for equity (FCFE).

Pricing Model

CAPM, which establishes the relationship between risk and expected return forms the basis for cost of equity. As per Capital Asset Pricing Model (CAPM), the cost of equity is computed as follows:

$$K_e = R_f + \beta * (R_m - R_f)$$

Where: R_f = Risk Free Rate, $(R_m - R_f)$ = Market risk premium (MRP), and β = Beta

The **Weighted Average Cost of Capital** of the firm (WACC) is then calculated as under:

$$\begin{aligned} \text{WACC} &= [K_e * \text{Equity} / (\text{Equity} + \text{Debt})] + [K_d * (1 - \text{Tax}) * \text{Debt} / (\text{Equity} + \text{Debt})] \\ &= [K_e * W_e] + [K_d * (1 - T_x) * W_d] \end{aligned}$$

Where K_e = Cost of Equity, K_d = Cost of Debt, W_d = Weight of Debt, W_e = Weight of Equity

Asset Based Valuation: Asset Based valuation methodology is used in some businesses which are extremely asset oriented such as real estate, shipping, aviation etc. Under this method the value of the business is found out by subtracting the value of its liabilities from its assets.

Relative Valuation: Relative valuation is conducted by identifying comparable firms and then obtaining market values of equity of these firms. These values are then converted into standardized values which are in form of multiples.

- **P/E Ratio:** The most common stock valuation measure used by analysts is the price to earnings ratio, or P/E. For computing this ratio, the stock price is divided by the EPS figure.
- **Price to Book Value Ratio:** Price to Book Value (P/BV) is another relative valuation ratio used by investors. It compares a stock's price per share to its book value. The P/BV ratio is an indication of how much shareholders are paying for the net assets of a company.
- **P/S Ratio:** The price-to-sales ratio (Price/Sales or P/S) is calculated by taking a company's market capitalization (the number of outstanding shares multiplied by the share price) and dividing it by the company's total sales or revenue over the past 12 months.
- **PEG Ratio:** This valuation measure takes three factors into account - the price, earnings and earnings growth rates. The formula used to compute the PEG ratio is as below:

$$\text{PEG Ratio} = \frac{\text{Price/Earnings (P/E) Ratio}}{\text{Earnings Per Share (EPS) Growth}}$$

- **EVA and MVA:** Economic value added (EVA) attempts to measure the true economic profit produced by a company. It is also referred to as "economic profit". Economic profit can be calculated by taking a company's net after-tax operating profit and subtracting from it the product of the company's invested capital multiplied by its percentage cost of capital
Market Value Added (MVA) is the difference between the current market value of a firm and the original capital contributed by investors.
- **EBIT/EV and EV/EBITDA Ratio:** EV is an important component of many ratios analysts use to compare companies, such as the EBIT/EV multiple and EV/EBITDA. The EV of a business is: Market capitalization + Total Debt - All cash and cash equivalents so the EV tells how much money would be needed to buy the whole company.
- **EV/S Ratio:** Enterprise value-to-sales (EV/sales) compares the enterprise value (EV) of a company to its annual sales. The EV/sales multiple enables investors to value a company based on its sales, while taking account of both the company's equity and debt.
- **Dividend yield:** The dividend yield is obtained by dividing the dividend per share declared by the company by the market price of the company. Thus it will show what would be return from dividend for an investor who buys the shares at the current market price.
- **Earnings yield:** The earnings yield for a company is determined by dividing the earnings per share of a company by the market price of the company. This shows the earnings that are generated by the company at the current market price.

Combining relative valuation and discounted cash flow models

Discounted cash flow models are used to estimate the intrinsic value of the stock or entity. The relative valuation metrics are used to determine the value of an economic entity (i.e., the market, an industry, or a company) by comparing it to similar entities.

Discounted cash flow models are dependent on (1) the growth rate of cash flows and (2) the estimate of the discount rate. Relative Valuation techniques compare the stock price to relevant variables that affect a stock's value, such as earnings, cash flow, book value, and sales etc.

Technical Analysis

Technical analysis is based on the assumption that all information that can affect the performance of a stock, company fundamentals, economic factors and market sentiments, is reflected already in its stock prices. Accordingly, technical analysts do not care to analyse the fundamentals of the business. Instead, the approach is to forecast the direction of prices through the study of patterns in historical market data - price and volume. There are three essential elements in understanding price behaviour:

- The history of past prices provides indications of the underlying trend and its direction.
- The volume of trading that accompanies price movements provides important inputs on the underlying strength of the trend.
- The time span over which price and volume are observed factors in the impact of long term factors that influence prices over a period of time.

Assumptions of technical analysis

1. The market price is determined by the interaction of supply and demand.
2. Supply and demand is governed by many rational and irrational factors.
3. Price adjustments are not instantaneous and prices move in trends
4. Trends persist for appreciable lengths of time.
5. Trends change in reaction to shifts in supply and demand relationships.
6. These shifts can be detected in the action of the market itself.

Advantages of technical Analysis: Technicians feel that the major advantage of their method is that it is not heavily dependent on financial accounting statements. They feel that a great deal of information is lacking in financial statements. They also contend that a lot of non-financial information and psychological factors do not appear in the financial statements.

Technical Rules and Indicators: There are numerous trading rules and indicators. There are indicators of overall market momentum, used to make aggregate market decisions. There are trading rules and indicators to be applied for individual securities. Some of the popular ones are:

- Trend-line analysis
- Moving averages
- Bollinger-Band Analysis

Chapter 9: Investing in Fixed Income Securities

Debt market and its need in financing structure of Corporates and Government

The Debt market refers to the market where the borrowers issue new debt securities and investors buy those new securities or buyers buy the already issued debt securities and sellers sell the various debt instruments already issued by entities like Governments and private firms in lieu of funding availed by them. In order to expand and achieve faster economic and commercial growth, it is necessary for firms to get financial resources at a reasonable cost. In any economy, the Government generally issues the largest amount of debt to fund its expenditure. The well-developed debt market helps the Government to issue papers at a reasonable cost.

The primary debt market helps the Government and corporates to directly sell their securities to investors. Typically, Governments issue debt through “Auctions” while corporates issue debt papers through “Private Placement”. The secondary debt market provides an exit route to the investors and it also provides important information not only on price discovery but also on many other factors like credit risk appetite, spread, default probability, etc.

Bond market ecosystem

Since bonds create fixed financial obligations on the issuers, they are referred as fixed income securities. The issuer of a bond agrees to pay a fixed amount of interest (known as coupon) periodically and repay the fixed amount of principal (known as face value) at the date of maturity. Typically, par value of the bond is paid on the maturity date. Bonds have fixed maturity dates beyond which they cease to exist as a legal financial instrument. The coupon, maturity period and principal value are important intrinsic features of a bond. The term to maturity is the time period before a bond matures (or expires).

Bonds with options: Bonds can also be issued with embedded options. Some common types of bonds with embedded options are: bonds with call option & put option and convertible bonds. A callable bond gives the issuer the right to redeem all or part of the outstanding bonds before the specified maturity date. A convertible bond is a combination of a plain vanilla bond plus an embedded equity call option.

Risks associated with fixed income securities

Interest Rate Risk: The bonds are subject to risk emanating from interest rate movements. The price of the bond is inversely related to the interest rate movement. If the interest rate rises, the price of the bond will fall.

Call risk: The Call risk is the risk of a bond being prematurely called or repaid by the issuer exercising the right provided in the indenture of the issuance.

Reinvestment Risk: Reinvestment risk arises when the periodic income received from bonds or other fixed income securities are reinvested after their receipt at the rate prevailing in the market at the time of such receipts.

Credit Risk: Bonds are essentially certificates of debt or in other words loans from the investors to the issuers who promise to repay the principal amount with periodic interest/coupon payments. Types of credit risk include

Downgrade Risk, Spread Risk, Default Risk, Liquidity Risk, Exchange Rate Risk, Inflation Risk, Volatility Risk, Political & Legal Risk and Event Risk.

Pricing of Bond

The value of bonds can be determined in terms of rupee values or the rates of return they promise under some set of assumptions.

Par Value: Par is the Face value of a debt instrument which is promised to be paid as Principal at the maturity of the debt instrument. The Face Value is also known as the redemption value for a plain vanilla bond.

Determining Cash Flow, Yield and Price of bonds: The future cash flows are calculated using the promised coupon on the Principal.

Bond Pricing: The price of a bond is sum of the present value of all future cash flows of the bond. The interest rate used for discounting the cash flows is the Yield to Maturity (YTM) of the bond.

$$P_m = \sum_{t=1}^{2n} \frac{C_i/2}{(1+i/2)^t} + \frac{P_p}{(1+i/2)^{2n}}$$

P_m = Market Price of the of bond, C_i = annual interest payable on the bond, P_p = Par value of the bond i = discount factor, (The prevailing yield to maturity) n = maturity of the bond in years.

Bond Yield Measures: Bond holders receive return from one or more of the following sources, when they buy bonds

1. The coupon interest payments made by the issuer
2. Any capital gain (or capital loss) when the bond is sold/matured
3. Income from reinvestment of the interest payments that is interest-on-interest.

Coupon Yield: The coupon yield is the coupon payment as a percentage of the face value. It is the nominal interest payable on a fixed income security like G-Sec.

***Please refer the bond valuation techniques for the different kinds of bonds in the detailed explanation given in the NISM workbook.**

Price-Yield relationship and the Pricing Matrix: The price yield relationship is inverse. The price-yield relationship can be summarized as follows: -

1. The inverse relation between a bond's price and rate of return is given by the negative slope of the price-yield curve. The movement across the curve is non-linear.
2. The bond having larger maturity time would have higher sensitivity to interest rate changes.
3. The lower a bond's coupon rate, the greater is its price sensitivity.

Traditional Yield Measures

Current Yield: The current yield is the coupon payment as a percentage of the bond's current market price.

Yield to Maturity: Yield to Maturity (YTM) is the discount rate which equates the present value of the future cash flows from a bond to its current market price. It is the expected rate of return on a bond if it is held until its maturity.

Effective Yield: Effective Yield Rate would be an equivalent rate that would produce the same final amount at the end of 1 year if simple interest is applied.

Yield to call: Yield to call measures the estimated rate of return for bonds held to the first call date.

Yield to Put: It gives the investor the right to redeem the bond if the after a certain date and such papers trade in the market by adjusting their maturity till the first Put option date.

Concept of Yield Curve

Yield curve is typically an upward sloping curve in a two dimensional surface plotting the relationship between time and interest rate. The slope of the curve gives us the relative risk premia for additional time we are out of money. The yield curves are never smooth and people have different expectations about the future and may demand different rates for the same maturity investment even if the rating remains the same. If investors are expecting higher inflation in future, they would require higher nominal yield to compensate them for the expected higher expenditure as they are pushing their present consumption to a future date through investing.

The yield curves take 4 shapes:

1. Normal Yield Curve
2. Inverted Yield Curve
3. Flat Yield Curve
4. Humped Yield Curve

Concept of Duration

Bond prices are sensitive to changes in interest rates. As market rates of interest increase (decrease) the market values of the bond portfolios decrease (increase). Duration (also known as Macaulay Duration) of a bond is a measure of the time taken to recover the initial investment in present value terms. In simplest form, duration refers to the payback period of a bond to break even, i.e., the time taken for a bond to repay its own purchase price. Duration is expressed in number of years. The price sensitivity of a bond to changes in interest rates is approximated by the bond's duration. The significance of the duration is that greater the duration, more volatile is the portfolio's return in respect to changes in the level of interest rates.

Introduction to Money Market

The money market provides an avenue for ultra-short term to short-term lending and borrowing of funds with maturity ranging from overnight to one year. Participation in the money market can be broadly divided into two parts: fund raising and asset acquisition. Money market transactions are generally used for including the government securities market and for meeting short term liquidity mismatches.

Key players in the money market: Participants in the Indian money market include: Public Sector Banks, Private Sector Banks, Foreign Banks, Co-operative Banks, Financial Institutions, Insurance Companies, Mutual Funds, Primary Dealers, Bank cum Primary Dealers, Non-Banking Financial Companies (NBFCs), Corporates, Provident/ Pension Funds, Payment Banks, Small Finance Banks, etc

Types of instruments: Types of money market instruments include Call Money, Notice Money, Term Money, Term Money, Market Repo, Tripartiy Repo, Treasury Bills, Cash Management bills, Commercial Paper, Certificate of Deposit, Corporate Bond Repo.

Introduction to Government Debt Market

The government securities (G-Sec) market is the most active segment of the Indian fixed income securities market. Regular structural and infrastructural measures by the Government and Reserve Bank of India (RBI) have contributed to its substantial growth and expansion over the last two decades.

Key players in the Government debt market: Primary participants in the Indian G-Sec market are large institutional players like banks, Primary Dealers (PDs) and insurance companies. Historically, commercial banks invest in Government securities because of Statutory Liquidity Ratio (SLR) requirements as well as diversification towards safe assets.

Types of Instruments: A Government Security (G-Sec) in Indian markets implies a debt instrument issued either by the Central Government of India or the State Governments which is tradeable in nature. The Central Government issues both bills (maturities of less than one year) and bonds while the State Governments issue only bonds also known as the State Development Loans (SDLs).

Other types of instruments include Treasury Bills, Cash Management Bills, Dated G Secs, Fixed Rate Bonds, Floating Rate Bonds, Zero Coupon Bonds, Capital Indexed Bonds, Inflation Indexed Bonds, Bonds with Call/Put Options, Special Securities, Separate Trading of Registered Interest and Principal of Securities (STRIPS), Sovereign Gold Bond (SGB), Savings (Taxable) Bonds, State Development Loans (SDLs).

Introduction to Corporate Debt Market

Corporate debt continues to have a low share of the total debt issuance in India. Investment demand is largely restricted to institutional investors whose investments are in turn limited by prudential norms for investment issued by their respective regulators.

Key Players in the Corporate Bond Ecosystem in India:

Issuer: The "Issuer" is the entity that issues a debt instrument to borrow money from the investors against a promise of paying back the principal on the maturity date along with the periodic interest.

Debenture Trustee: A Debenture Trustee (DT) is registered with SEBI. A DT holds the secured property on behalf of the debt issuer and for the benefit of debenture holders who though the beneficiaries, have no access to the mortgaged property.

Designated stock exchange: Designated stock exchange means a stock exchange with nationwide trading terminals on which debt securities are listed.

Corporate debt Instruments: Corporate debt instruments include Company deposits, Bonds and debentures, Infrastructure bonds, Inflation indexed bonds.

Small Saving Instruments

Bank Deposits: A bank fixed deposit (FD) is also called a term or time deposit, as it is a deposit account with a bank for a fixed period of time. It entitles the investor to pre-determined interest payments and return of the deposited sum on maturity.

Interest Rates on FDs: Interest rates depend on the duration of deposit, amount deposited and policies of the bank. In general, longer term deposits pay a higher rate than shorter term deposits. There could be a specific time bracket that could have a higher interest rate because the bank wants to attract money for that specific duration.

Floating rate Government of India Bond: The Government of India has launched a bond for investment, which investors can use to earn a regular sum of interest. The interest rate on this floating rate bond will be set twice a year based on the changes in the benchmark rate.

Small Saving Instruments: The Indian government has instituted a number of small saving schemes to encourage investors to save regularly. The main attraction of these schemes is the implicit guarantee of the government, which is the borrower. These schemes are offered through the post office and select banks. The saving schemes currently offered by the government are:

1. Public Provident Fund (PPF)
2. Senior Citizens' Saving Scheme (SCSS)
3. National Savings Certificate (NSC)
4. Post Office Schemes and Deposits
5. Kisan Vikas Patra (KVP)
6. Sukanya Samriddhi Account

Chapter 10: Understanding Derivatives

Derivative is a contract or a product whose value is derived from the value of some other asset known as underlying. Derivatives are based on a wide range of underlying assets. These include Metals, Agricultural commodities, Energy sources and financial assets.

Underlying concepts in derivatives

- **Zero Sum Game:** The sum of the two position's gain and loss is zero assuming zero transaction costs and zero taxes.
- **Settlement Mechanism:** Earlier most derivative contracts were settled in cash. Now, SEBI has mandated physical settlement for all stock derivatives
- **Arbitrage:** The law of one price states that two goods (assets) that are identical, cannot trade at different prices in two different markets. If not, it will be easy to buy from the cheaper market and sell at the costlier market, and make riskless profits.

- **Margining Process:** Margin is defined as the funds or securities which must be deposited by Clearing Members as collateral before executing a trade. The provision of collateral is intended to ensure that all financial commitments related to the open positions of a Clearing Member can be offset within a specified period of time.
- **Open Interest:** Open interest is the total number of outstanding derivative contracts that have not been settled.

Types of derivative products

- **Forwards:** Forward contract is an agreement made directly between two parties to buy or sell an asset on a specific date in the future, at the terms decided today. But forwards also carry Liquidity Risk and Counterparty Risk.
- **Futures:** Futures markets were innovated to overcome the limitations of forwards. A futures contract is an agreement made through an organized exchange to buy or sell a fixed amount of a commodity or a financial asset on a future date at an agreed price.
- **Options:** An Option is a contract that gives its buyers the right, but not an obligation, to buy or sell the underlying asset on or before a stated date/day, at a stated price, for a premium.
- **Swaps:** A swap is a contract in which two parties agree to a specified exchange of cash flows on a future date. Swaps are common in interest rate and currency markets.

Structure of derivative markets

A derivative market is formed when different players with different needs to manage their risks come together and try to secure themselves from the respective risky events that they fear in the future.

- **OTC Markets** are where derivative contracts are settled between counterparties on terms mutually agreed upon between them.
- **Exchange-traded derivatives** are standard derivative contracts defined by an exchange, and are usually settled through a clearing house.

Purpose of Derivatives

- Hedging
- Speculation
- Arbitrage

Equity, Currency and Commodity derivatives

Commodity Derivatives have become an integral part of today's commodity trading and are used for various types of risk protection and in innovative investment strategies. Commodity derivatives markets play an increasingly important role in the commodity market value chain by performing key economic functions such as risk management through risk reduction and risk transfer, price discovery and transactional efficiency.

- **Currency derivatives:** Unlike any other traded asset class, the most significant part of the currency market is the concept of currency pairs. In the currency market, while initiating a trade you buy one currency and sell another currency. Every trade in FX market is a currency pair: one currency is bought with or sold for another currency.

Derivative markets, products and strategies

Pricing a Futures Contract The pricing of a futures contract is based on the simple principle of carry cost. The difference between the spot and the futures price adjusts to the market rates of interest, for the period between spot and futures delivery. This interest is called as 'carry cost'.

Spot-Future Arbitrage: Sometimes the spot price and the futures price for the same stock vary much more than what is justified by a normal rate of interest (cost of carry). There is then the scope to create equal but opposite positions in the cash and futures market (arbitrage) using lower cost funds.

Chapter 11: Mutual Funds

Mutual funds are investment products available to investors through which they can invest in an asset class of their choice such as equity, debt, gold or real estate. Investors who may not want to invest directly in financial markets may instead get exposure to the same securities through a mutual fund. The investor will assess the suitability of the fund for their investment needs and make an investment decision. The funds collected from multiple investors are invested in a portfolio of securities or assets that reflect the stated investment objective of the fund.

Concepts and Terms Related to Mutual Funds

- Each investor's holding in a mutual fund is represented in terms of **units** that are derived from the amount invested. Each **unit** represents one share of the fund.
- **Net Asset Value (NAV)** is the net asset per unit of a scheme is calculated as $\text{Net assets} / \text{Number of outstanding units of the scheme}$.
- This process of valuing the portfolio on a daily basis at current value is called **marking to market**.
-

Features of and differences between different schemes

Open-ended and Closed-end Schemes: Mutual fund schemes can be structured as open-ended or closed-end schemes. An openended scheme allows investors to invest in additional units and redeem investment continuously at current NAV. A closed-end scheme is for a fixed period or tenor. It offers units to investors only during the new fund offer (NFO). The scheme is closed for transactions with investors after this.

Interval funds: Interval funds are a variant of closed end funds which become open-ended during specified periods. During these periods investors can purchase and redeem units like in an open-ended fund.

Exchange Traded Funds: Exchange Traded Funds (ETFs) are mutual funds that have the features of a mutual fund but can be traded. Like a stock they are listed on the stock exchange so they can be traded all day long. Beneath this feature is the fact that the ETF is a mutual fund that has its value derived from the value of the holdings in its portfolio.

Mutual Fund Products

Equity Funds

- Passive & Active Funds
- Diversified Equity Funds
- Based on market capitalization
- Based on sectors and industries
- Based on Themes
- Based on Investment Style
- Equity Linked Savings Scheme (ELSS)

Debt Funds

- Overnight Funds
- Liquid Funds
- Ultra Short Duration Funds
- Low Duration Funds
- Money Market Funds
- Short Duration Funds
- Medium Duration Funds
- Medium to Long Duration Funds
- Long Duration Funds
- Corporate Bond Funds
- Credit Risk Funds
- Banking and PSU Funds
- Open ended Gilt Funds
- Gilt Fund
- Dynamic Bond Fund

Fixed Maturity Plans

Hybrid Funds

- Conservative Hybrid Funds
- Balanced Hybrid Funds
- Aggressive Hybrid Funds
- Dynamic Asset allocation or Balanced Advantage Fund
- Multi-Asset allocation funds
- Arbitrage Funds
- Equity Savings Fund

Close-end Hybrid Funds

Capital Protection Funds

Solution Oriented Schemes

- Retirement Fund
- Children's Funds

Other Funds

- Fund of Funds
- Exchange Traded Funds
- Gold ETFs
- Real Estate Mutual Funds
- Infrastructure Debt Schemes

Mutual Fund Transactions

- A **switch** is a single transfer from one scheme or option of a scheme to another mutual fund scheme, or option of the same scheme.
- In a **systematic investment plan**, investors commit to invest a fixed sum of money at regular intervals over a period of time in a mutual fund scheme. It enables investors to build a corpus over time even with small sums invested.
- Investors can structure a regular pay-out from the balance held in a mutual fund investment by registering for a **systematic withdrawal plan**. An SWP enables recurring redemptions from a scheme over a period of time at the applicable NAV on the date of each redemption.
- A **systematic transfer plan** combines redemption from one scheme and an investment to another scheme of the same mutual fund for a defined period of time. The scheme from which units are redeemed is called the source scheme and the scheme into which investments are made is called the target scheme.
- The **Income Distribution cum Capital Withdrawal (Dividend) Transfer Plan (DTP)** involves an investment in a particular scheme in the Income Distribution cum Capital Withdrawal option. When the fund declares a dividend, then this amount is transferred to a target fund.

Investment Mode

Direct and Regular Plan: A normal scheme of a mutual fund with its operation is a regular plan. This is the standard plan that has been in operation and it represents the plan which pays out distribution commission to various distributors and makes various expenses in the course of its operations. As against this a direct plan is a separate plan where the investor can invest directly with the fund house or its Registrar and Transfer agent. There is no distributor who helps the investor to make the investment in this plan. The cost of this plan is less in terms of the expense ratio, that is charged to the scheme each year.

Chapter 12: Portfolio Manager

Risk and return are the two important aspects of financial investment. Portfolio management involves selecting and managing a basket of assets that minimizes risk, while maximizing return on investments. A portfolio manager plays a pivotal role in designing customized investment solutions for the clients.

Types of portfolio management services

On the basis of provider of the services PMS can be classified as:

1. PMS by asset management companies
2. PMS by brokerage houses
3. Boutique (independent) PMS houses

Discretionary services: As per SEBI's portfolio managers regulation "discretionary portfolio manager" means a portfolio manager who under a contract relating to portfolio management, exercises or may exercise, any degree of discretion as to the investment of funds or management of the portfolio of securities of the client, as the case may be.

Non-discretionary services: Non-discretionary portfolio manager manages the funds in accordance with the directions of the client. The portfolio manager does not exercise his/her discretion for the buy or sell decisions.

Advisory services: In advisory role, the portfolio manager suggests the investment ideas or provides non-binding investment advice. The investor take the decisions.

Cost, expenses and fees of investing in PMS

Fixed cost: The fixed cost is the amount that has to be paid by the investor to the PMS fund manager no matter what is the outcome of the entire investment.

Performance linked costs: The performance linked costs or the profit sharing fee are an additional amount of fees that the investor has to pay to the PMS. This is present in order to incentivize the fund manager to give a better performance.

High watermark principle: According to this principle once the fees are calculated on a specific level of assets then the next payment would only come about when the previous higher level is passed.

Hurdle rate: This is the rate which would need to be crossed if the PMS would charge extra fees to the investor.

Catch up/no catch up concept: The no catch up concept is that only the incremental amount above the hurdle rate would be considered while the catch up concept would then look at the fees right from the first earning which would need to catch up to the total earnings.

CHAPTER 13: OVERVIEW OF ALTERNATIVE INVESTMENT FUNDS (AIFs)

Alternative investments are therefore defined generally by several sources as investments other than traditional investments. Traditional investments are confined to the domain of financial securities such as stocks and bonds from primary and secondary capital market, purchase of general categories of mutual fund units and Exchange Traded Funds (ETFs).

Definition of AIF: Alternative Investment Fund” means any fund established or incorporated in India in the form of a trust or a company or a limited liability partnership or a body corporate which is a privately pooled investment vehicle which collects funds from investors, whether Indian or foreign, for investing it in accordance with a defined investment policy for the benefit of its investors

Role of Alternative Investments in Portfolio Management

Portfolio management needs to be ever-evolving in order to meet improved return expectations of investors. The rationale for alternative investments is not just about returns. Investors are looking at alternative investments for other reasons as well.

BENEFITS	LIMITATIONS
Help in risk diversification by moving beyond traditional investment avenues.	Complex fund structuring is required which makes it difficult for investors to comprehend.
Provide better risk-return trade-off by actively investing in high-growth opportunities and monitoring them.	Contractual terms and documentation is tedious making it necessary for investors to constantly seek professional support.
Alpha return generation due to off-market investment strategies.	Less transparency as compared to traditional investments. Difficulty in assessment of underlying risks.
Provides growth capital to businesses and companies that may not be able to attract conventional sources of capital such as bank financing.	More complex contractual terms and return determination methodologies as compared to traditional investments.
Provides the services of fund managers who are experienced in generating customised investment opportunities to maximise returns.	Illiquidity is one of the main disadvantages as many of the investment opportunities have a long investment cycle.
Sometimes, there is scope for customisation in investment terms in a limited way as compared to a standardised investment template for all investors in a given fund or scheme.	Do not satisfy the requirement for regular income.

Types of AIFs

Venture Capital Fund (VCF): VCF means “an AIF which invests primarily in unlisted securities of start-ups, emerging or early-stage venture capital undertakings mainly involved in new products, new services, technology or intellectual property right based activities or a new business model and shall include an angel fund”.

Angel Fund: Angel Fund means “a sub-category of Venture Capital Fund under Category I Alternative Investment Fund that raises funds from angel investors and invests in accordance with the SEBI AIF Regulations”.

Private Equity Fund (PE): PE Fund means “an AIF which invests primarily in equity or equity linked instruments or partnership interests of investee companies according to the stated objective of the fund”. Private equity funds are mostly involved in later stage financing in business entities that have established a business model and need to be scaled up for further growth.

Debt Fund: Debt Fund means “an AIF which invests primarily in debt or debt securities of listed or unlisted investee companies according to the stated objectives of the Fund”. Many types of debt that are private are considered to be alternative investments because of their illiquidity and often because they are not commonly held by traditional investors.

Infrastructure Fund: Infrastructure Fund means “an AIF which invests primarily in unlisted securities or partnership interest or listed debt or securitized debt instruments of investee companies or Special Purpose Vehicles (SPVs) engaged in or formed for the purpose of operating, developing or holding infrastructure projects”.

SME Fund

Hedge Fund

Social Venture Fund

Categories of AIFs and their comparison

Category I AIF – is an AIF that invests in start-up or early stage ventures or social ventures or SMEs or infrastructure or other sectors or areas which the government or regulators consider as socially or economically desirable and shall include venture capital funds, SME Funds, social venture funds, infrastructure funds and such other AIFs as may be specified under the Regulations from time to time.

Category II AIF – is an AIF that does not fall in Category I and III and which does not undertake leverage or borrowing other than to meet day-to-day operational requirements or as permitted in the Regulations. For this purpose, AIFs such as private equity funds or debt funds for which no specific incentives or concessions are given by the government or any other Regulator are included under this Category.

Category III AIF – is an AIF that which employs diverse or complex trading strategies and may employ leverage including through investment in listed or unlisted derivatives. AIFs such as hedge funds or funds which trade with a view to make short term returns or such other funds which are open ended and for

which no specific incentives or concessions are given by the government or any other Regulator are included under this Category.

- The Alternative Investment Fund shall not accept from an investor, an investment of value less than Rs. 1 crore. Provided that in case of investors who are employees or directors of the Alternative Investment Fund or employees or directors of the Manager, the minimum value of investment shall be Rs. 25 lakh.

MODULE 5: PORTFOLIO CONSTRUCTION, PERFORMANCE MONITORING AND EVALUATION

Chapter 14: Introduction to Modern Portfolio Theory

Framework for constructing portfolios - modern portfolio theory

Conventional wisdom has always dictated not putting all of your eggs in one basket. Diversification is nothing but spreading out the investments across different areas or asset classes to reduce risk as every asset will not behave similarly at all times.

- **Risk averse investors** will invest in risk-free investment opportunities or in investment opportunities with positive expected risk premium.
- A **risk neutral investor** on the other hand evaluates the investment opportunities solely on the basis of expected return with no regard to risk.
- A **risk seeking investor** is the one who will engage in a fair game.

Variance is a measure of the variation of possible rates of return R_i , from the expected rate of return $[E(R_i)]$. Standard deviation is the square root of the variance.

$$\text{Variance } (\sigma^2) = \sum_{i=1}^n [R_i - E(R_i)]^2 P_i$$

Harry Markowitz derived the variance of a portfolio of return by using the statistical notions of covariance or correlation.

Markowitz derived the general formula for the risk of the portfolio returns as follows:

$$\sigma_{\text{port}} = \sqrt{\sum_{i=1}^n w_i^2 \sigma_i^2 + \sum_{i=1}^n \sum_{j=1}^n w_i w_j \text{Cov}_{ij}}$$

where :

σ_{port} = the standard deviation of the portfolio

W_i = the weights of the individual assets in the portfolio, where weights are determined by the proportion of value in the portfolio

σ_i^2 = the variance of rates of return for asset i

Cov_{ij} = the covariance between the rates of return for assets i and j,

where $\text{Cov}_{ij} = r_{ij} \sigma_i \sigma_j$

Portfolio risk/return of two securities: If the two securities are not perfectly correlated, the portfolio's risk is less than the weighted average risk of the securities. This is the essence of diversification. As long as the correlation is less than perfect 1, benefits of diversification occurs. Lower the correlation, higher the benefits of diversification.

The concept of Efficient Frontier: The risk/return of a portfolio with above two securities can be plotted for all the possible weight combinations. Many more securities can be combined in various combinations and can be plotted accordingly. Of the various combinations the one that offer highest return for a given level of risk or the lowest risk for a given level of return will appear to be like an umbrella shaped curve. This umbrella shaped curve is referred as Efficient Frontier.

CHAPTER 15: PORTFOLIO CONSTRUCTION PROCESS

Asset allocation is the process of deciding how to distribute an investor's wealth into different asset classes for investment purposes. An asset class is defined as a collection of securities that have similar characteristics, attributes, and risk/return relationships

Understanding correlation across asset classes and securities

Correlation measures the strength and direction of relationship between two variables.

Correlation coefficient vary in the range -1 to $+1$. Correlation is the most relevant factor in reaping the benefits of risk diversification i.e. in reducing portfolio risk. Correlations among asset class returns can and do change over time and in different economic situations.

Steps in Portfolio Construction Process

Investment Policy Statement (IPS): Development of an Investment Policy Statement (IPS) is the key step in the process of portfolio management. IPS is the road map that guides the investment process. Either investors or their Investment advisers draft the IPS specifying their investment objectives, goals, constraints, preferences and risks they are willing to take.

Investment Objectives: Investors' objectives are identified in relation to risk-return-liquidity. Investors may state their investment objectives in terms of desired return in absolute or relative sense. They need to bear in mind that risk and return have typically positive relationship. On the other hand, liquidity has inverse relationship with return. Relatively illiquid investments require premium for being less liquid.

Investment Constraints: Constraints are limitations on investors to take exposure to certain investment opportunities. Constraints relates to investors liquidity needs, time horizon, and other unique needs and preferences.

Lifecycle of investing

Accumulation Phase: In the accumulation or early career phase. During this phase net worth is typically small. Investments are fewer and typically non-diversified.

Consolidation Phase: The consolidation or mid-to-late-career stage of the typical life cycle is characterized by the period when income exceeds expenses. As a result, this stage is characterized by the consolidation of investment portfolio.

Spending Phase: The "spending phase" is defined as the period when living expenses are covered not from earned income but from accumulated assets such as investments and retirement corpus.

Gifting Phase: This is the final phase when a person realizes that she has more assets than she will need for spending.

Benchmarking the client's portfolio

The investment policy statement needs to provide a framework for evaluating the performance of the portfolio. It will typically include a benchmark portfolio which matches in composition of the investor's portfolio.

Strategic versus Tactical Asset Allocation

The asset allocation decision which is made after taking into consideration investor's characteristics is **strategic asset allocation** (SAA). It is the target policy portfolio.

Tactical asset allocation (TAA) is short-term asset allocation decision. The idea behind TAA is to take the advantage of the opportunities in the financial markets.

CHAPTER 16: PORTFOLIO PERFORMANCE MEASUREMENT AND EVALUATION

Rate of return measures

- **Holding-period-return (HPR)**, equals the income generated by an investment plus the change in value of the investment during the period the investment is held, over the beginning value of the investment, expressed as a percentage per annum.
- **MWRR** or **Money Weighted Rate of Return** is the annual rate of return at which the cumulative contributions grow over the measurement period
- **TWRR** or **Time Weighted Rate of Return** is the compound rate of growth over the stated period.
- The **average annual arithmetic return** is the simple average of individual total yearly returns.
- The **average annual geometric return** is the rate at which the sum you invested at the beginning of the period will accumulate to a given sum at the end of the period by the process of compounding.
- The **gross return** is the total return generated on investment before the deduction of any fees, expenses or commissions.
- The **pre-tax rate returns** are returns before taxes, and **post-tax returns** are returns after taxes are paid on investment income and realized capital gains
- **Compounded Annual Growth Rate** is a measure of an investment's annual growth rate over time, with compounding.
- The **annualized return** represents the compound average annual return of the investment.
- **Alpha** is the return generated by the portfolio over the over the required rate of return as per CAPM.
- Market risk is measured by **Beta**.

Risk measures

Two possible measures of risk have received support in theory to capture **total risk**: the variance and the standard deviation of the estimated distribution of expected returns.

Whereas **downside risk** includes concepts such as semi-variance/standard deviation and target semi variance/standard deviations.

Market risks arise due to the fluctuations in the prices of equity shares due to various market related dynamics.

Interpreting volatility

Standard deviation and **variance** are measures of dispersion in return. Standard deviation is the square root of variance. It quantifies the degree to which returns fluctuate around their average. A higher value of standard deviation means higher risk.

Tracking error is the standard deviation of the difference between the portfolio and its target benchmark portfolio total return. Generally indices are used to benchmark portfolios.

Systematic Risk and Unsystematic Risk

- **Systematic risk** is defined as risk due to common risk factors, like interest rates, exchange rates, commodities prices. It is linked to supply and demand in various marketplaces.
- Risks due to sector specific/company specific factors is referred as **unsystematic risks**.

Systematic risk is measured by **Beta**. Beta relates the return of a stock or a portfolio to the return on market index.

Liquidity risk is the uncertainty introduced by the secondary market of an investment.

Credit risk is the risk that the borrower is unable to pay the amounts on time to the lender.

Risk-adjusted return measures

- **Sharpe Ratio** is the portfolio's return in excess of the risk-free return and divide the excess return by the portfolio's standard deviation.
- The **Treynor Ratio** measure adjusts excess return for systematic risk. It is computed by dividing a portfolio's excess return
- **Sortino Ratio** is the portfolio's return in excess of the risk-free return is divided by the portfolio's semi-standard deviation
- **Information Ratio** is the standard deviation of the difference between the return of the portfolio and return of the benchmark

Performance Evaluation: Benchmarking and peer group analysis

Performance evaluation is a relative concept. After measuring the performance, next important step is to evaluate it against some suitable benchmark or similar portfolios to address more important issues like how the returns measure up to the comparable investment opportunities.

Performance attribution analysis

The second phase of performance evaluation is performance attribution. There are different ways of doing the attribution analysis. Performance attribution in simple words is analyzing what is driving the performance and the reasons behind this so that the investor is able to take further investment decisions.

**MODULE 6: OPERATIONS, REGULATORY
ENVIRONMENT, COMPLIANCE AND ETHICS****CHAPTER 17: OPERATIONAL ASPECTS OF INVESTMENT MANAGEMENT****Investors and the investing process**

Investors eligible to invest in the securities markets can be broadly classified into individual investors and institutional investors. Individual investors include resident investors who are competent to contract, Minors, Hindu undivided family (HUF), Non-resident Indians (NRIs) and Foreign Portfolio Investors (FPI).

Investors need to fulfil certain mandatory requirements to be eligible to invest in various investment products.

The offer document of a financial product specifies the conditions to be fulfilled by a prospective investor and the documentation that will be needed to support this. Conditions may be laid down in terms of who can invest and how much can be invested in the scheme.

Investors must have a Permanent Account Number (PAN) issued by the Income Tax Authorities to be eligible to invest in most financial products in India. KYC completion status of the applicant must be provided in the application form, and proof of being KYC compliant also needs to be provided at the time of making the investment.

Know Your Customer Process

In order to ensure that illegal funds are not routed into Indian markets, the government has promulgated the Prevention of Money Laundering Act (PMLA). According to this Act, the identity of those entering into financial transactions must be known and verified. The procedure to do this is known as Know Your Customer (KYC) norms.

Dematerialisation and Re-materialisation of Securities

A **depository** is an institution that offers the service of holding the securities of the investors in electronic form. Its services can be compared to that of a bank which holds the depositors' funds and facilitates the conduct of fund related transactions.

Dematerialisation is the process of converting physical securities into electronic form. It involves the investor, the DP, the issuer/R&T agent and the depository.

Rematerialisation of securities is the process of converting the electronic holding of a security to physical form.

Power of Attorney

Individual investors can empower someone they trust to do transactions on their behalf, by granting and executing a **Power of Attorney (PoA)**. This facility is generally used by nonresident investors who stay in a foreign country and are thus unable to manage their financial transactions, or by investors who like their brokers or advisors to manage their investments on their behalf.

A **General Power of Attorney** gives the agent the authority to handle all the affairs during a period of time when the investor is unable to do so, such as when he is travelling out of the country or when his physical and/or mental health are compromised.

A **Specific Power of Attorney** gives the agent the authority to conduct a specific act or acts on the investor.

Portfolio Investment (NRI) Scheme (PINS) Account

The Portfolio Investment (NRI) Scheme (PINS) is a scheme of the Reserve Bank of India (RBI) and is mandatory for Non-Resident Indians (NRIs) and Persons of Indian Origin (PIOs) who like to purchase and sell shares and convertible debentures of Indian companies or units of domestic mutual funds on a recognised stock exchange in India.

Marking a Lien

Investors may pledge their investments such as shares and bonds, mutual fund units, bank deposits, small savings schemes and others as collateral to borrow money from scheduled banks, financial institutions, or non-banking finance companies (NBFCs).

Transmission

Transmission means 'an act of passing on something'. In the context of investments, it refers to passing on the investments on the death of the investor to another person. To complete a transmission process, on receiving a claim with documents to support it, the name of the investor is removed from investment records and the investment is transferred to persons entitled to receive them.

Applications Supported by Blocked Amount (ASBA), is a facility that has been extended to investors subscribing to securities. ASBA is an application containing an authorization to block the application money in the investor's bank account for subscribing to a primary market issue.

The **RTGS system** is for transactions of Rs. 2 lakhs and above, so the online system will not display the RTGS option for lower investment amounts.

NEFT transfer takes place in batches at times defined by the RBI.

CHAPTER 18: KEY REGULATIONS

Key regulations which need to be kept in mind by Investment Advisers while dealing with clients and relevant regulators are given below:

1. **Securities Contracts Regulation Act (SCRA 1956)**
2. **SEBI Act 1992**
3. **SEBI Prevention of Fraudulent and Unfair Trade Practices Regulations, 2003**
4. **Securities and Exchange Board of India (Intermediaries) Regulations, 2008**
5. **SEBI (Prohibition of Insider Trading) Regulations, 2015**
6. **SEBI Investment Advisers Regulations, 2013**

No person shall act as an investment adviser or hold itself out as an investment adviser unless he has obtained a certificate of registration from SEBI. The Regulations specify certain minimum qualifications for a person to be eligible to be known as an investment adviser.

Investment advisers who are non-individuals shall have a net worth of not less than fifty lakh rupees. Investment advisers who are individuals shall have net tangible assets of value not less than five lakh rupees. Investment Adviser shall be entitled to charge fees for providing investment advice from a client in the manner as specified by the SEBI.

Risk Profiling: Risk profiling exercise, which seeks to assess the attitude towards risk and possible loss in the portfolio and the willingness to pursue an investment plan, after understanding the underlying risks.

An investment adviser is required to **maintain certain records** in physical or electronic format for a minimum period of five years

An individual investment adviser shall not provide distribution services.

7. **Prevention of Money-Laundering Act, 2002**
8. **Key provisions of various other acts, as applicable to investment advisory profession**
 - Foreign Exchange Management Act (FEMA)
 - Indian Contract Act
 - Guardian and Wards Act
 - Negotiable Instruments Act, 1881
 - Insolvency and Bankruptcy Code, 2016

CHAPTER 19: ETHICAL ISSUES

Ethical issues

Investment Advisers have to give advice to their clients on matters that are related to their finances. The goals of the client and the manner in which they will be achieved are a very important part of their lives. In matters related to money it is vital that there is ethical behavior of the highest standard.

Ethics can be defined as several moral principles that decide and influence a person's behavior. Ethical restraint is an act by one individual to prevent certain action by another. This can be legally justifiable when what is sought to be prevented is some illegal act.

Money is a very important component in the efforts for a large number of people and the way this is handled is very critical. For many people talking about money and its details is like the final line of confidence because this is not done with everyone. The Investment adviser needs to be able to enter this inner level of confidence.

Investment Advisers are fiduciaries, which means that they have to act in the best interest of their clients. This is the central part of the entire fiduciary responsibility of the Investment Advisers. There are chances that several conflicts of interest may arise during the course of their work but the fiduciary responsibility is to rise above all this and ensure that the client is always put at the forefront of any step that has been taken.

CHAPTER 20: GRIEVANCE REDRESS MECHANISM

Consumer Protection Act

Consumer Protection Act, 1986 has been enacted to provide for better protection of the interests of consumers and for that purpose to make provision for the establishment of consumer councils.

Investor Grievance Redressal Mechanism

Investors deal with different product and service providers when they conduct transactions related to their financial life. Regulations provide various mechanisms for the investors to address any grievance they may have with respect to their dealings.

Grievance Redress System

A robust grievance recording and redress system ensures that the investor is able to get their problems addressed in a timely manner.

SCORES

SCORES is the online investor redressal mechanism set up by SEBI to deal with the complaints of investors related to all products and entities regulate by it. This includes complaints against companies who have made share issues in which the investor has invested in the primary or secondary markets, or against investment companies such as mutual funds, providers of portfolio management schemes, venture capital funds and others. SCORES can also be used to register a complaint against intermediaries who facilitate investing

Grievance Redress System in Banking

- **Grievance redress system with individual banks**
- **Banking Ombudsman**

The Banking Ombudsman is a person appointed by the RBI to address the complaints of banking customers related to the services offered by banks. They also hear complaints related to credit cards issued by banks and Non-banking Finance Companies (NBFC).

- **Process regarding escalation of grievance**

Securities Appellate Tribunal

The Securities Appellate Tribunal (SAT) according to Section 15U of the SEBI Act is not bound by the procedure laid down by the Code of Civil Procedure, but shall be guided by the principles of natural justice and shall have the powers to regulate their own procedures. The tribunal for the purpose of discharging its functions under this Act shall have the same powers as are vested in a civil court under the code of civil procedure while trying a suit in respect of the related matters.

ALL THE VERY BEST FOR YOUR EXAMS

PLEASE SEND YOUR FEEDBACK TO - info@pass4sure.in

THANKS

TEAM PASS4SURE
